

Allocation of KIADB/KSSIDC's Industrial Plots/Sheds at Subsidy to SC/ST Entrepreneurs

Evaluation of SCSP/TSP Scheme

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Executive Summary

The Karnataka Scheduled Castes Sub-plan and Tribal Sub-plan (Planning, Allocation, Utilization of Financial Resources) Act, 2013 (SCSP and TSP Act) provides for earmarking a portion of the state plan outlay for the Scheduled Castes Sub-plan and Tribal Sub-plan in proportion to the population of Scheduled Castes and Scheduled Tribes in Karnataka. Since enacting the law, various departments have implemented schemes under SCSP/TSP act for the direct benefit of the Scheduled Caste (SC) and Scheduled Tribes (ST) population.

Scheduled Caste and Scheduled Tribe entrepreneurs are generally first-generation entrepreneurs with limited financial and other resources required to establish an enterprise. The Government of Karnataka has introduced multiple schemes to support SC/ST entrepreneurs to meet the resource gap. One such scheme by the Department of Small-Scale Industries provides industrial plots/sheds to SC/ST entrepreneurs at subsidy.

The SCSP/TSP cell undertook the evaluation study to assess the efficiency and efficacy of scheme delivery and to measure the impact created by the scheme on SC/ST entrepreneurs and the larger population. In addition, the evaluation study aims to aid in evidence-based policymaking to increase the number of industries run by SC/ST entrepreneurs.

Around 218 beneficiaries who were allotted plots/sheds from 2015 to 2021 participated in the study. The research limited its scope to 27 districts, excluding Dakshina Kannada, Koppal, Uttara Kannada and Vijayanagara districts. The latter three districts had no beneficiaries under the scheme, whereas beneficiaries of Dakshina Kannada had rented out the industrial plots. Hence, these four districts were excluded from the study.

Major Findings from secondary data:

Increase in allotment of industrial plots/sheds to SC/ST:

1. Until 2009, the Karnataka Industrial Areas Development Board (KIADB) allocated a meagre 0.8% of industrial plots to entrepreneurs belonging to the Scheduled Castes (SC) and Scheduled Tribes (ST) communities. However, since the implementation of affirmative action such as reservations and subsidies for industrial plots, there has been a significant increase in the allocation of such plots to SC/ST beneficiaries. From 2014 to 2022, approximately 14% of newly established industrial area is allotted to SC/ST, representing a positive stride towards a more equitable and diverse industrial landscape.

2. Although 22.65% of industrial plots/sheds need to be reserved for SC/ST entrepreneurs, KIADB/KSSIDC has allotted only 14% due to challenges such as litigation, bulk allotment to government entities etc.
3. The reservation and subsidy for industry plots have further helped increase the demand for plots among SC/ST population. In a special case, observed in the Adinarayana Hosahalli Industrial Area of Bengaluru Rural, the total allottable land for SC/ST was 11.47 acres. However, a total of 18.13 acres, which is additional 6.6 acres, was allotted to SC/ST entrepreneurs because of high demand from SC/ST entrepreneurs. This shows that SCSP/TSP act and schemes have helped increase awareness among the community and thus help increase the demand for industrial plots/sheds among the target group.
4. KIADB has also developed an industrial area exclusively for SC/ST entrepreneurs in Kelageri, Dharwad, of 7.85 acres. This industrial area is near IIT Dharwad and strategically positioned to be in the circle of innovation and shall have access to high-quality human resources.

Sample:

1. The total number of beneficiaries of KIADB and KSSIDC are 1500 and 674, respectively, from 2015 to 2021.
2. Of this, 218, 10% of beneficiaries were selected. 9.5% (142) beneficiaries were of KIADB, and 11.3% (76) were of KSSIDC.
3. Overall gender distribution of the sample selected is male 72% (156) beneficiaries and female 28% (62) beneficiaries.
4. In the sample selected, SC beneficiaries were 66%, and ST beneficiaries were 34%
5. 97% were first-generation business owners.

Business type:

1. Out of 218 beneficiaries, 13% (28) are yet to determine the type of business they would establish in the industrial plot/shed.
2. Overall, 8% (16) are service businesses, and 92% (174) are production units.
3. KIADB has 11% (15) service businesses, and KSSIDC has only 1% (1).

Status of industrial plots/sheds

1. Overall, inclusive of both KIADB and KSSIDC for sample selected between 2014 to 2021, vacant plots/sheds are 48% (104), followed by operational businesses at 40% (87) and under construction at 12% (27).

2. Analysis indicated that the proportion of vacant plots/sheds reduces with time. Among the beneficiaries who were allotted plots/sheds in 2021-2021, the extent of vacant plots/sheds was 70%, which was reduced to 21% among beneficiaries who were allotted plots/sheds in 2015.
3. The analysis indicates that women-owned businesses are relatively more operational and under construction when compared to men-owned businesses.
 - Women-owned businesses: Operational – 48% (30), under construction – 15% (9), and vacant – 37% (23)
 - Men-owned businesses: Operational – 37% (57), under construction – 11% (18), and vacant – 52% (81)
4. The SC-run businesses have a slightly higher number; that is, 5% more businesses are operational and under construction compared to ST- run businesses.
5. The businesses under KIADB have a slightly higher number; that is, 7% more businesses are operational and under construction in comparison to businesses under KSSIDC.

Reasons for vacant plots/sheds

1. The most common reason stated by beneficiaries is 'personal reasons', which stands at 38%.
2. Beneficiaries stated some systemic issues as the reasons for vacant plots/sheds, as indicated below. A total of 40 businesses can be operational if systemic problems are addressed.
 - a. Awaiting loan/delay from KSFC - 10%
 - b. Litigation -9%
 - c. No basic amenities - 9%
 - d. Delay from KIADB/KSSIDC as 8%.

Sectoral Analysis

1. The businesses were categorised into various sectors as per KSFC's Lending Policy. Engineering, mechanical & allied, Textile & readymade garments, Agro & food-based, and Construction & real estate constitute over 73% of the business.
2. The top 4 sectors under KIADB are.
 - a. Engineering, mechanical & allied - 22% (27)
 - b. Construction & real estate -19% (23)
 - c. Textile & readymade garments -17% (21)
 - d. Agro and food based -16% (20)
3. The top 4 sectors of KSSIDC are.
 - a. Textile & readymade garments -24% (16)

- b. Agro and food based - 23% (14)
 - c. Engineering, mechanical & allied -16% (11)
 - d. Construction & real estate -10% (7)
4. Data indicates that beneficiaries of KIADB are establishing business units that need higher investment and a skilled workforce. In contrast, beneficiaries of KSSIDC are establishing traditional businesses which need relatively lower investment and a semi-skilled labour force.
5. The top sectors among men-owned businesses are-
 - a. Engineering, mechanical & allied – 22%
 - b. Agro and food based – 19%
 - c. Construction & real estate – 16%
 - d. Textile & ready-made garments – 15%
6. The top sectors among women-owned businesses are-
 - a. Textile & ready-made garments – 31%
 - b. Agro and food based- 15%
 - c. Construction & real estate – 15%
 - d. Engineering, mechanical & allied – 13%
7. The gender-disaggregated sectoral analysis shows the gendered nature of business. Women are inclined to traditional businesses that need relatively lower capital investment, whereas men-owned businesses are mostly technically oriented.

Awareness, access, and scheme delivery:

1. Awareness: Overall, for all the beneficiaries, friends and family is the largest source of information about the scheme at 40%. This is followed by awareness programmes/events conducted by KIADB/KSSIDC at 33%, newspaper ads at 16% and the last source of information is business network at 11%.
2. Among gender groups, for women – the government department is the largest source of information at 34%, followed by friends at 32%. Whereas for men, friends and family are the largest source of information at 43%, followed by government department at 33%.
3. 10 out of 218, that is only 5%, stated that they were not selected the year they applied. Eight are from KIADB and two are from KSSIDC. This number may be higher, as we have not included scheme applicants who were rejected in the study.
4. Only 9%, that is, 24 beneficiaries, stated that their allotment was delayed. 14% (20) of KIADB's beneficiaries and 5% (4) of beneficiaries of KSSIDC.

5. In 12 cases, the delay was one year; in 5 cases the delay was two 2 years; and in two cases the delay was 3 years.
6. Only 14, that is, 6%, said they faced challenges during the application process. Out of this, 8% (12) of KIADB and 3% (2) of KSSIDC.
7. 178 beneficiaries, that is 82%, stated to have received support during application, and 40 had not received any support.

Scheme Convergence:

1. 33% (73) of beneficiaries claimed to have received benefits from other schemes to aid their business unit.
2. 37% (52) of KIADB's beneficiaries and 28% (21) of KSSIDC's beneficiaries have received benefits from other related schemes. The increase in the proportion of KIADB's beneficiaries may be because of the need for additional funds for construction activities.
3. 73 beneficiaries have received a total of 97 benefits from various departments.
4. Few beneficiaries have received multiple schemes. Each of the 58 beneficiaries has received benefits from one other scheme in addition to the subsidy for industrial plots.
5. Among beneficiaries who have received multiple schemes, the highest converged schemes are loans from KSFC at 56, followed by interest subsidy at 23 and others at 22.
6. 66 beneficiaries have received loans worth Rs. 33.4 crores. The sources for loans are KSFC, banks, and the Department of Industries and Commerce. The average loan received by these 66 beneficiaries is Rs. 64 lakhs.

Impact – Business Turnover:

1. Of the total 82 operational businesses with turnover (that have been operational for over a year and disclosed their turnover), Rs. 62.87 crore is the total turnover from 2021-2022.
2. Average turnover is Rs. 76 lakhs, and the range of turnover is between Rs. 2 lakhs to Rs. 6 crores
3. Women-owned businesses: Of the 28 operational businesses, the total turnover is Rs. 30.6 crore. The average turnover of women-owned businesses is Rs. 1.09 crore, and the range is Rs. 2 lakhs to Rs. 4.5 crore
4. Men-owned businesses: Of the 54 operational businesses, the total turnover is Rs. 32.24 crore. The average turnover is Rs. 60 lakhs, and the range is Rs. 3 lakhs to Rs. 6 crores.
5. KIADB: Out of the 56 operational businesses of KIADB, the total turnover is Rs. 44.93 crores. The average turnover is Rs. 80.23 lakhs
6. KSSIDC (Industrial plots): Of the 15 operational businesses, turnover is Rs. 14.08 crores. The average turnover is Rs. 94 lakhs

7. KSSIDC (Industrial sheds): Of the 11 operational businesses, total turnover is Rs. 3.86 crores. The average turnover is Rs. 35 lakhs
8. The sector with highest average turnover is engineering, mechanical & allied sector at Rs. 1 crore followed by construction and real estate at Rs. 94 lakhs
9. Agro & textile businesses have relatively lower annual turnover at Rs. 54 lakhs and Rs. 57 lakhs, respectively
10. In other businesses, the sectors with higher average turnover are Chemicals & chemical based, Electricals & Electronics and Paper & paper products at Rs. 1.77 crores, Rs. 1.44 crores and Rs. 1.23 crores, respectively

Impact – Employment

1. A total of 1,420 jobs have been created from 91 businesses (86 -operational businesses and five businesses which are under constriction have hired employees)
2. Out of this, 497 that is 35% are SC and 188, that is 13% are ST.
3. Average jobs created are 16; out of this 6 are SC and 2 are ST.
4. Among SC-owned businesses, SC constitute 37% of employees whereas among ST-owned businesses, 32% of employees are SC.
5. Among ST-owned businesses, ST constitute 14% of employment generated, whereas among SC-owned businesses, 13% of employment generated constitutes ST.
6. Among 30 women-owned businesses that have hired employees, 648 jobs are created, whereas among 57 businesses owned by men, 772 jobs are created.
7. On average, women are creating 22 jobs, and men have created 14 jobs.
8. This could be because women are running a relatively higher number of garments, which generates higher employment on average.
9. KIADB: 945 jobs have been created from 60 businesses, averaging 16 jobs/business.
10. KSSIDC (industrial plots): 476 jobs have been created of the 20 businesses, making on average 24 jobs.
11. KSSIDC (Industrial sheds): 49 jobs have been created from 11 businesses, making on average four jobs.
12. The sectors that create the highest employment are textile at an average of 47, followed by construction at 11, engineering at 11 and agro at 9

Section 1: Introduction

Introduction

Karnataka is among the top 5 states in India and has demonstrated strong growth over the years. The current GSDP of Karnataka is about \$240 billion and contributes 8.8% to the national Gross Domestic Product¹. The agriculture & allied, services and industry sectors contribute to the GSDP of the state. In 2021-22, agriculture, manufacturing, and services sectors contributed 15%, 19%, and 66% of the economy, respectively.² This indicates that the proportion of the contribution of the manufacturing sector is lower in comparison to more industrialised states such as Maharashtra and Tamil Nadu³. To address this, the government of Karnataka has taken measures to make the state a global manufacturing hub and to achieve higher and more sustainable industrial growth. Among these measures, the prominent is the development of industrial areas by the Karnataka Industrial Area Development Board and Karnataka Small Scale Industries Development Corporations. These entities have developed vast industrial areas to ensure the availability of basic amenities and resources for the development of manufacturing and service units in the state.

The KIADB and KSSIDC have been developing and allotting industrial plots/sheds since 1970 and 1985, respectively⁴. However, over 99% of beneficiaries of these plots belonged to social groups other than SC/ST until 2009⁵. Since SC/ST entrepreneurs are predominantly first-generation entrepreneurs with limited financial and social resources required to start SME enterprises, the number of SC/ST beneficiaries under KIADB and KSSIDC was less. In 2009, KIADB introduced reservation in the allocation of industrial plots. This increased the number of SC/ST beneficiaries. Further, understanding the development gap between SC/ST and others, the Government of Karnataka enacted the Karnataka Scheduled Castes Sub-Allocation & Tribal-Sub Allocation (Planning, Allocation and Utilisation of Financial Resources) Act, 2013 and Rules 2017 to ensure the allocation of the budget in proportion to the population of SC/STs in the state. After the enactment of the act, the Small-Scale Industries introduced subsidy scheme for industrial plots for SC/ST. This further increased the number of SC/ST beneficiaries under KIADB and KSSIDC.

The Small-Scale Industries department has allocated an average of Rs. 133 crores toward SC and ST sub-plans from 2014 to 2023.

¹ Economic Survey of Karnataka 2021-2022

² [Karnataka Budget Analysis 2022-23 \(prsindia.org\)](https://prsindia.org/karnataka-budget-analysis-2022-23)

³ Sixth Economic Census of India, 2016

⁴ [Karnataka State Small Industries Development Corporation Ltd \(kssidc.co.in\)](https://kssidc.co.in)

⁵ Data submitted by KIADB to SC/ST welfare committee report, 2022

Table 1.1: Budget allocated for SCSP/TSP schemes of Small-scale Industries

(Rs. in crores)

Year	SCSP	TSP	Total
2014-2015	4.83	1.96	6.79
2015-2016	9.13	3.72	12.85
2016-2017	22.37	9.46	31.83
2017-2018	8.83	3.77	12.60
2018-2019	33.67	11.26	44.93
2019-2020	167.07	69.32	236.39
2020-2021	142.44	42.84	185.28
2021-2022	272.59	43.58	316.17
2022-2023	267.03	44.45	311.48
Total	927.96	230.36	1158.32

Source: SCSP/TSP progress reports

About the scheme

One of the flagship schemes of the Small-Scale Industries department for SC/ST entrepreneurs is the 'Allocation of KIADB/KSSIDC's industrial plots/sheds at a subsidy'. Since 2018, every year the department has been allocating around 83% of SCSP/TSP funds towards this scheme. Significantly, 92% of funds of the department is allotted towards this scheme in the year 2022-2023

Table 1.2: Funds allocated for the scheme – subsidised plots/sheds for SC/ST

(Rs. in crores)

Year	Scheme & HOA	Scheme details	SCSP	TSP	Total
2018-2019	Development of Industrial infrastructure for MSMEs (4851-00-102-0-20)	50% subsidy	21.23	8.54	29.77
2019-2020			121.00	54.00	175.00
2020-2021	Subsidised plots for SC and ST (2851-00-102-0-81)	75% subsidy	130.10	39.90	170.00
2021-2022	Subsidised Industrial Plots for SC and STs 2851-00-102-0-76		245.00	38.22	283.22

2022-2023	Subsidised Industrial Plots for SC and STs (2851-00-102-0-76)		249.07	37.93	287.00
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Source: SCSP/TSP action plans



Industrial shed, KSSIDC, Bagalkote



Hollow blocks manufacturing unit, KSSIDC, Bagalkote



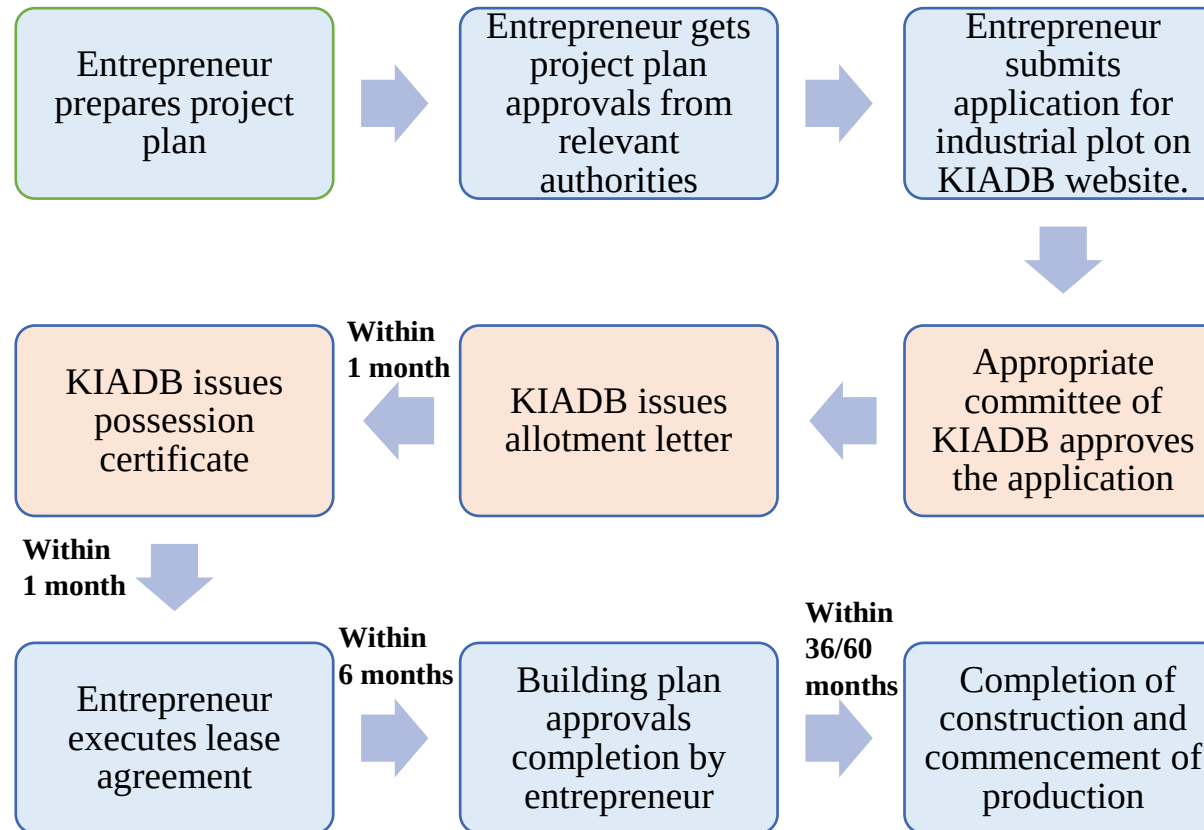
Health tech manufacturing unit in KIADB Industrial Area, Bengaluru



Cold storage unit, KSSIDC, Chamarajanagara

Scheme process design

Fig 1.1: Process followed by KIADB to deliver the industrial plots.

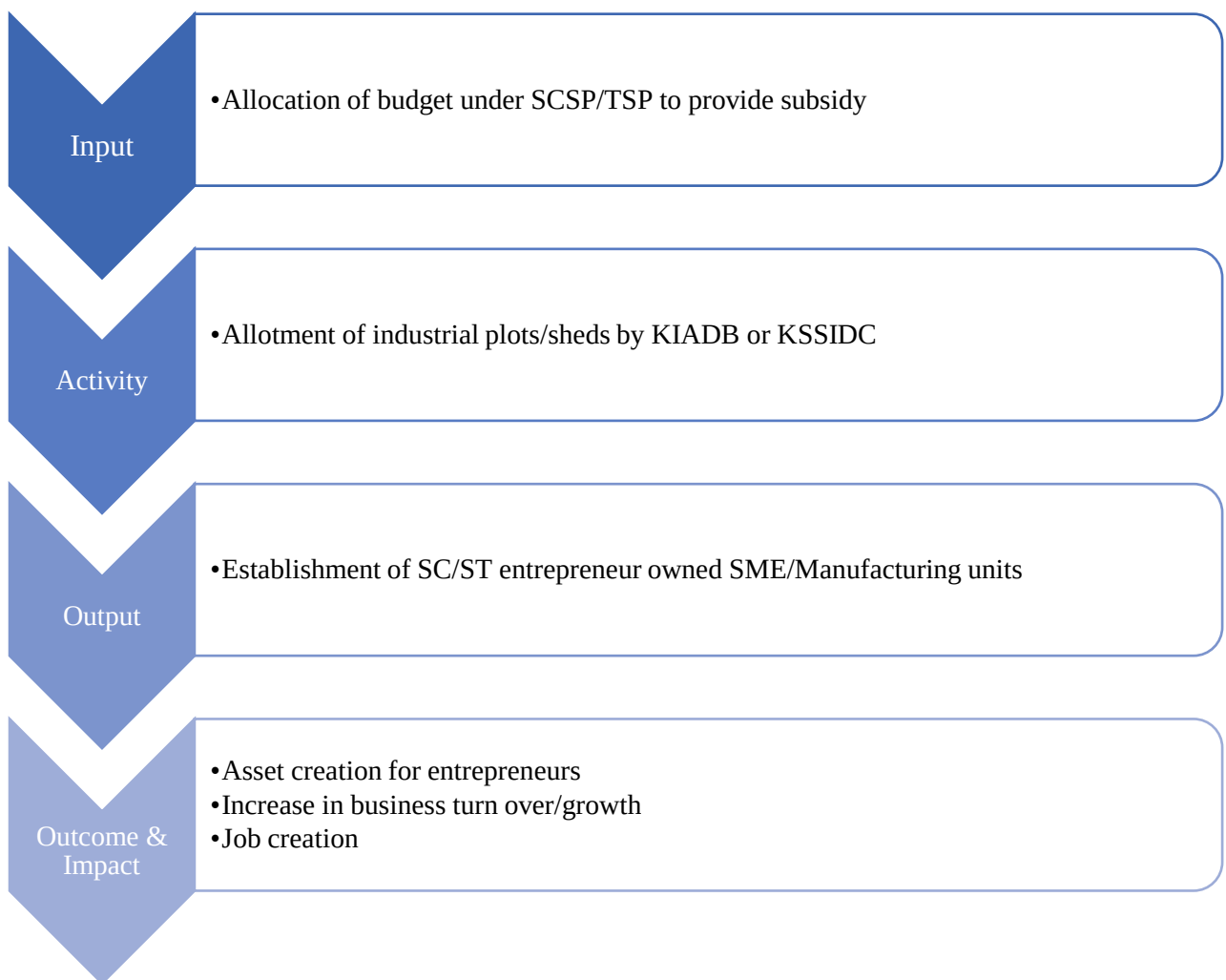


Data source: KIADB website

Results chain of the scheme

The theory of change for the scheme is indicated in the image below. Here, the inputs are – plots/sheds by KIADB/KSSIDC and the budget allocated to allot subsidy for prospective beneficiaries. The KIADB and KSSIDC call out applications to allot plots/sheds. After the selection process is completed, the SCSP/TSP fund is released as subsidy to meet the cost of the plot/shed. The expected output is the establishment of industries/ MSMEs by SC/ST entrepreneurs. This output shall lead to asset creation for SC/ST entrepreneurs, higher business turnover and local employment.

Fig 1.2: Results chain of the scheme



Source: Author

Below are the input indicators:

1. Number of industrial plots/sheds (along with the size) allotted to different target populations.
2. Funds spent towards the scheme.
3. Loan allotted to the beneficiaries.

Output, outcome, and impact indicators:

1. Number and size of SME/Manufacturing units established.
2. Details of ownership and usage of the industrial plot since allotment
3. Business turnover /Earnings before tax of the established businesses
4. Number of employees, particularly employment created for SC/ST

Section 2: Research Design

Objectives

The primary objective is to evaluate the scheme mentioned above. Organisation for Economic Co-operation and Development defines impact evaluation as a “systematic and objective assessment of an ongoing or completed project, programme or policy, its design, implementation and results”.

The objectives are:

1. **Assess the efficiency and efficacy of scheme delivery:** The process, transparency and accountability aspects adopted by the department to deliver the scheme to the target population.
2. **Impact evaluation:** The impact of the scheme on beneficiaries and other stakeholders that can strictly be attributed to the intervention.
3. **Evidence-based policymaking:** Collate evidence required to verify and improve the quality, efficiency, and effectiveness of the policy.

Research questions

Below are the research questions concerning the implementing department:

1. **Information, education, and communication:** How is the line department promoting the scheme? Is the department taking special measures to reach out to SC and ST entrepreneurs? If yes, what are the measures?
2. **Selection process:** What is the selection process adopted by the department? Is the process transparent?
3. **Database:** Is the line department managing the database of applicants and awardees of the scheme?
4. **Scheme delivery:** How is the department delivering the scheme to the beneficiaries? What are the challenges faced by the line department while delivering the scheme to SC and ST entrepreneurs? Are aspects of transparency and accountability adopted in scheme delivery?
5. **Scheme delivery target:** Is the department reaching the output target of the scheme?

Research questions concerning the beneficiaries.

1. **Awareness:** Are SC and ST entrepreneurs aware of the scheme? If yes, how are they receiving information about the scheme?
2. **Application Process:** What is the process for applying to the scheme? What challenges do the applicants face while applying for and availing of the scheme?
3. **Process transparency:** Is the process to avail the scheme transparent and accountable?

4. **Support/resource for entrepreneurs:** What other support did the beneficiaries get from the government to set up the business? Examples – entrepreneurship training, Loan/ subsidy for business capital, machinery etc.
5. **Outcome:** Did the scheme help entrepreneurs grow their businesses and thus result in an increase in business turnover? If yes, to what extent? If not, why?
6. **Impact:** Did the scheme lead to increased employment creation? If yes, what is the number of jobs created for the funds spent by the department? If not, why not?

Evaluation methodology

Non-experimental design was selected for the study. This method assesses only the treatment group, that is, the beneficiaries. This adopts the pre-test and post-test design. The output of the target group before and after the intervention is compared to assess the impact generated.

1. This method can be adopted in the absence of the control group. In this case, the control group would be applicants who did not get access to the scheme.
2. It uses a simple difference design to evaluate the impact created by comparing the baseline and end-line line of output and outcome indicators.
3. Advantage: Easier to conduct as the scope is limited to beneficiaries
4. Disadvantage: It fails to include other factors that could impact the output and outcome. For instance, the decrease in business turnover could be attributed to the lack of business acumen of the entrepreneur or the state of the economy and not only the scheme. Hence, such evaluation may not help assess the true attribution of the intervention on the impact.

In this case, the mixed methodology, that is, both qualitative and quantitative data is included.

Process

The following process was followed to conduct the evaluation study.

- Beneficiary data analysis: The beneficiary data was collected and analysed to select the sample for the study.
- Preparation of research design and questionnaire
 - Secondary data: Data on the scheme and relevant government orders were collected from KIADB and KSSIDC to understand the processes followed during the implementation of the scheme.
 - The questionnaire was designed, and stakeholders were consulted to improve the questionnaire.

- Inception report: The researcher visited Belgaum and Dharwad and conducted the pilot study. This provided granular insights about the scheme and helped identify additional research questions.
- Orientation: The district staff was oriented on Google Meets about the evaluation study, scheme, research design and questionnaire.
- Data collection: The district staff interviewed around ten beneficiaries of KIADB and KSSIDC by visiting the industrial areas. The collected data was entered into google forms.
- Data cleaning: The collated data was cleaned to identify the gaps and additional 'why' questions related to the study.
- Brief phone interviews: Iterative process was adopted, wherein 80 beneficiaries were identified to be part of phone interviews to find answers to qualitative questions and fill the gaps in primary data. This helped validate the findings of the survey.
- Data analysis: Collated data was cleaned and analysed to find answers to the evaluation questions and meet the objectives of the study.
- Interaction with KIADB and KSSIDC: Based on insights from the field survey, additional questionnaires were prepared to find answers from the KIADB and KSSIDC's officers.
- Drafting of the final report

Research Schedule:

The following schedule was planned to conduct the research.

Table 2.1: Research timeline

Activity	Sub Activity	Target deadline
Research design and preparation	Approval of research design	November 2022
	Secondary research	December 2022
	Collection of beneficiary data	December 2022
Data collection	Roll out of the survey	January 2023
	Field data collection	March 2023
	Collect filled survey forms	March 2023
	Conduct in-depth interview	March 2023
Data analysis	Data collation and validation	April 2023
	Data analysis and insights	May 2023
Report writing	The first draft of the report	June 2023
	Final draft	August 2023

Source: Author

Limitations

The research design did not include applicants who were disqualified. The inclusion of only beneficiaries whose applications were selected makes the findings biased towards the experiences of beneficiaries. Hence research questions on awareness of the schemes, application process and others may have negative insights relatively to less extent.

Even though the beneficiaries were selected at random, only beneficiaries who were available for the study were included. This may have further skewed the findings.

Sample selection for evaluation:

Selection criterion:

The beneficiary data provided by KIADB and KSSIDC showed that the number of beneficiaries is 1500 and 674 respectively. With the target to cover a minimum of 10% of beneficiaries for the study, the beneficiaries were selected randomly from each district as indicated in the table below. Seven KIADB beneficiaries and three KSSIDC beneficiaries were selected at random from each district. Further, among KIADB's beneficiaries, five belonged to SC and two belonged to ST. Similarly, out of the three beneficiaries of KSSIDC, two belonged to SC and one belonged to ST. The sampling was conducted in accordance with the population distribution of SC and ST.

Table 2.2: Category-wise number of beneficiaries selected from each district.

Corporation/Board	SCSP	TSP	Total
KIADB	5	2	7
KSSIDC	2	1	3

Source: Author

Each district had multiple industrial areas. The industrial areas with a maximum number of beneficiaries were selected. In certain districts, wherein the number of beneficiaries was less than ten, all the beneficiaries were included.

However, some of the districts were excluded. The excluded districts are listed below.

- Uthara Kannada was omitted as they had no beneficiaries under both KIADB and KSSIDC
- Koppala: The industrial areas are under litigation.
- Dakshina Kannada has beneficiaries, but the district staff found SC/ST entrepreneurs to have rented out the businesses. Hence it is not included in the analysis. The officers of KIADB stated that renting out of the built area of the industrial plot is permitted.

- Vijayanagar: As newly formed district, Vijayanagar is yet to establish District Industries Centre. Understanding the challenges of collecting relevant data in Vijayanagar and since it had less than ten beneficiaries, the district was not included in the study.

Selected sample:

Overall, 218 beneficiaries, approximately **10% of beneficiaries, were selected. Out of this, 142 were under KIADB, and 76 were under KSSIDC.** That is 9.5% of beneficiaries of KIADB and 11.3% of beneficiaries of KSSIDC. The district-wise details are indicated below.

Table 2.3: District-wise sample selected for the study.

Districts	Beneficiaries			Sample			Percentage of beneficiaries		
	KIADB	KSSIDC	Total	KIADB	KSSIDC	Total	KIADB	KSSIDC	Total
Bagalkote	6	7	13	6	2	8	100%	29%	62%
Ballari	5	0	5	1	0	1	20%	NA	20%
Belagavi	40	96	136	8	3	11	20%	3%	8%
Bengaluru Rural	312	16	328	17	6	23	5%	38%	7%
Bengaluru Urban	71	0	71	4	0	4	6%	NA	6%
Bidar	41	44	85	7	2	9	17%	5%	11%
Chamarajanagar	86	15	101	10	3	13	12%	20%	13%
Chikkabalapura	40	91	131	4	4	8	10%	4%	6%
Chikkamagaluru	0	2	2	0	1	1	NA	50%	50%
Chitradurga	0	71	71	0	12	12	NA	17%	17%
Dakshina Kannada	7	3	10	0	0	0	NA	0%	NA
Davanagere	36	25	61	8	3	11	22%	12%	18%
Dharwad	50	52	102	4	4	8	8%	8%	8%
Gadag	23	10	33	5	1	6	22%	10%	18%
Hassan	28	0	28	10	0	10	36%	NA	36%
Haveri	0	25	25	0	4	4	NA	16%	16%
Kalaburgi	104	13	117	6	2	8	6%	15%	7%
Kodagu	4	4	8	2	4	6	50%	100%	75%
Kolar	81	0	81	8	0	8	10%	NA	10%
Koppala	0	0	0	0	0	0	NA	NA	NA
Mandya	4	20	24	0	8	8	0%	40%	33%
Mysuru	175	4	179	6	2	8	3%	50%	4%

Allocation of KIADB/KSSIDC's Industrial Plots/Sheds at Subsidy to SC/ST Entrepreneurs |

Raichur	22	1	23	7	0	7	32%	0%	30%
Ramanagara	2	0	2	0	0	0	NA	NA	0%
Shivamogga	103	137	240	6	7	13	6%	5%	5%
Tumakuru	234	35	269	7	3	10	3%	9%	4%
Udupi	8	2	10	8	2	10	100%	100%	100%
Uttara Kannada	0	0	0	0	0	0	NA	NA	NA
Vijayanagar	4	0	4	0	0	0	NA	NA	NA
Vijayapura	9	1	10	2	3	5	22%	300%	50%
Yadgir	5	0	5	6	0	6	120%	NA	120%
Total	1500	674	2174	142	76	218	9.5%	11.3%	10%

Section 3: Secondary Research

Status of Industries in Karnataka

Unlike other economies, where the manufacturing sector is a significant contributor to economic growth, the service sector has been the lead in India. The services sector's contribution to GDP has risen from 45 percent to 55 percent while manufacturing has remained stagnant at 15 percent in 2017 and 17 percent in 2022 (Jain & Yadav, 2023). Karnataka is also following the same trend as the country. Karnataka is a global innovation and startup hub with over 400 international research and development centres and over 4000 startups in Bengaluru. It ranks first in NITI Aayog's India Innovation Index, and the third highest number of startups globally is in Bangalore. Karnataka's primary sector has grown from 12.57% in 2015-2016 to 13.68% in 2019-2020. However, the manufacturing sector has shrunk from 23.39% to 19.79% in the same period (Economic Survey). The service sector has grown from 64.06% to 66.53% in the same period.

Although Karnataka is most known for its IT sector, the state has manufacturing capacity in electronics, garments, aerospace and defence, automobiles, biotechnology, and steel production. SMEs are a crucial segment in the manufacturing landscape of India. They account for almost half of India's manufacturing output and 40 percent of total exports. The SME landscape in Karnataka is dominated by textiles, followed by the food and beverage industry.

The employment rate under manufacturing must be 20% of the total employed population. India's manufacturing sector employment rate is 11.74%, whereas Karnataka's is 12.07%. Concerted efforts are required to grow the state's industry/manufacturing sector.

KIADB

Karnataka Industrial Areas Development Board (KIADB) is a statutory body playing an important role in the development of industries in the state. Since its inception, the KIADB has developed 136 Industrial Areas in 28 districts of the state, covering an area of about 41,984 acres (Parvathamma, 2015). Basic infrastructural facilities like internal roads, water supply, power supply, streetlights, common facilities centres, buildings, housing, and offsite infrastructure like widening & improvement of approach roads are provided in all the industrial areas developed by KIADB.

KSSIDC

Karnataka Small Scale Industries Development Corporation (KSSIDC) has been a catalyst in the development of small-scale industries in the State. The establishment of Industrial Estates, construction of Industrial sheds and formation of Industrial plots are the major functions of the

Corporation. As of FY 2021-22, KSSIDC has developed 190 Industrial Estates throughout the State (Economic Survey of Karnataka, 2021-22).

Literature Review

The significant driver of growth during the early stages of economic development is labour industrialisation (Dellas & Koubi, 2001). According to statistical evidence, industrialisation often correlates with greater per capita income. It acts as a catalyst for quick economic growth. As a result, for the country to grow, the sector's development is necessary (Singh & Agrawal, 2021). Further, the MSME sector is the second largest employment provider in our country, and it is an excellent vehicle to achieve inclusive and distributed growth (Manikandan). The data from the Udyam Portal of the Government of India indicates the employment created by small- scale industries is indicated in the table below. Understanding the importance of the MSME sector, the Government of India and the Government of Karnataka have taken significant measures to develop the industry sector. One such initiative was to increase the scope of the definition of 'small Scale Industries' by increasing the investment ceiling in plants & machinery from Rupees one crore, and trading activities have been taken into the ambit of MSMEs by the enactment of Micro, Small & Medium Enterprises Development (MSMED) Act in 2006 (Manikandan).

Table 3.1: Employment generation by small scale industrial units

Year	Employment in 000's	No. of SSI units
2017-2018	4193	626599
2018-2019	4776	695877
2019-2020	5478	793109
2020-2021	3631	332233

Source: Udyam portal, Government of India

Even though the Karnataka state may have industrial growth, whether the growth is equitable needs to be assessed. The SC/STs population, over the last six decades, have made remarkable progress in various fields such as education, employment, and politics. Post-independence, political equality coupled with reservation helped a small percentage of the SC/ST population to achieve economic progress through government initiatives. However, negligible SC/STs have succeeded in becoming successful entrepreneurs (Gaikwad & Karmadkar). As SC/ST are mostly first-generation entrepreneurs, they face additional hurdles, such as lack of financial resources, network and knowledge required to start a business. First-Generation Entrepreneurs may have to face many problems relating to raising capital and finance, marketing, and other functions of a successful enterprise. Expanding their business

activities beyond a certain level becomes tough for such FGEs because of insufficient financial resources. In addition, they lack guidance and the ability to mobilise resources.

Secondary research highlighted some of the challenges faced by SC/ST entrepreneurs.

- Education: SC/STs students often cannot afford the high-profile technical and professional courses required to start businesses due to their socioeconomic circumstances
- Financial challenges: SC/ST do not have easy access to bank finance as they lack the collateral required to secure loans and have limited and insufficient capital.
- Social discrimination: The SC Entrepreneurs who venture into dealing with products and services for the local market face difficulty marketing their products and services due to their social status.
- Lack of ambition: Only a few individuals have the ambition of becoming an entrepreneur, and a small percentage of them succeed in becoming successful entrepreneurs.
- Lack of access to new business opportunities
- Lack of knowledge about quality and pricing of the product, latest technologies and machinery, costing and financial management, government schemes and incentives

To address these challenges, the Government of Karnataka established New Industrial Clusters and released funds under SCSP/TSP to support MSME units run by SC/ST. Some of these schemes are the construction of living cum work sheds, supply of free tool kits, subsidy for industrial plots allotted by KIADB and Industrial sheds by KSSIDC, working capital for the purchase of raw materials, Soft Seed Capital, and loans from KSFC (Parvathamma, 2015).

While analysing the challenges SC/ST entrepreneurs face, it is essential to understand them from a gender lens. According to the Sixth Economic Census, conducted between January 2013 and April 2014, out of 58.5 million businesses, 8.05 million were owned by women, corresponding to a rate of 13.76 percent of women among the total number of entrepreneurs in India. Meanwhile, the World Bank Enterprise Survey, found that in 2014, the percentage of firms with female participation in ownership was 10.7 percent. While more recent data is unavailable, recent media reports highlighted a steady rise in the number of women-founded startups (Sharma, 2013). However, data on SC/ST women entrepreneurs is not available. This calls for the need to track data with both caste and gender lenses.

Along with information on initiatives introduced by the government to meet the market failure, researchers have conducted studies to understand the functioning and effectiveness of the delivery of these services and initiatives. Evaluation studies have highlighted the requirement for IT enablement and better stakeholder connection by KIADB in delivering industry-related services (KPMG, 2021).

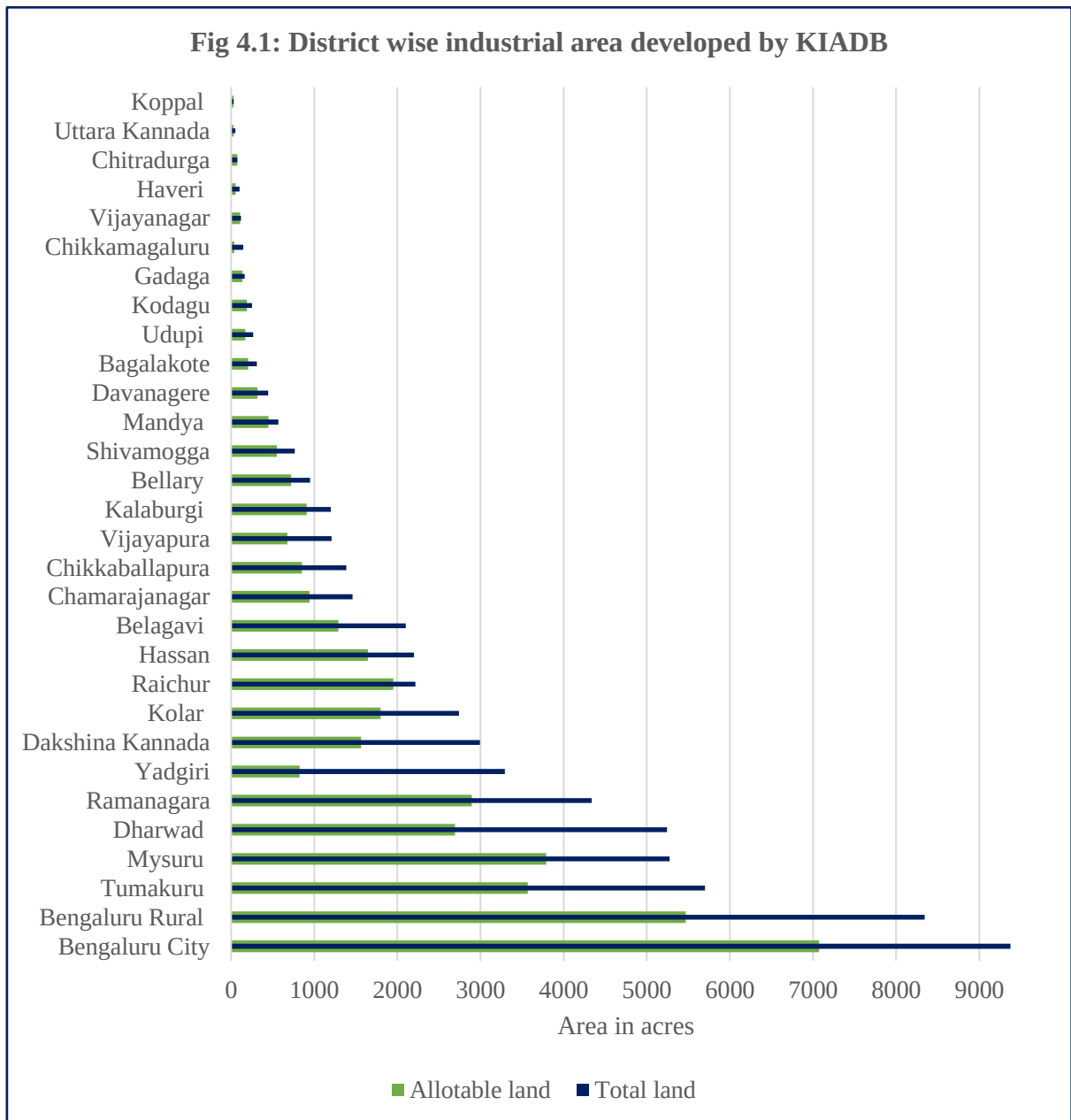
The literature review highlighted the need to conduct primary research to understand the challenges of SC/ST entrepreneurs in Karnataka and the impact of schemes, primarily subsidy for industrial plots and other related schemes.

Section 4: Analysis and findings

Historical data

The below section analyses the data submitted by KIADB to SC/ST Welfare Committee. This data did not have information on the Bidar district. Hence, Bidar is not included in the analysis of this section.

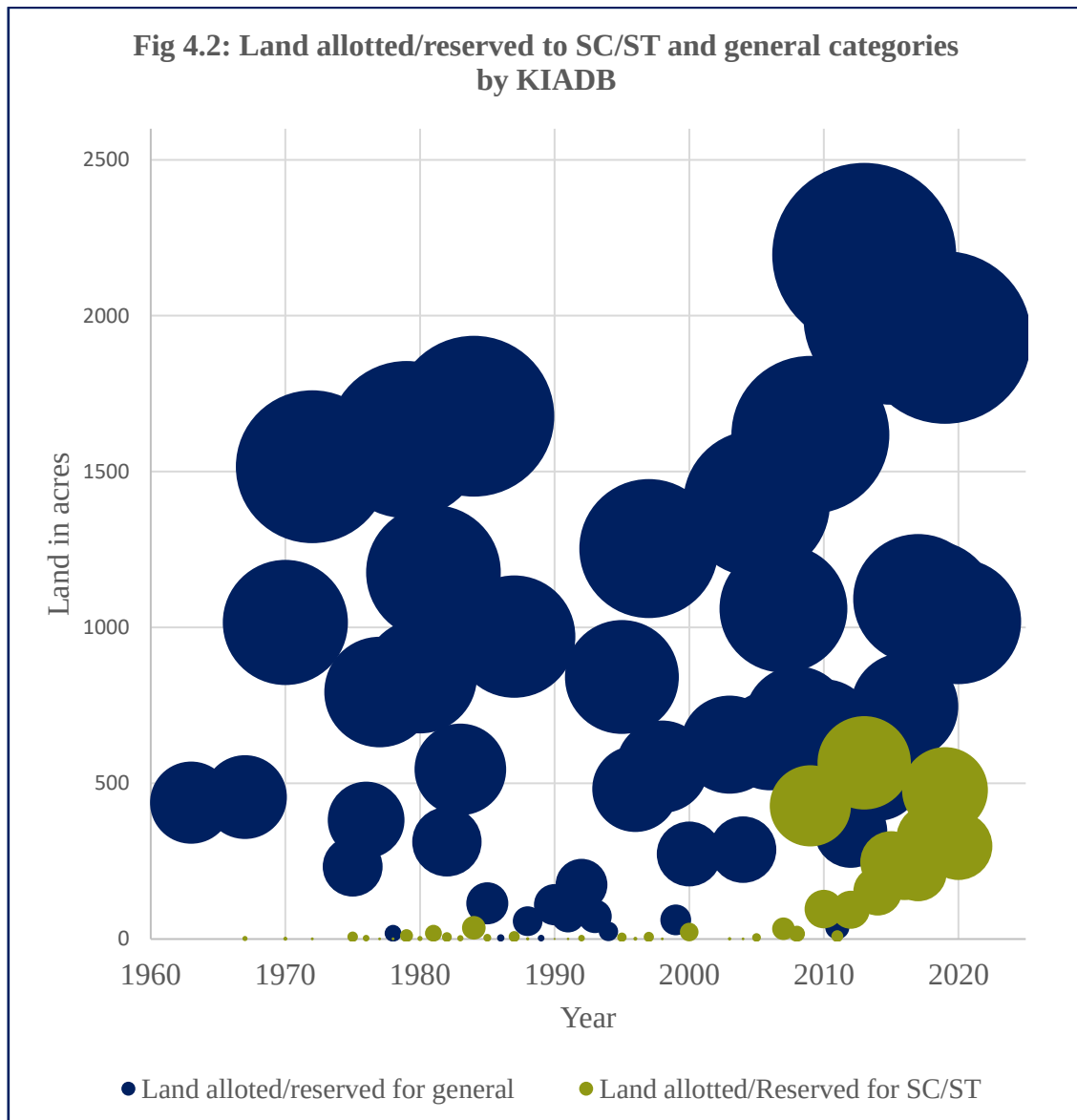
As per the submitted data, KIADB has acquired and developed a total industrial area of 63,304 acres. Of this, 65% of the land, that is 40,996 acres is developed into plots for allotment. The below graph indicates the distribution of industrial land developed across the districts. Bengaluru City and



Source: Data submitted by KIADB to SC/ST welfare committee, GoK, 2022

districts around Bengaluru city have relatively large industrial areas.

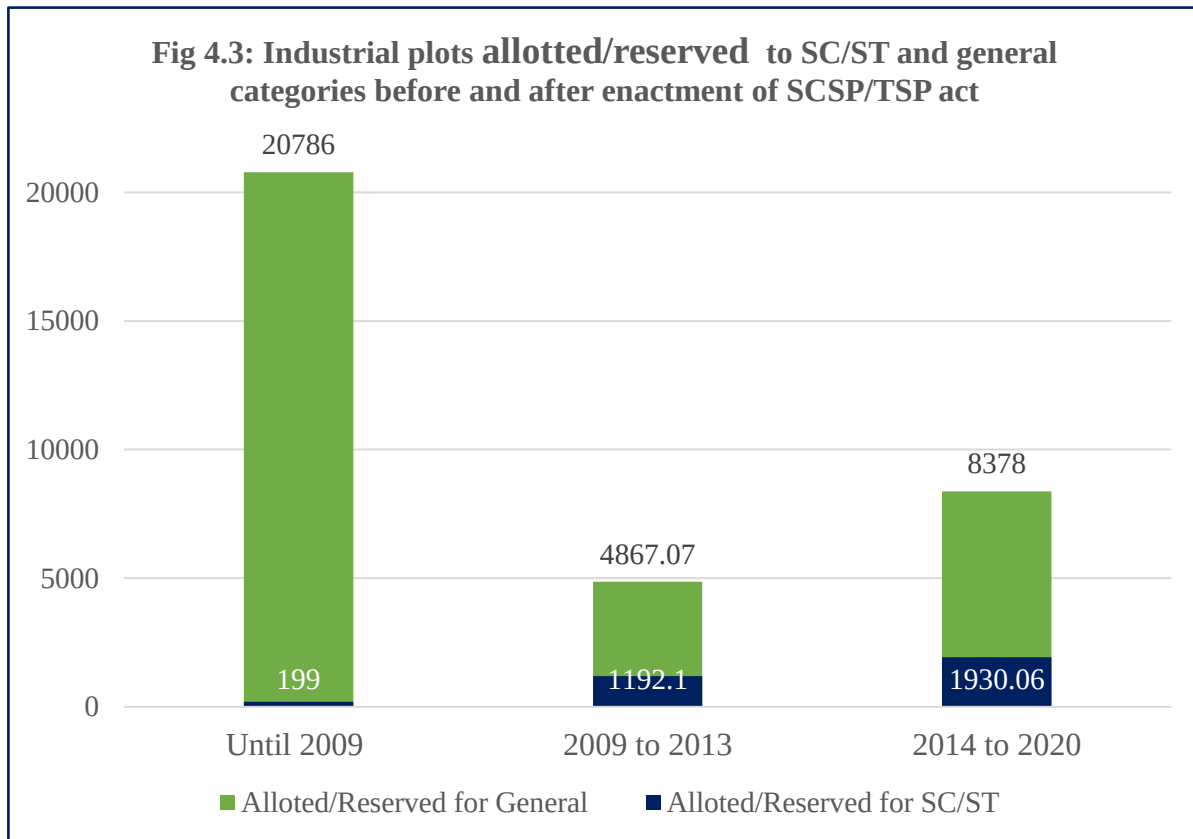
KIADB has developed a total of 162 industrial areas from 1960 to 2020. Until 2009, KIADB had developed 104 industrial areas of a total size of 24,629 acres. However, the allotment for SC/ST was negligible, as indicated in the graph 4.2. In 2009, KIADB introduced reservations for SC/ST in industrial areas. Since then, allotment for SC/ST has increased in the new industrial areas.



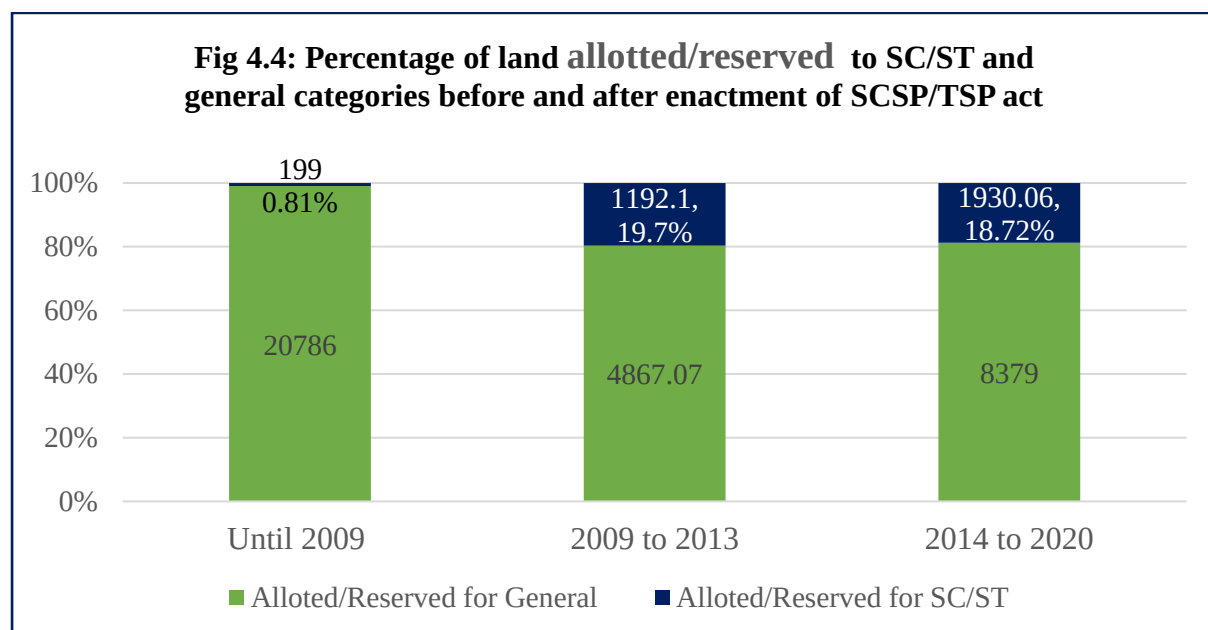
Source: Data submitted by KIADB to SC/ST welfare committee, GoK, 2022

The graph 4.3 shows the land distribution between SC/ST and the general population. From 1960 to 2009, beneficiaries under the general category received 20,786 acres, whereas SC/ST received only 199 acres. This indicated a need for affirmative action to increase the allotment for SC/ST. The reservation introduced in 2009, increased the potential of ownership of SC/ST from 0.81% of developed

land to approximately 19%. Even though this must be 22.65% as per the mandate, the reduction is due to circumstances such as litigation.



Source: Data submitted by KIADB to SC/ST welfare committee, GoK, 2022



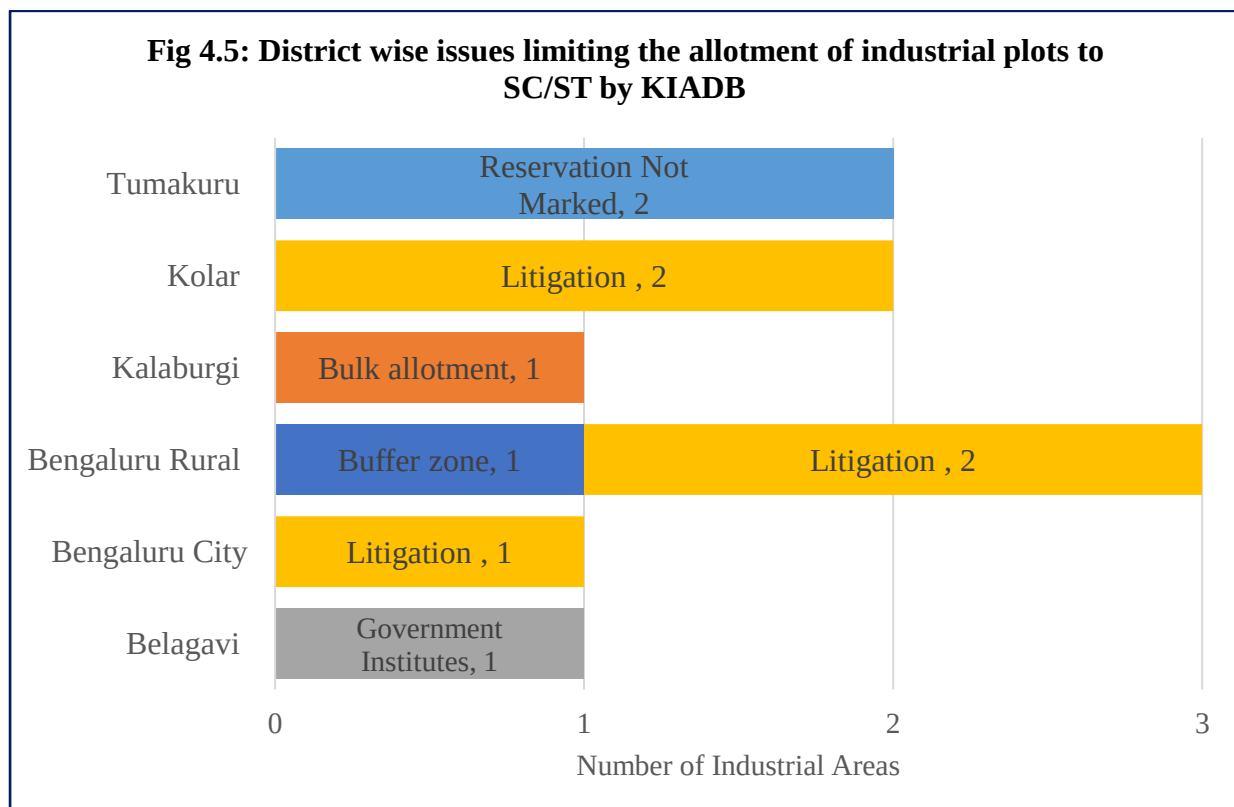
Source: Data submitted by KIADB to SC/ST welfare committee, GoK, 2022

Table 4.1: Details of land allotted to SC/ST by KIADB

Year	Beneficiaries		Acres of land allotted	
	SC	ST	SC	ST
2009-14	312	58	186.02	35
2014-22	2092	656	1682	517
Source: Data shared by KIADB, 2023				

Challenges to allot land: The land available for SC/ST is reduced to 19% from the reserved 22.65% because of various issues such as litigation, bulk allotment to large companies and government institutes etc. This is illustrated in the graph 4.5. KIADB could not allot 716 acres because of the above-mentioned issues.

The report submitted to welfare committee stated that reservations were not marked in the two industrial areas of Tumakuru, Vasanthanarasapura 3rd stage and Japanese Industrial areas. But the beneficiary data indicates that plots have been allotted to SC/ST in Vasanthanarasapura 3rd stage.

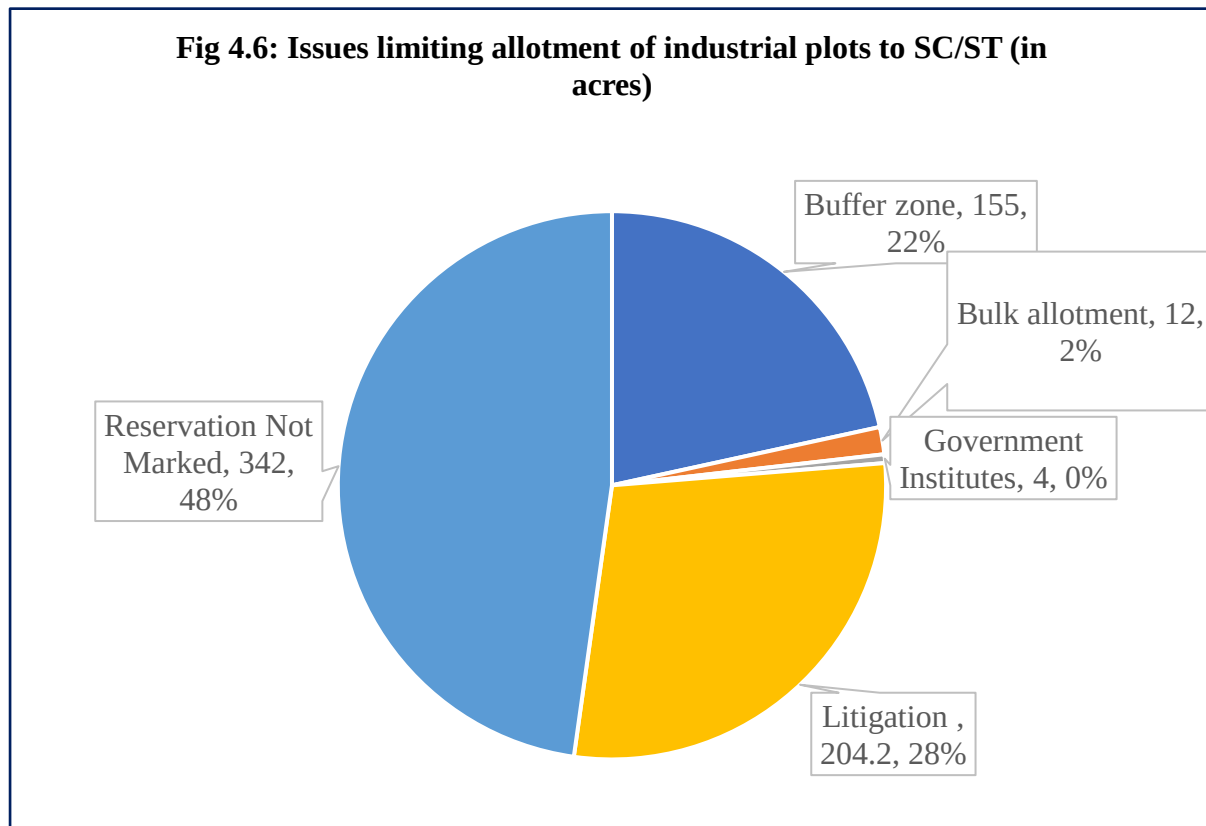


Source: Data submitted by KIADB to SC/ST welfare committee, GoK, 2022

Even though the report stated that two industrial areas were under litigation. The field research indicated that a greater number of industrial areas may be under litigation. The secondary data states that 25 acres is allotted for SC/ST in Hassan. However, the field visit showed that only 2 acres has been used by

SC/ST entrepreneurs, and the rest are unable to use because of litigation. Similar cases are observed in Kittur, Belgaum

Fig 4.6: Issues limiting allotment of industrial plots to SC/ST (in acres)



Source: Data submitted by KIADB to SC/ST welfare committee, GoK, 2022

Positive Impact: Exclusive industrial area for SC/ST

KIADB has developed an industrial area exclusively for SC/ST entrepreneurs in Kelageri, Dharwad of total area 7.85 acres. This industrial area is in the vicinity of IIT Dharwad and strategically positioned to be in the circle of innovation and access to quality human resource.

Positive impact of reservation: Higher Demand

The reservation has further helped increase the demand for plots among SC/ST population. In a special case, observed in In Adinarayana Hosahalli Industrial Area of Bengaluru Rural, the total allottable land for SC/ST was 11.47 acres. But a total of 18.13 acres, that is additional 6.6 acres, was allotted to SC/ST entrepreneurs because of high demand from SC/ST entrepreneurs. This shows that, actions such as reservation increases awareness among community and thus help increase the demand among the target group.

Field Data Analysis and Findings

The below section provides insights from surveying select beneficiaries of KIADB and KSSIDC.

Of the sample selected, men were 72%, that is 156 beneficiaries and women were 28% that is 62 beneficiaries. The gender distribution among KIADB and KSSIDC's beneficiaries also followed the same distribution pattern. Among KIADB's beneficiaries selected for the study, the number of men were 102 beneficiaries, that is 72% and women were 40, constituting 28%. Under KSSIDC, as well the proportion of male and female is at 71% and 29%, that is 54 and 22 beneficiaries respectively. Since the proportion of selected female beneficiaries is close to 30%, the research has adequate participation of women beneficiaries.

Fig: 4.7: Gender distribution of sample selected

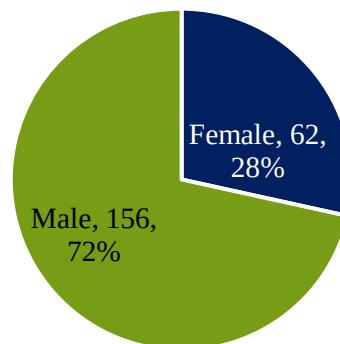


Fig 4.8: Gender distribution of sample selected among KIADB's beneficiaries

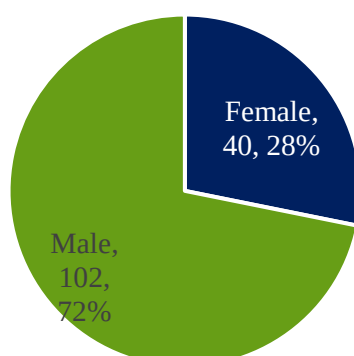
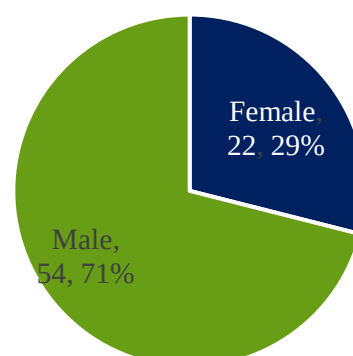


Fig 4.9: Gender distribution of sample selected among KSSIDC's beneficiaries



Source: Field Data, 2022-2023

Social Categories of the sample selected:

In the sample selected, the overall SC beneficiaries were 66% and ST beneficiaries were 34%. Under KIADB the SC beneficiaries were 69% and ST beneficiaries were 35%. Under KSSIDC, the SC beneficiaries were 63% and ST beneficiaries were 37%. Among both, consolidated and disaggregated data, ST female was in least number. The below table has detailed distribution of different categories and gender.

Table 4.2: SC/ST distribution among beneficiaries' part of the study

Corporations	SC			ST		
	Female	Male	Total	Female	Male	Total
KIADB	26	70	96	14	32	46
KSSIDC	16	32	48	6	22	28
Total	42	102	144	20	54	74

Source: Field Data, 2022-2023

Fig 4.10: Distribution of SC/ST beneficiaries part of the study

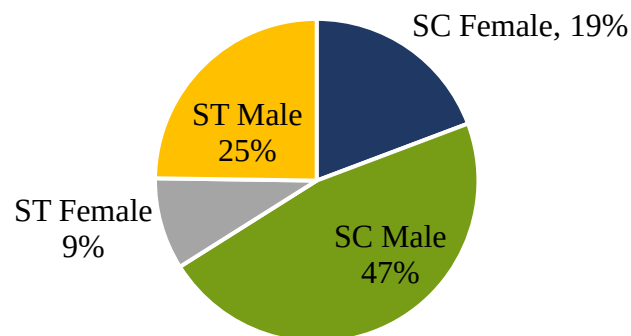


Fig 4.11: SC/ST distribution of KIADB's beneficiaries part of the study

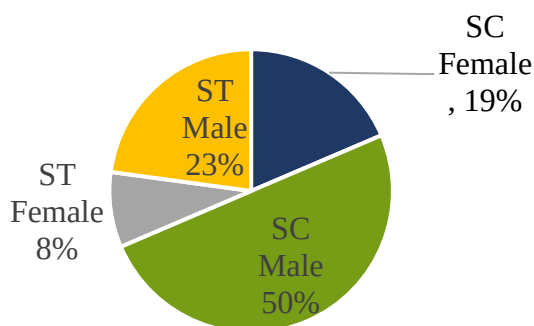
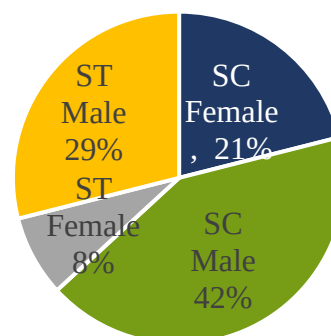


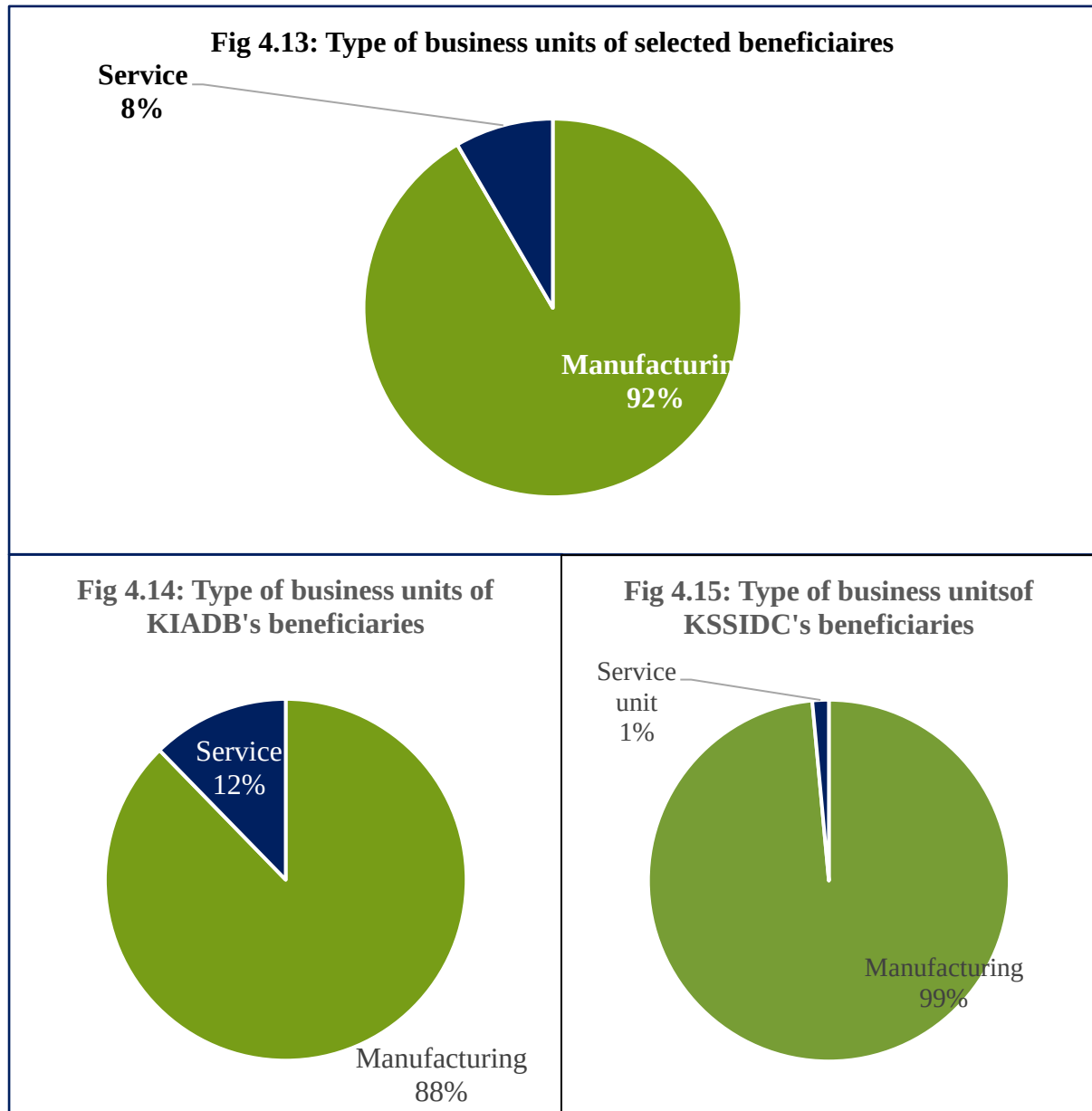
Fig 4.12: SC/ST distribution of KSSIDC's beneficiaries part of the study



Source: Field Data, 2022-2023

Type of business unit:

Out of the 218 beneficiaries, 28 did not respond to the question if they were planning to run a production unit or service unit as they were uncertain about the business that they were intending to start in the industrial plot/shed. Out of the remaining 190 beneficiaries, 16 are service units and 174 are manufacturing units. That is a majority, 92% are manufacturing units and only 8% are service units. The beneficiaries of KIADB were running relatively higher number of service businesses when compared to KSSIDC. Only one service business was found under KSSIDC, which was a cold storage business.



Source: Field Data, 2022-2023

The service businesses are relatively more in number in KIADB's industrial plots. Out of 122 businesses units under KIADB, that are certain about their business idea, only 12% that is 15 are service units. The below table has details of service businesses in KIADB's industrial plots.

Table 4.3: Service businesses in KIADB's industrial plots

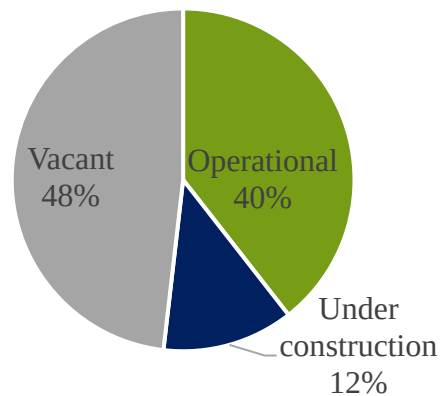
Type of business	No. of business
Waste processing	1
Gas Agency	1
Warehouse	6
Battery recycling	1
Automobile repair	3
Défense and aerospace design	1
Food irradiation	1
Hospitality	1
Total	15

Source: Field Data, 2022-2023

Business stage

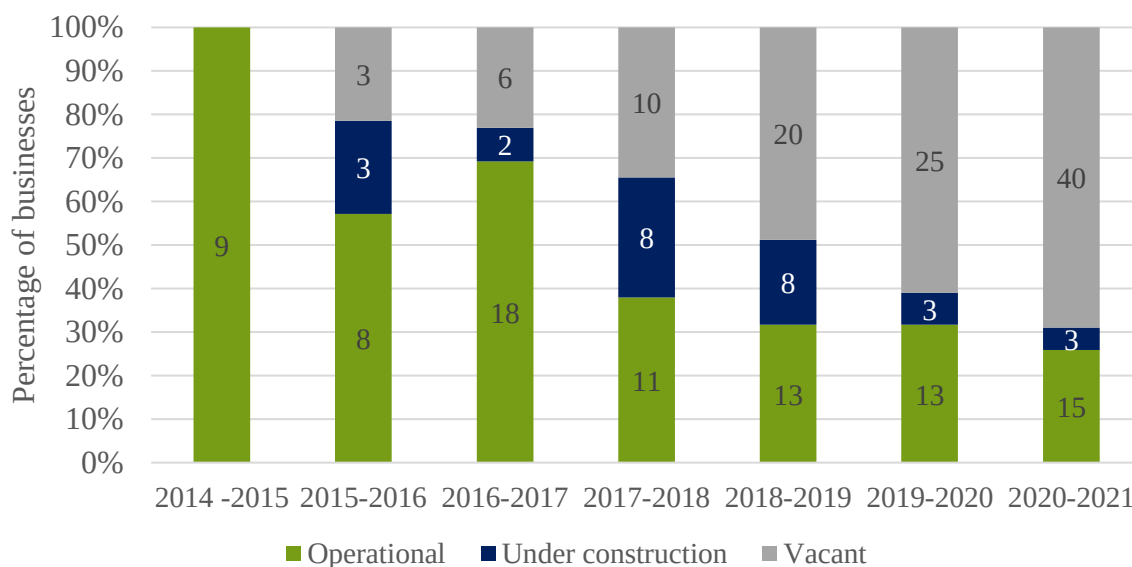
After receiving the industrial plots of KIADB and KSSIDC, the beneficiaries will have to complete construction and then start the operations. In case of sheds form KSSIDC, the beneficiaries may have to undertake minor construction activities such as fixing the floor of the shed and making other changes depending on their business plan. Particularly in case of plots, the beneficiaries will have to prepare a building plan, get relevant approvals, mobilise resources to start the construction. KIADB and KSSIDC provides two years for beneficiaries to complete the construction activity. Since SC/ST entrepreneurs lack knowledge, guidance, and financial resources to undertake construction activity, the assumption before the research was that large number of industrial plots may be vacant.

The field insights showed that overall, for the plots distributed between 2014 to 2021, the vacant plots were at 48% (104 beneficiaries) followed by operational business at 40% (87 beneficiaries) and 12% (27 beneficiaries) were under construction. That is a majority, 52% of beneficiaries had mobilised resources to start the business.

Fig 4.16: Status of industrial plots/sheds

Source: Field Data, 2022-2023

Further, the status of business was analysed across the years. As indicated in the graph below, the proportion of vacant plots/sheds reduces with time. The proportion of vacant plots/sheds of beneficiaries who were allotted the plots in the financial year 2020-2021 is 70% but this reduced to 21% for beneficiaries who were allotted the plots in 2015-2016.

Fig 4.17: Status of industrial/plots as per allotment year

Source: Field Data, 2022-2023

The analysis of disaggregated data for gender, corporation/board, and categories showed that women run businesses, SC run businesses and businesses under KIADB are relatively more operational in compared to their counterparts.

Gender disaggregated data: The analysis of gender disaggregated data showed that the women owned businesses have less proportion of vacant plots when compared to men owned businesses. 37% of women owned businesses are vacant whereas 52% of men owned businesses are vacant.

Table 4.4: Gender disaggregated status of industrial plots/sheds.

Status	Women owned business	Men owned business
Vacant	37% (23)	52% (81)
Under construction	15% (9)	11% (18)
Operational	48% (30)	37% (57)
Total	100% (62)	100% (156)
Source: Field Data, 2022-2023		

Fig 4.18: Status of industrial plots/sheds of women owned businesses

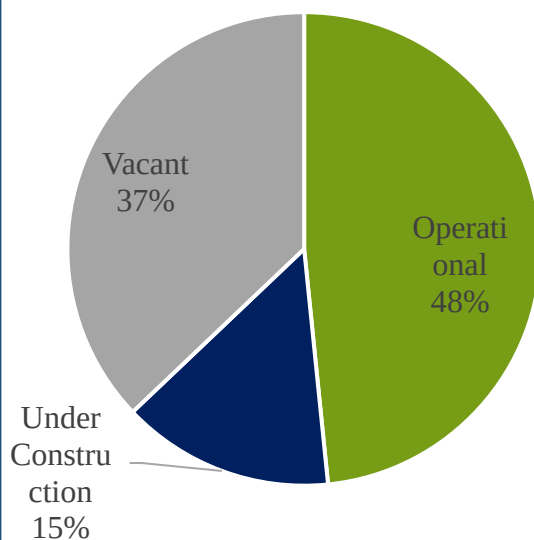
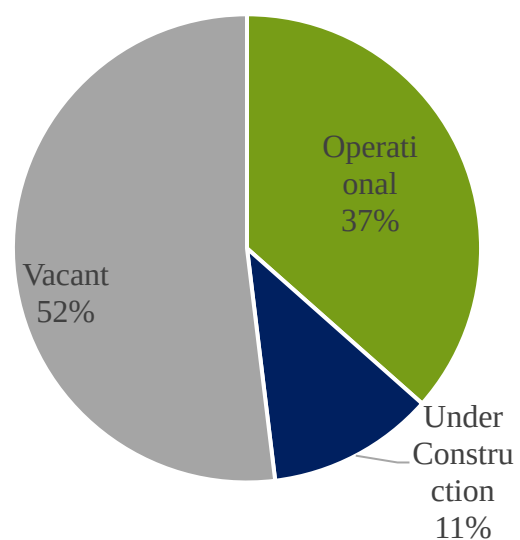
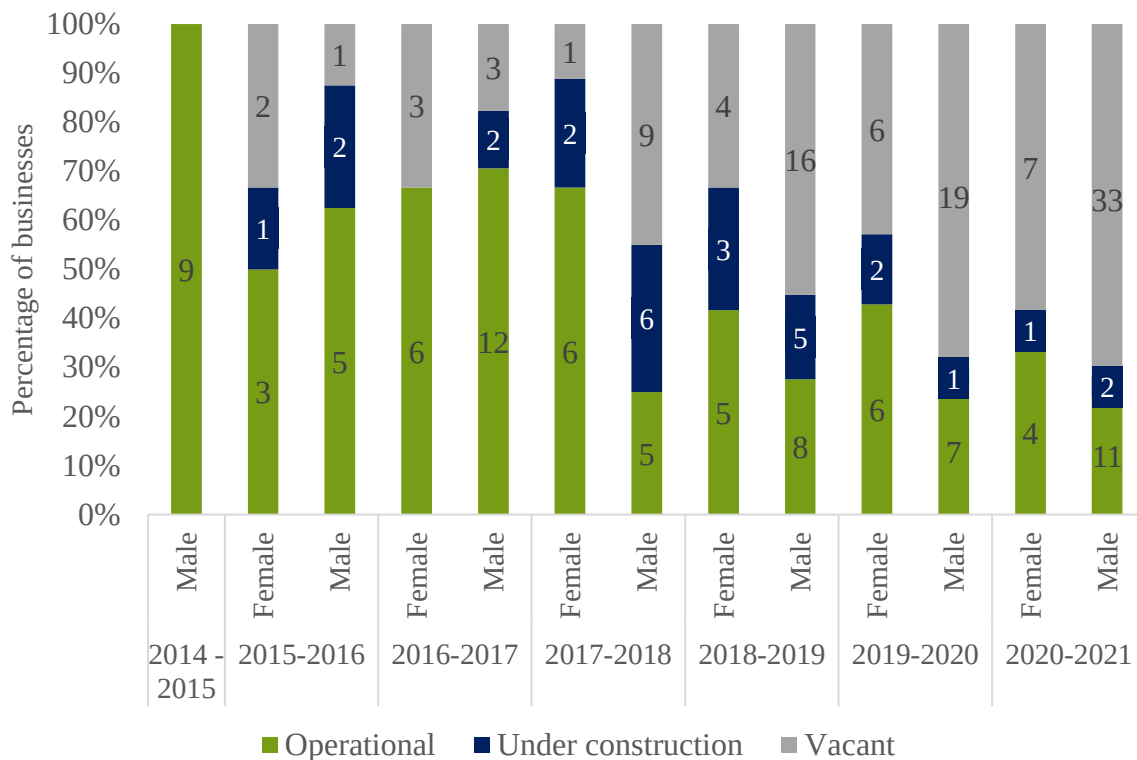


Fig 4.19: Status of industrial plots/sheds of men owned businesses



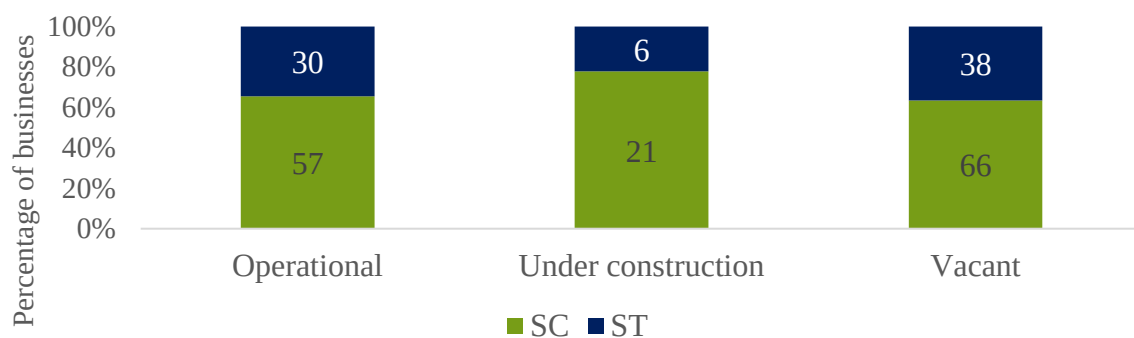
Source: Field Data, 2022-2023

Fig 4.20: Gender disaggregated status of industrial plots/sheds as per allotment year

Source: Field Data, 2022-2023

Social Category: The SC run businesses have slightly higher number, that is 5% more businesses are operational and under construction in comparison to ST businesses.

- SC run businesses – operational are 40% (57), under construction are 14% (21) and vacant are 46% (66)
- ST run businesses – operational are 41% (30), under construction are 8% (6) and vacant are 51% (38)

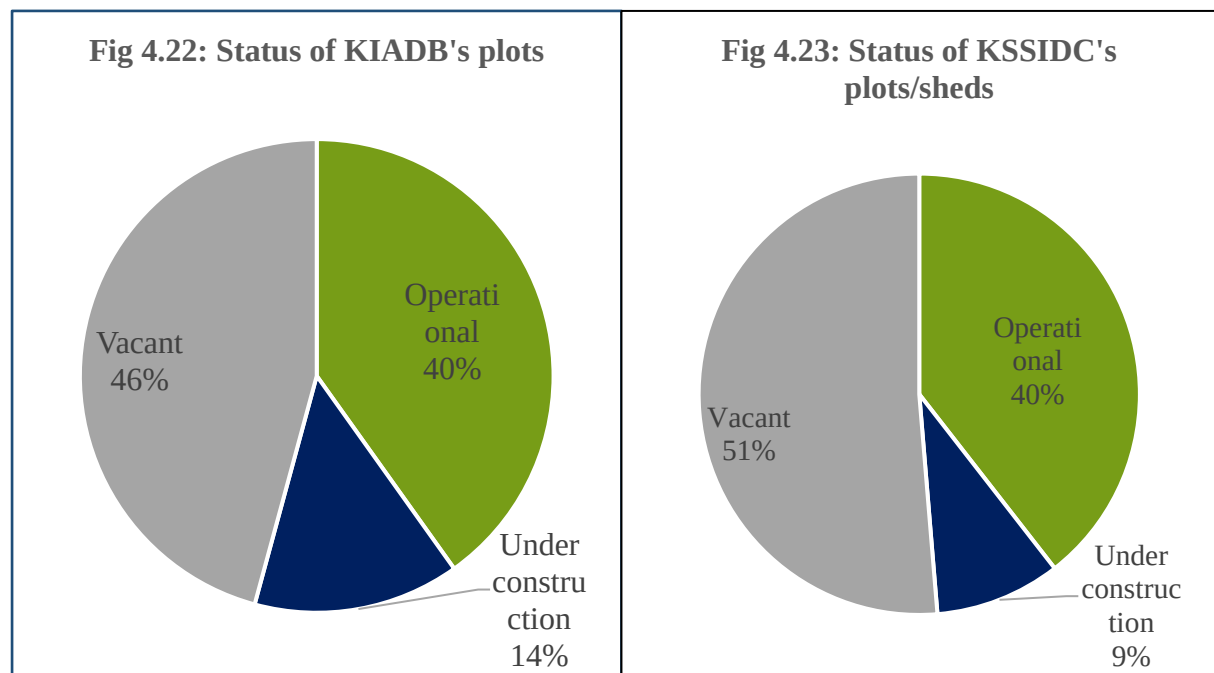
Fig 4.21: Status of industrial plots/sheds as per social category

Source: Field Data, 2022-2023

KIADB/KSSIDC:

The businesses under KIADB have slightly higher number, that is 7% more businesses are operational and under construction in comparison to businesses under KSSIDC.

- KIADB: operational are 40% (57), under construction are 14% (21) and vacant are 46% (65)
- KSSIDC: operational are 40% (30), under construction are 9% (7) and vacant are 51% (39)



Source: Field Data, 2022-2023

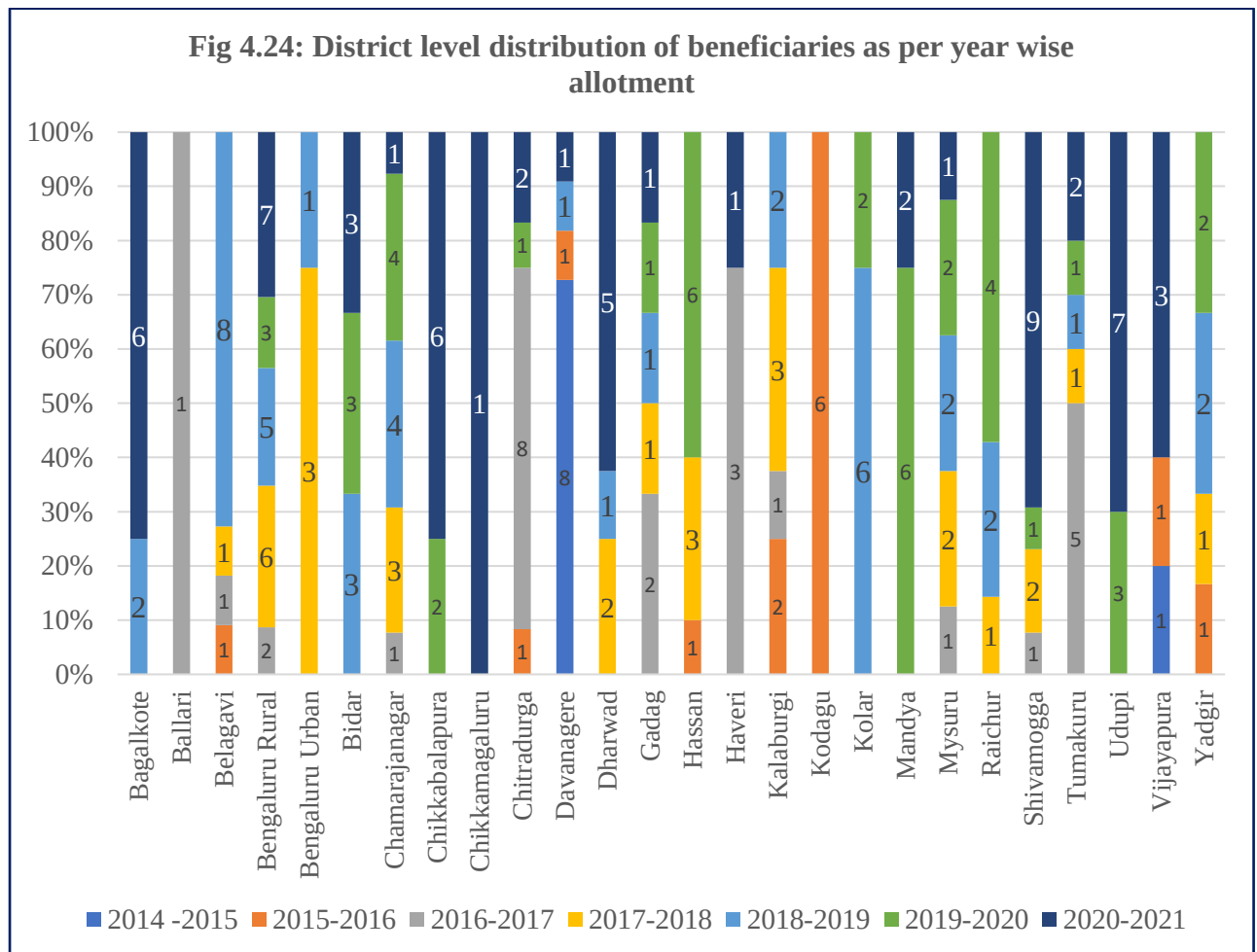
Status of industrial plots/sheds - across districts: The period of evaluation study, that is 2014 to 2021, was divided to 2014 to 2018 and 2018 to 2021 to analyse the status of industrial plots/sheds at the district level. 55.8% of businesses that received plot/sheds between 2014-2018 are operational whereas only 30% of businesses that received plots/sheds between 2018 -2021 are operational. The proportion of businesses that are under construction and vacant in these time periods are indicated in the table below. As expected, a greater number of businesses that were allotted plots in the recent years are vacant.

Table 4.5: Status of industrial plots/sheds between 2014 -18 and 2018-21

Period	Operational	Under Construction	Vacant
2014-2018	55.8%	16.5%	28%
2018-2021	30%	10%	60%

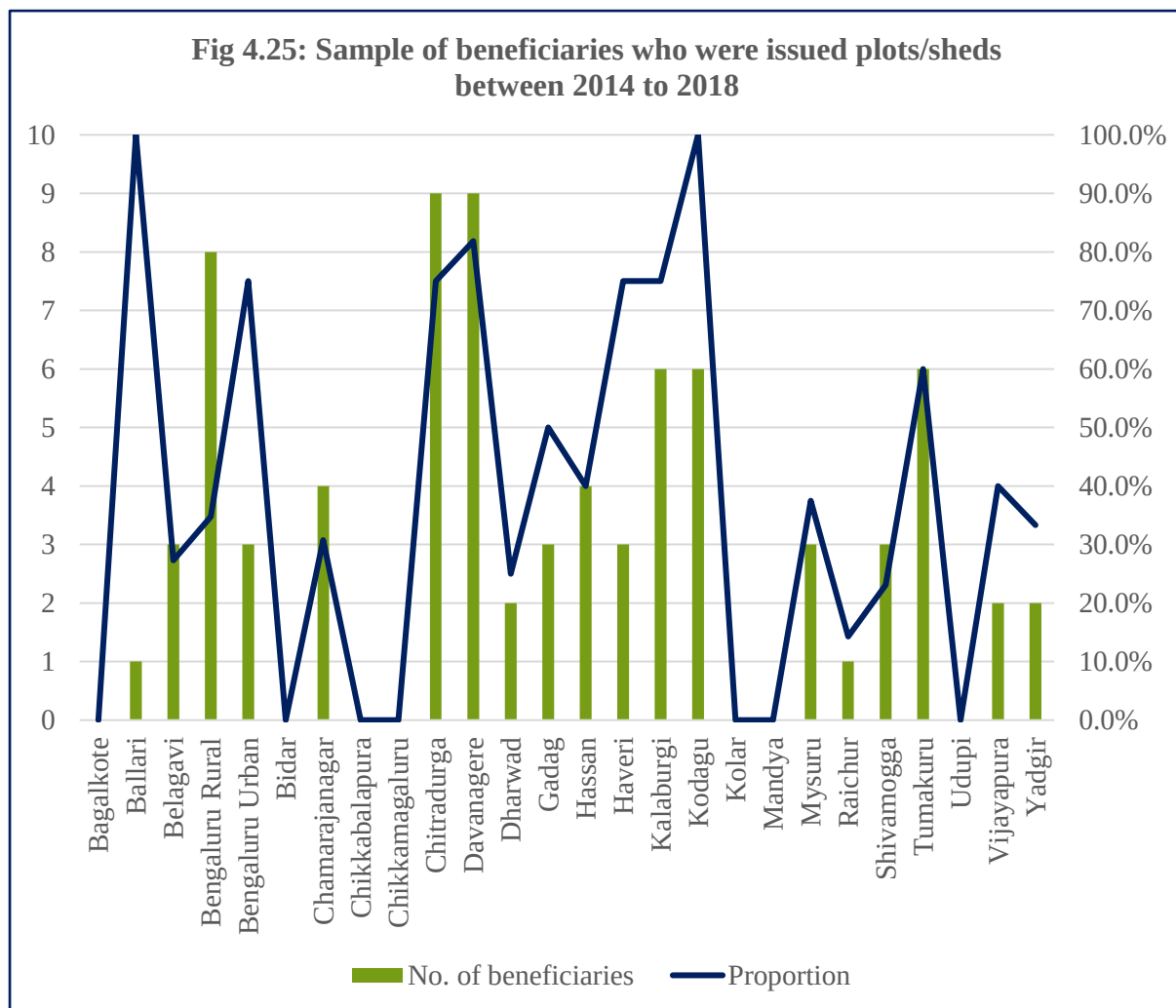
Source: Field Data, 2022-2023

The distribution of beneficiaries across years varies in each district. The below graph indicates the distribution of beneficiaries across years across districts.



Source: Field Data, 2022-2023

Chikkabalapura, Chikkamagaluru, Kolar, Mandya and Udupi did not have any beneficiaries from the sample selected for the period 2014-2018. On the other end, Ballari, Kodagu had 100% of sample from this period. Both these districts have a low number of beneficiaries under the scheme. The below graph indicates the number and proportion of beneficiaries in district in period 2014-2018.

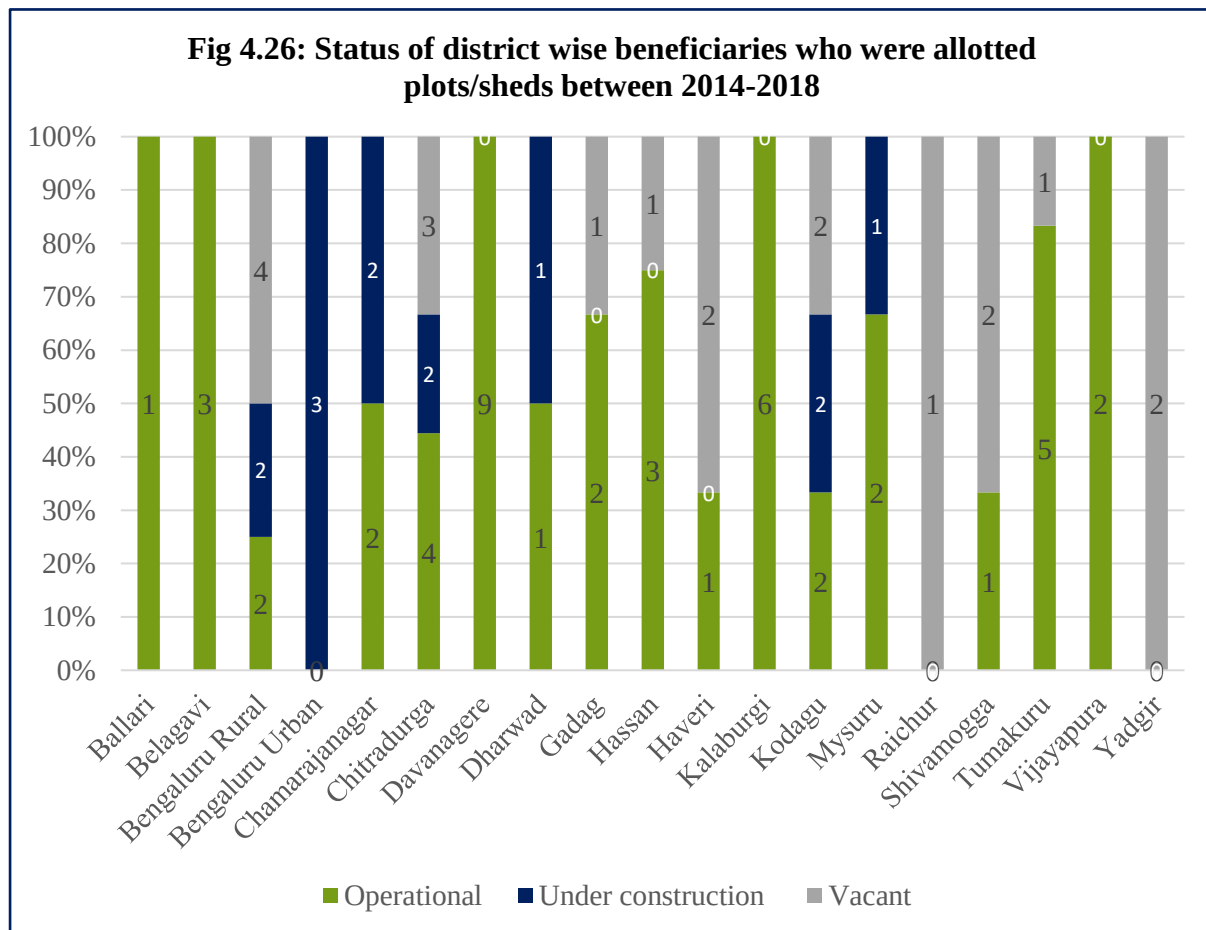


Source: Field Data, 2022-2023

Further, the below graph shows the status of plots/sheds at district level in period between 2014-2018. Among the sample selected, 100% of businesses were operational in Belagavi, Ballari, Davanagere, Kalaburgi, & Vijayapura. However anecdotal data and insights from field showed that, in Belagavi KSSIDC textile park, over 25 businesses are yet to start the work. The beneficiaries shared that others are hesitant to start the business due to high power bill and low profit margins in the textile business. The beneficiaries have submitted a proposal to KSSIDC to allow them to start businesses other than textile in the industrial area.

Districts that are cause of concern are Bengaluru rural, Haveri, Shivamogga and Yadgir where over 50% of sites are empty. Even though the sample size for Shivamogga and Yadgir are less than 3 for this period, the field insights indicated that there are no operational businesses. The districts with over 30% of vacant sites are Chitradurga, Gadag and Kodagu. KIADB states that beneficiaries must start the operations within 2 years from allotment of the plot. Considering that these districts have high number

of vacant sites among plots allotted between 2014 to 2018, further investigation is required to understand the challenges faced by beneficiaries to start the business.

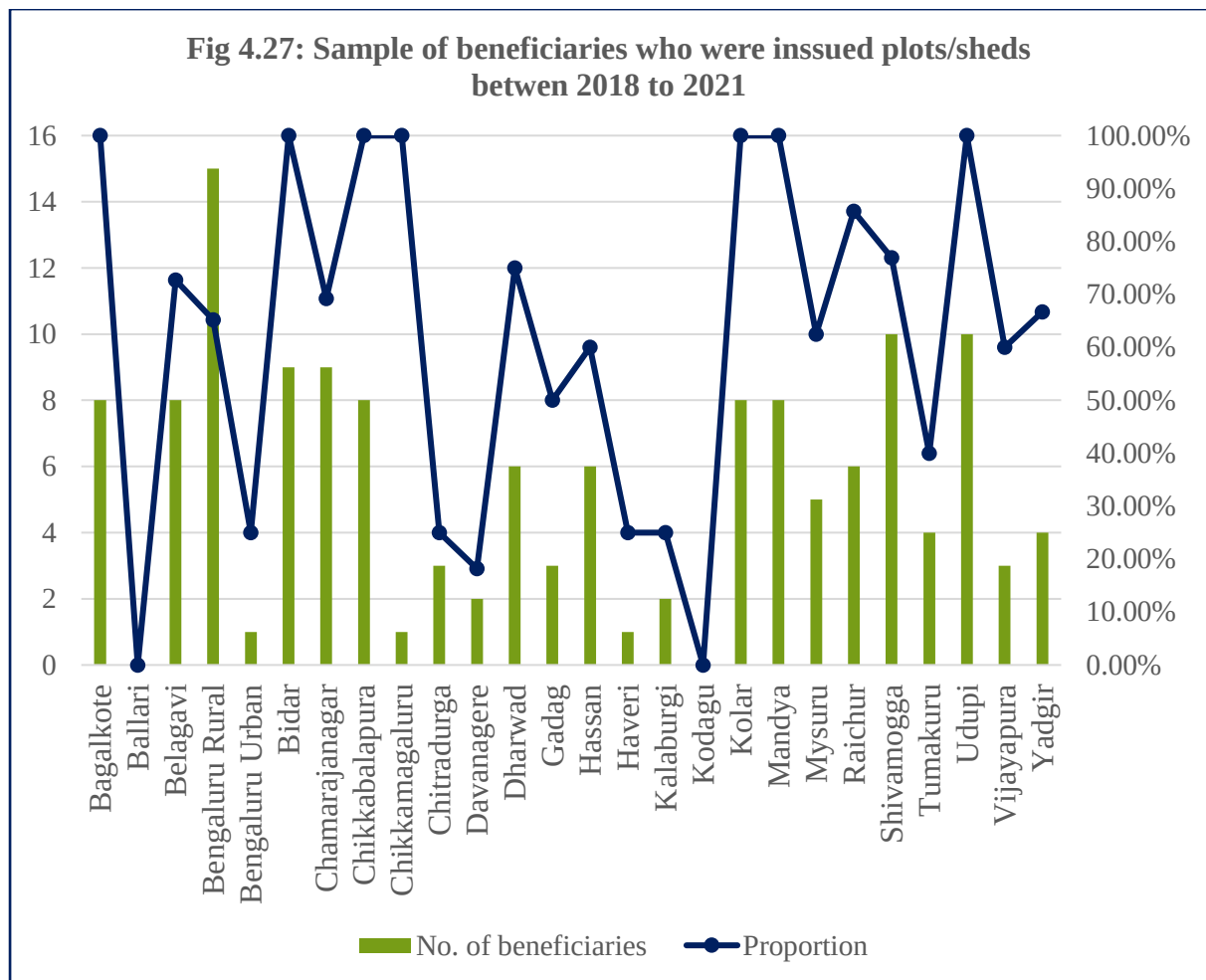


Source: Field Data, 2022-2023

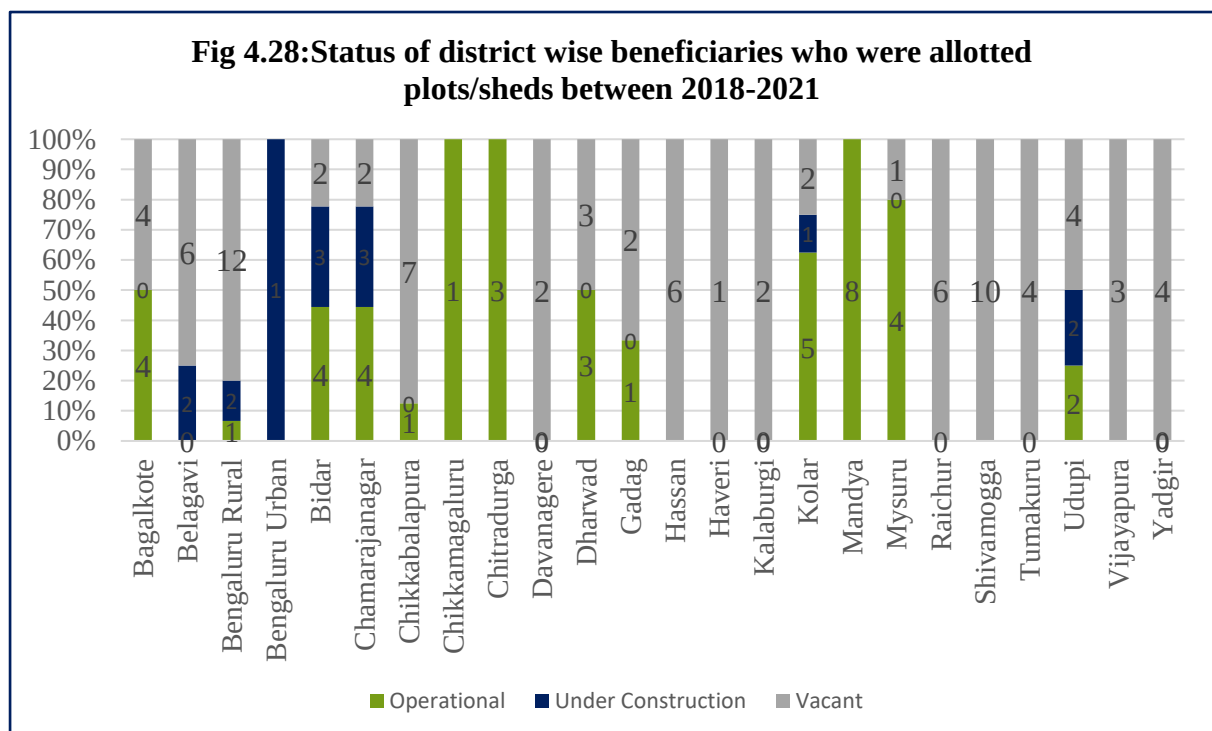
2018-2023:

The 100% of sample selected from Bagalkote, Bidar, Chikkaballapura, Chikkamagalur, Kolar, Mandya, and Udupi are applicants who were allotted plots/sheds between 2018 to 2023. The below graph indicated the distribution and proportion of beneficiaries in period 2018 to 2021.

Mandya, Kolar, Mysuru and Chitradurga have performed well with over 62.5% operational and under construction businesses. On the other end, Belagavi, Hassan, Chikkaballapura, Raichur, Shivamogga, Tumkur and Yadgir are cause of concern as they have operational businesses at below average levels. Particularly, Tumkur, Kalburgi, and Shivamogga, have high number of allotted plots/sheds but have no operational businesses. In addition, KIADB industrial areas of Chikkaballapura have no operational businesses under SCSP/TSP. Litigation is the reason for low number of plots/sheds operational in Belagavi and Hassan. Field inspection showed that beneficiaries are unable to start the operations because of litigation in Kittur industrial area of Belagavi and Growth Centre industrial area of Hassan.

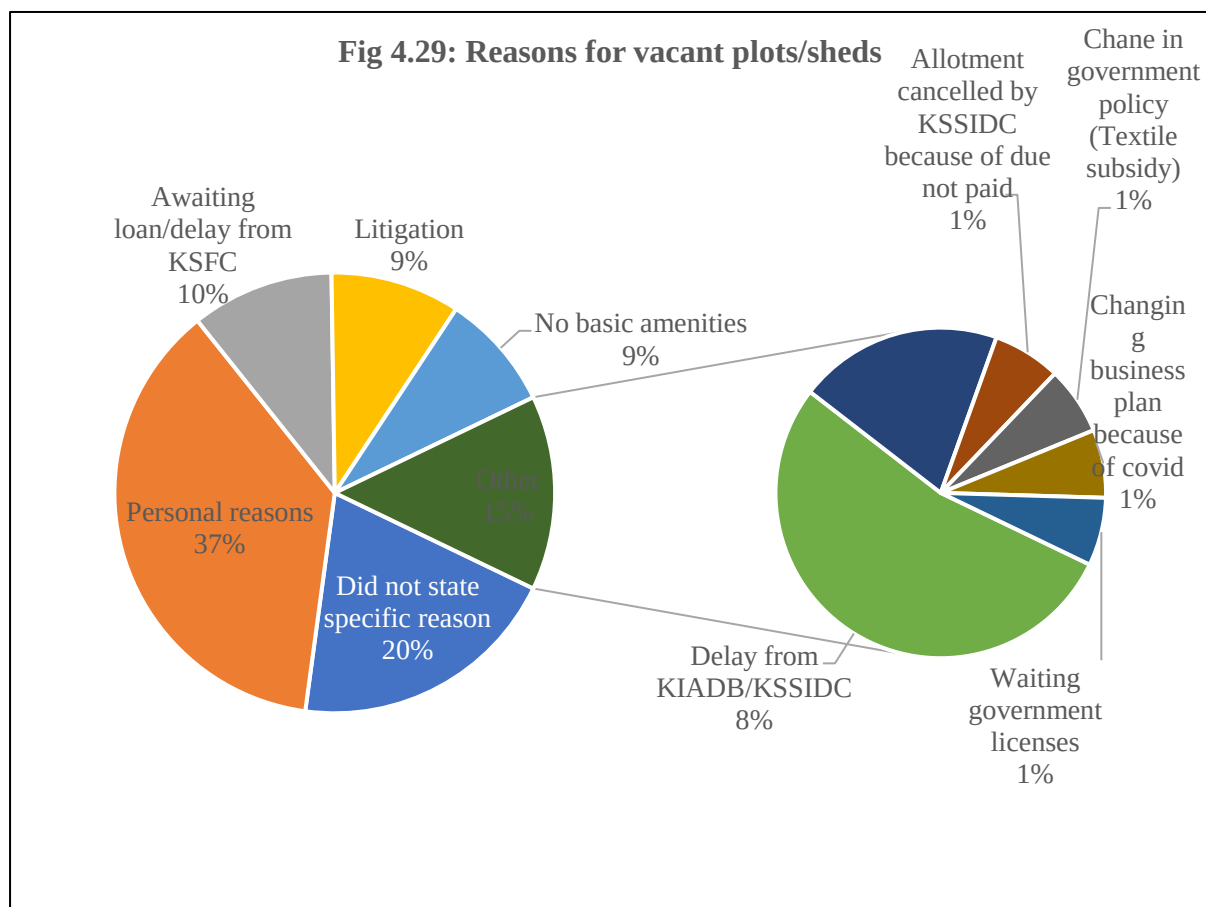


Source: Field Data, 2022-2023



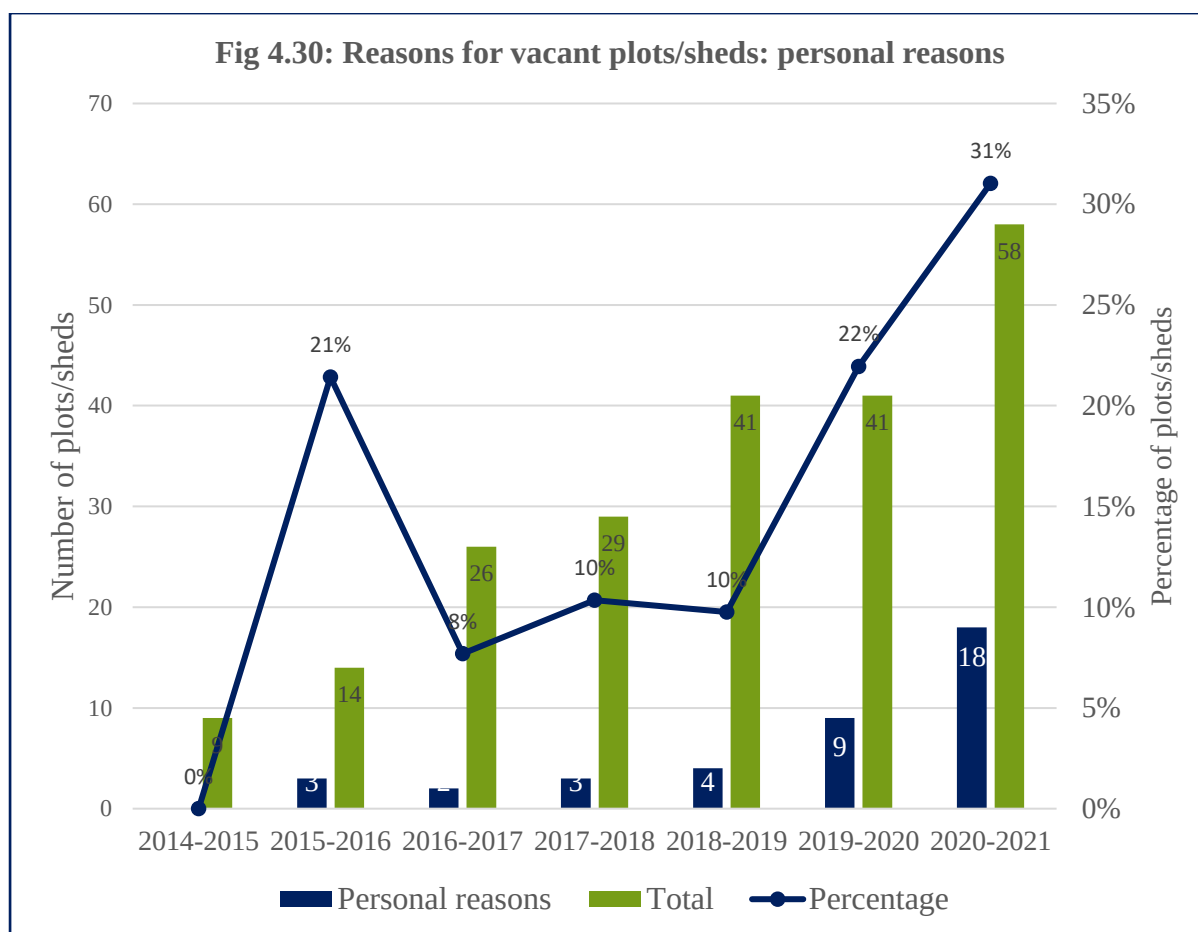
Reason for vacant plots

A total of 104 plots/sheds, that is 48% of sample selected, is vacant. The below graphs indicate the reasons stated by beneficiaries for plots/sheds being vacant. The most common reason stated by beneficiary is 'personal reasons' which stands at 38%. Around 20% did not state the reason for the plot/shed being empty. Departmental issues or service delivery issues form the second most common reason for vacant plots/sheds. Service delivery issues include awaiting loan/delay from KSFC at 10%, litigation at 9%, no basic amenities at 9% and delay from KIADB/KSSIDC as 8%. A total of 40 businesses can be operational if service delivery issues are addressed.



Source: Field Data, 2022-2023

Personal reasons: Thirty-nine beneficiaries stated personal challenges as reason for being unable to start the operations in the industrial plots/sheds. The below graph gives the distribution of beneficiaries who stated personal reasons across the years. The proportion of beneficiaries who stated personal challenges as reasons is highest in 2019-2020 and 2020-2021 at 22% and 31% respectively. However, it is at 8% and 10% in 2016-2017 and 2017-2018 respectively. This indicates that over period the proportion of beneficiaries who state personal challenges as reason may reduce to 10% or lesser.



Source: Field Data, 2022-2023

Delay because of loan: This is the second largest reason stated by beneficiaries. Around 10% of the beneficiaries whose plots/sheds are empty, stated that they are awaiting loans, particularly from KSFC. Lack of collateral, low awareness on collateral security scheme and lack of processes followed by banks and KSFC are reasons for delay in availing loans. Even among those who had availed, a significant number stated that they used personal networks to gather collateral required for the loan.

The districts which reported delay in loan are as below. This table must be considered indicative.

Tab 4.6: District-wise details of beneficiaries who stated loans were delayed.

Districts	No. of beneficiaries
Bagalkote	1
Chamarajanagar	1
Chikkabalapura	3
Gadag	2
Haveri	1
Kalaburgi	1

Districts	No. of beneficiaries
Udupi	1
Vijayapura	1

Source: Field Data, 2022-2023

Litigation: 9% stated litigation as reason for the businesses being vacant. Litigation is the primary reason for sites being vacant in Kittur (Belagavi) and Hassan. Kittur Industria area has 35 beneficiaries as of 2021. And in 2022, KIADB has allotted industrial plot to 10 more beneficiaries in Kittur Industrial Area. Only 3 beneficiaries of Kittur Industrial Area have completed construction in the allotted plots. In Hassan, as well, only 3 plots were operational out of the total 32 allotted plots. Even though there is no legal litigation in Hassan, the local farmers are restricting beneficiaries from starting the operations. In Chikkaballapura, the issue of litigation seemed to be one off case, wherein the beneficiary had litigation issue because of approach road.

Along with this, the district social welfare office of Koppal also stated that the KSSIDC industrial are of Koppal is under litigation in High Court of Karnataka.

These four issues were identified from visiting 57 industrial areas across 29 districts. There may be a greater number of industrial areas under litigation.

Tab 4.7: District-wise details of beneficiaries who stated litigation issues.

Districts	Number of beneficiaries
Belagavi	3
Chikkabalapura	1
Hassan	6
Total	9

Source: Field Data, 2022-2023

No basic amenities: 5 beneficiaries stated lack of basic amenities in the industrial areas as reason for not starting the construction in the allotted plots. A beneficiary of Raichur who is running silver jewellery manufacturing unit stated safety concerns as reason for not starting the operations, as there is no streetlight and other basic amenities in the industrial area. Even among the beneficiaries who have started business, the satisfaction level on amenities provided by KIADB/KSSIDC in industrial areas is low.

Tab 4.8: District-wise details of beneficiaries who stated lack of basic amenities in industrial area.

Districts	No. of beneficiaries
Bagalkote	1
Raichur	1
Shivamogga	2
Tumakuru	1

Source: Field Data, 2022-2023

Delay from KIADB /KSSIDC:

Five beneficiaries stated delay from KIADB/KSSIDC in providing possession certificate as the reason for not starting the construction work in the allotted plot. The below table indicates the industrial area wherein beneficiaries stated delay from KIADB/KSSIDC

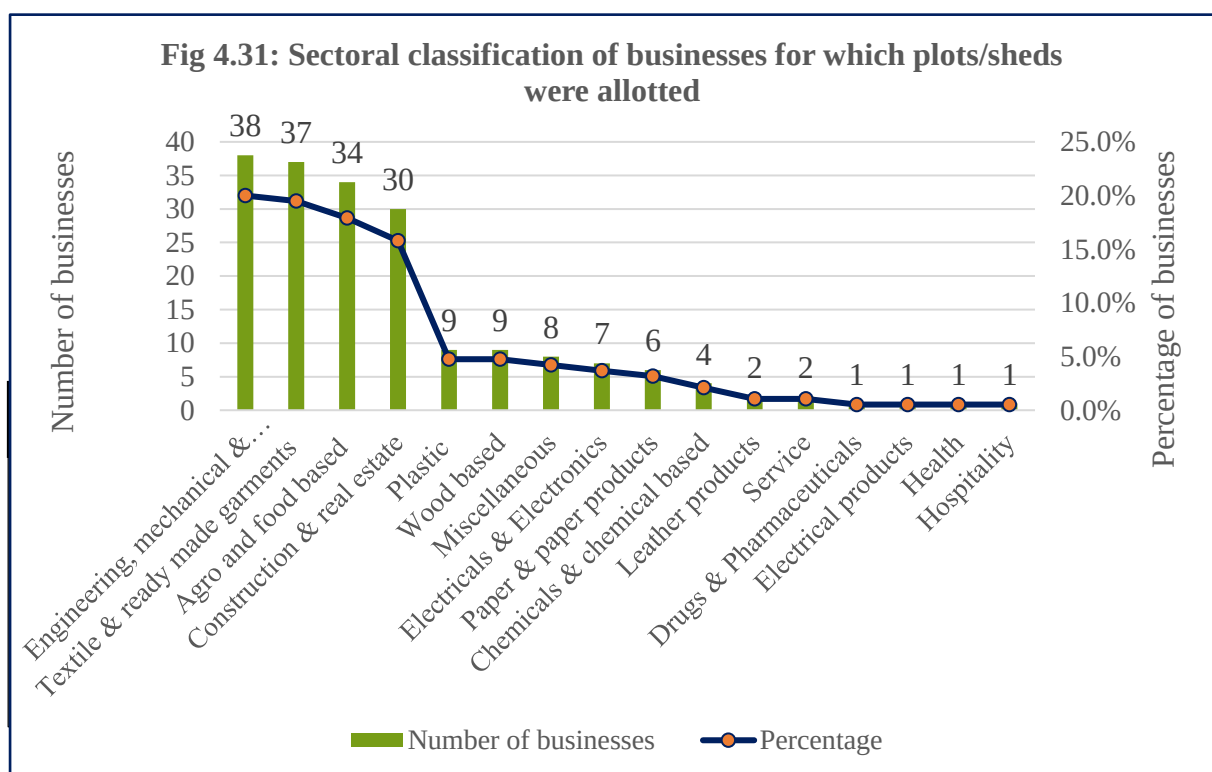
Table 4.9: District-wise details of beneficiaries who stated about delays from KIADB/KSSIDC

Districts	Industrial Area
Tumkuru (KSSIDC)	Pavagada
Davanagere (KSSIDC)	Sarathi Kurubarahalli
Gadag (KSSIDC)	Rona
Raichur (KIADB)	Yeramarus
Chikkaballapura (KIADB)	Mastenahalli

Source: Field Data. 2022-2023

In case of a beneficiary from KSSIDC, Tumkur, the plot has been cancelled as he was unable to pay the instalment fee during the Covid as he was hospitalised. The beneficiary stated that his allotment was cancelled without showing any humanitarian grounds. However, few of the beneficiaries of KIADB stated that they were provided extension to pay instalment during covid based on humanitarian grounds.

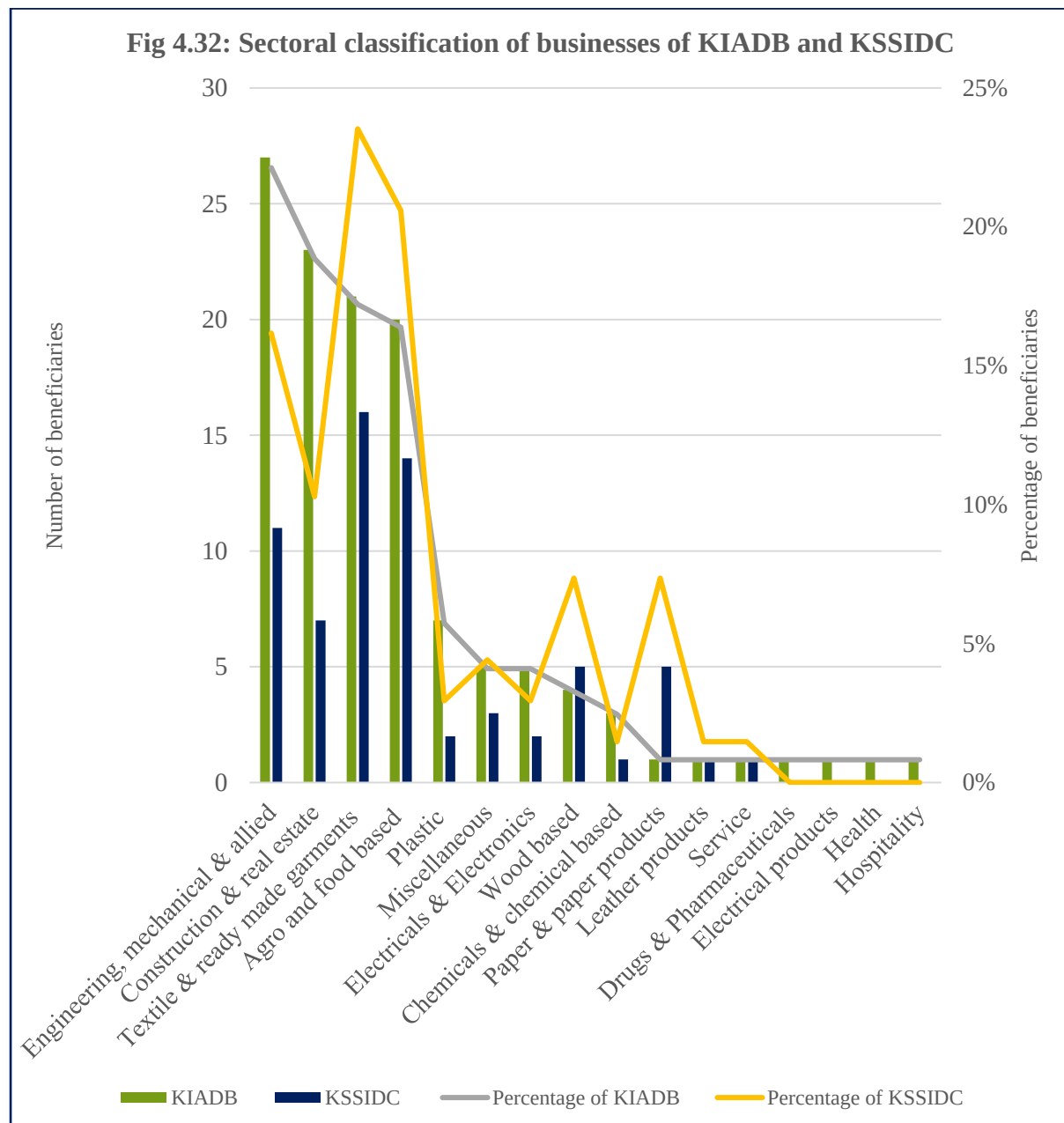
Sectoral analysis: The Karnataka State Financial Corporation's Lending Policy has segregated businesses into various sectors based on the business activity. Based on the lending policy, the businesses of beneficiaries were segregated and analysed. This is inclusive of businesses that are both operational and are in idea stage. However, 28 beneficiaries were excluded as they were uncertain about the type of business that they would start in the allotted plots/sheds. Hence, only responses of 190 beneficiaries are considered for sectoral analysis. The top sectors in which the beneficiaries have established or are planning to establish the businesses are Engineering, mechanical & allied, Textile & readymade garments, Agro and food based and Construction & real estate. These four sectors constitute 73% of beneficiaries that are certain of their business plan.



Source: Field Data, 2022-2023

There is variation in businesses that KIADB and KSSIDC beneficiaries are establishing in their allotted industrial plots and sheds. Under KIADB, the top four sectors are Engineering, mechanical & allied (27 beneficiaries), followed by construction & real estate (23 beneficiaries), textile & ready-made garments (21 beneficiaries), and agro and food based (20 beneficiaries). This is indicated in the graph.

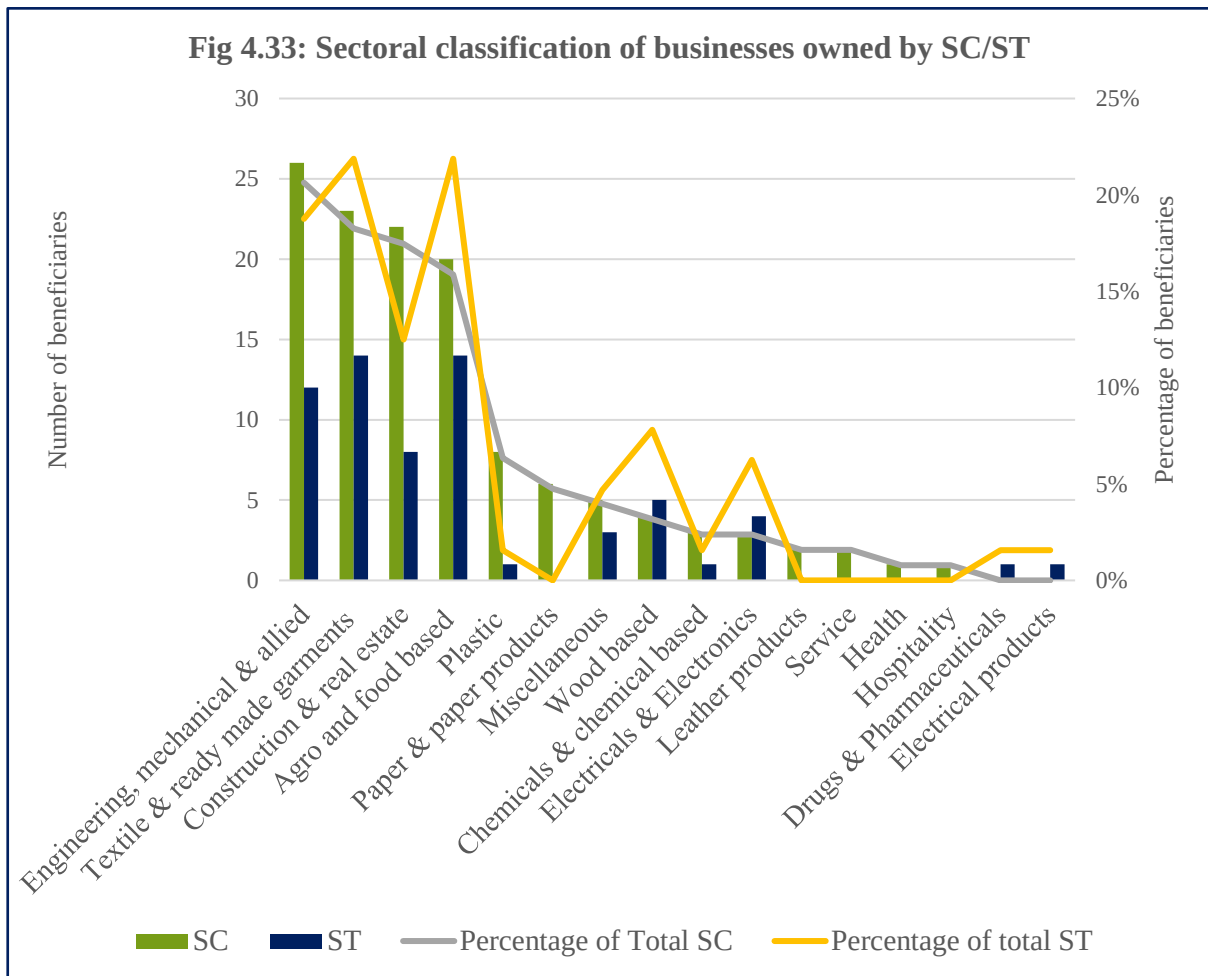
The top four sectors of KSSIDC are Textile & ready-made garments (16 beneficiaries), agro and food based (14 beneficiaries), engineering, mechanical & allied (11 beneficiaries), and construction & real estate (7 beneficiaries). This indicates that the beneficiaries of KIADB are oriented more towards establishing businesses that need skilled labour force and higher capital investment when compared to beneficiaries of KSSIDC.



Source: Field Data, 2022-2023

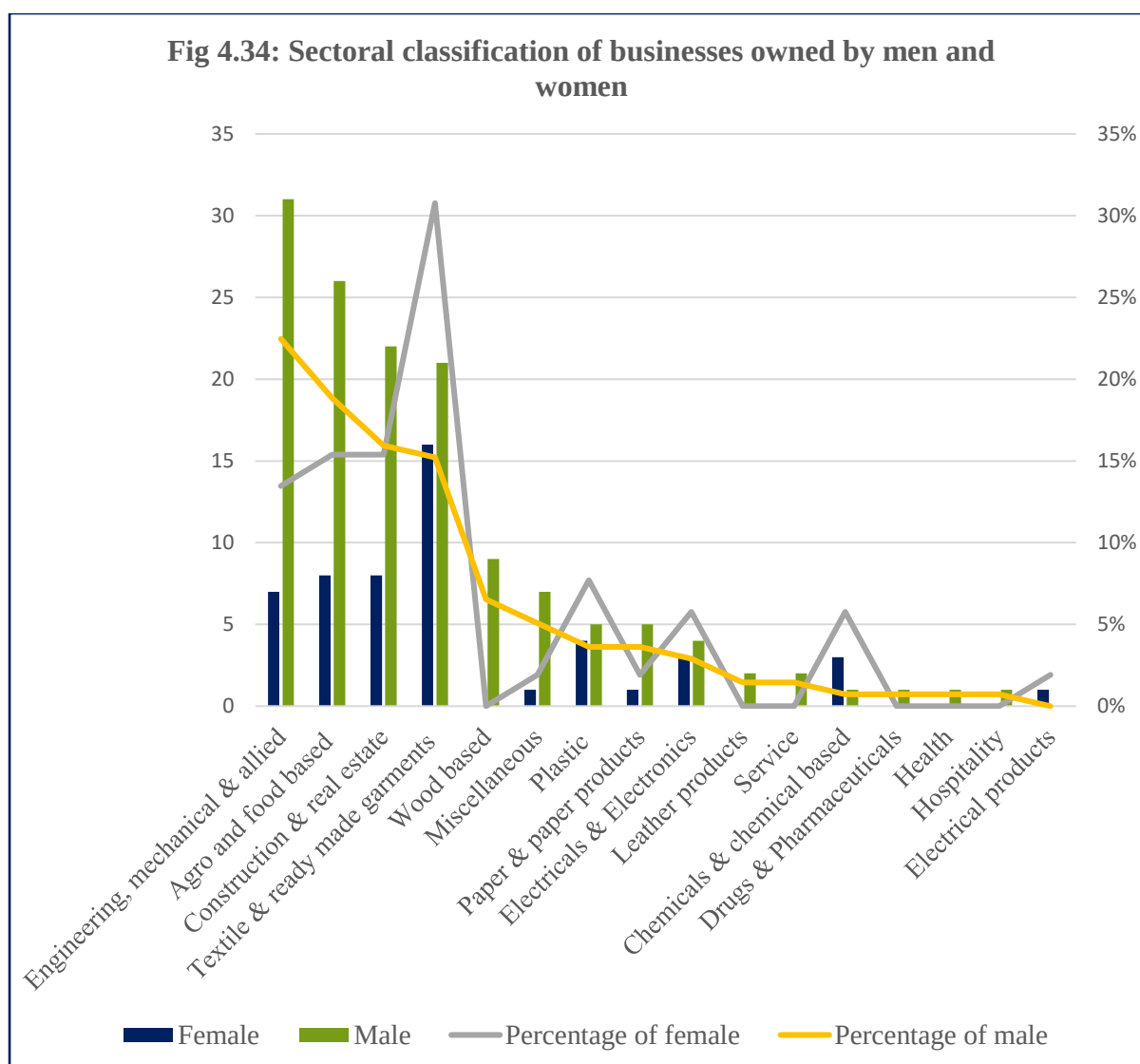
Sectoral analysis of SC/ST owned businesses:

Field study indicated that the top 4 types of business run by Scheduled Caste beneficiaries are Engineering, mechanical & allied at 21%, followed by textile & ready-made garments at 18%, construction & real estate at 17% and agro and food based at 16%. On the other end, the top 4 types of business run by ST are textile & ready-made garments at 22%, agro and food based at 22%, engineering, mechanical & allied at 19% followed by construction & real estate at 13%.



Source: Field Data, 2022-2023

Data indicates that wood-based work was slightly higher among ST and leather businesses are owned by SC.

Gender disaggregated sectoral analysis:

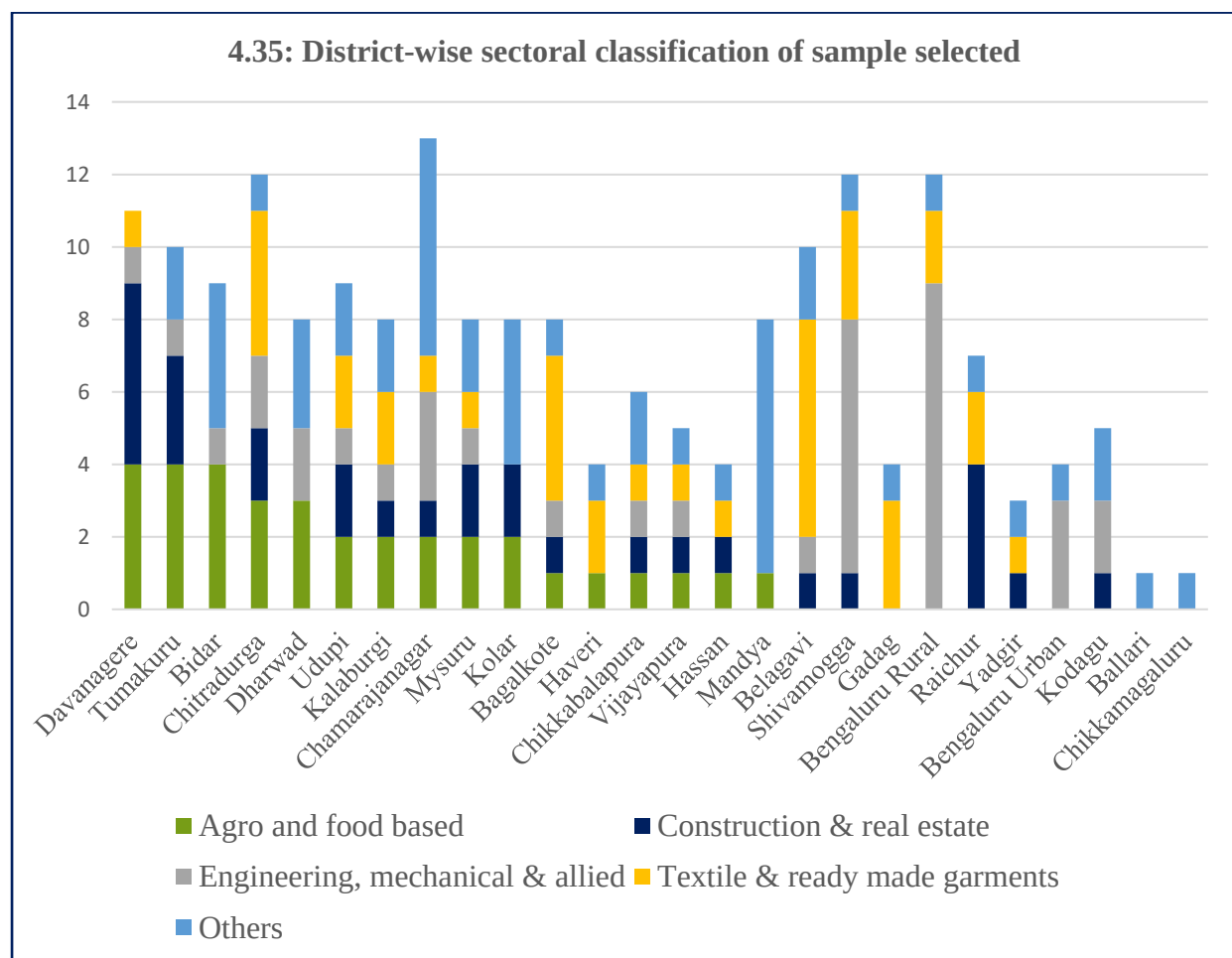
Source: Field Data, 2022-2023

The top sectors among male owned businesses are Engineering, mechanical & allied at 22%, followed by Agro and food based at 19%, Construction & real estate at 16% and Textile & ready-made garments at 15%, whereas top sectors among female owned businesses are textile & ready-made garments at 31%, Agro and food based at 15%, Construction & real estate at 15% and Engineering, mechanical & allied at 13%.

The analysis shows that 16% more women are running garments whereas 9% more men are running engineering and allied businesses. Further, all the wood-based businesses were owned by men. This indicates the gendered nature of businesses. Women may be inclined more towards businesses which needs relatively less capital investment and easily available labour force when compared to men.

District wise sectoral analysis: The top four sectors are found in 17 out of the 27 districts visited for the study. The top districts for the sectors are listed below.

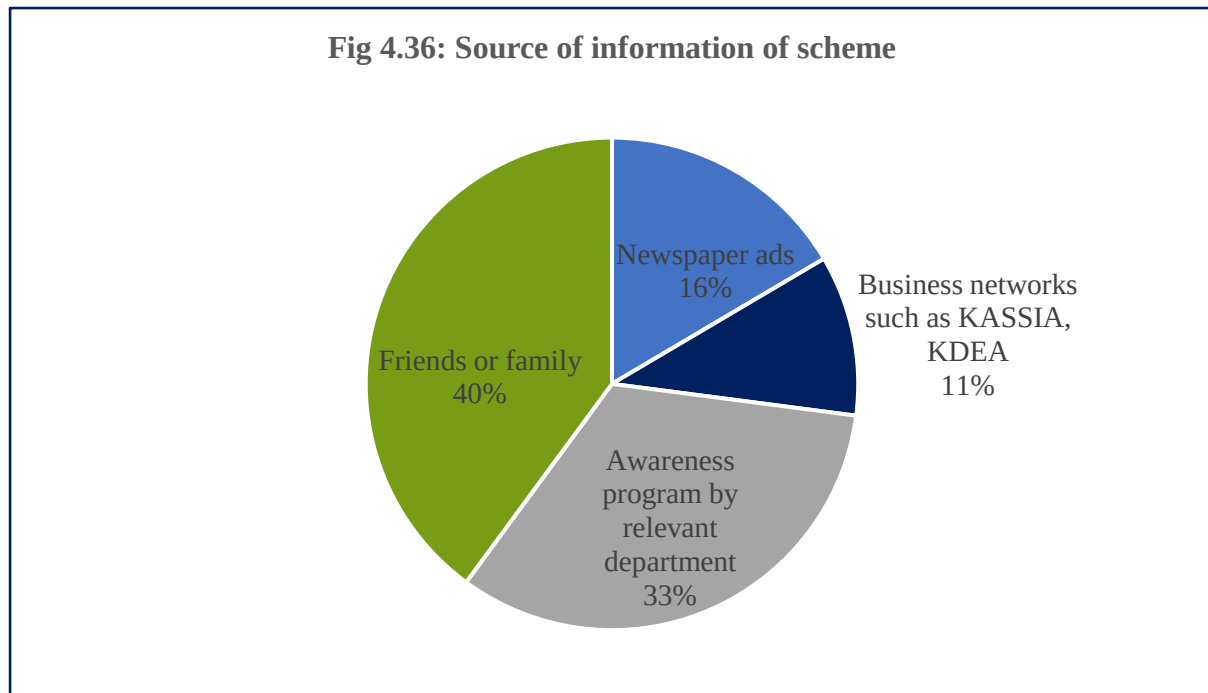
- **Agro businesses:** Davanagere, Bidar and Tumakuru.
- **Construction & real estate:** Davanagere, Raichur and Tumakuru
- **Engineering, mechanical & allied** - Bengaluru Rural and Shivamogga have 9 and 7 businesses respectively in this category. This is because of dedicated industrial areas for automobiles, defence etc.
- **Textile and readymade garments:** The top 3 districts are Belagavi, Chitradurga and Bagalkote. Belagavi has the highest number of textile businesses as it has KSSIDC's textile park.



Source: Field Data, 2022-2023

Schemes awareness:

The beneficiaries were asked about their source of information about the scheme. The largest sources of information for beneficiaries are friends and family at 40% followed by awareness programs by KIADB/KSSIDC at 33%, newspaper ads at 16% and business networks such as KASSIA, KDEA at 11%.



Source: Field Data 2022-2023

Schemes awareness between KIADB/KSSIDC beneficiaries: The data disaggregated for KIADB and KSSIDC indicates that there is no significant difference in source of information about the scheme among KIADB and KSSIDC's beneficiaries.

KIADB

- Friends and Family – 41%
- Awareness programs by KIADB/KSSIDC at 37%
- Newspaper ads at 13%
- Business networks such as KASSIA, KDEA at 9%.

KSSIDC

- Friends and Family – 38%
- Awareness programs by KIADB/KSSIDC at 25%
- Newspaper ads at 22%
- Business networks such as KASSIA, KDEA at 15%.

Fig 4.37: Source of information of KIADB's beneficiaries

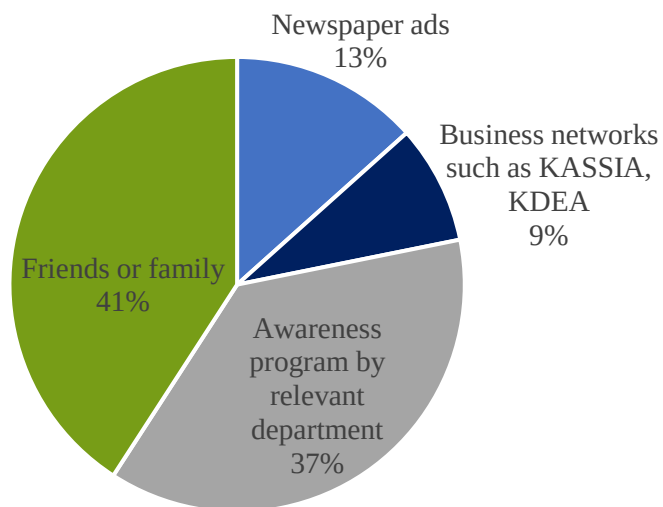
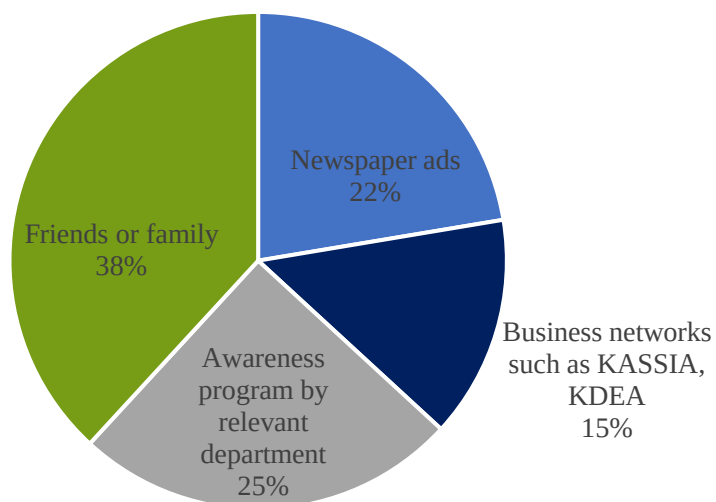


Fig 4.38: Source of information of KSSIDC's beneficiaries



Source: Field Data 2022-2023

Awareness among social categories: The largest source of information for ST group is friends and family, which is at 47% whereas for SC the largest source of information is the government department at 37% followed by friends at 36%. Only 24% of ST received information from government departments. This indicates that SC groups may have closer association with government departments and ST groups may have stronger networks/ties that may provide information. The below graphs show the source of information between SC/STs.

Fig 4.39: Source of information among SC beneficiaries

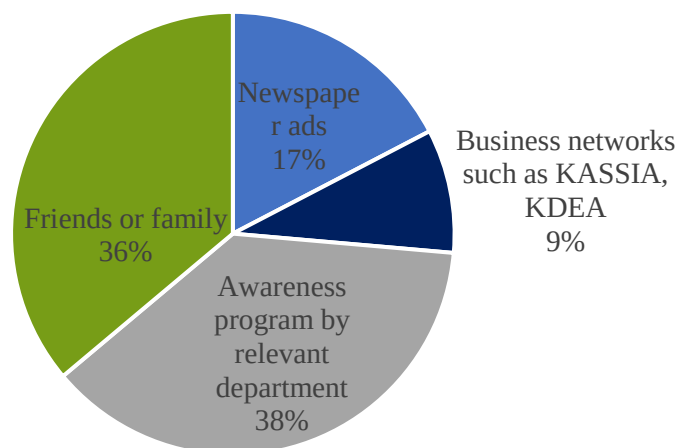
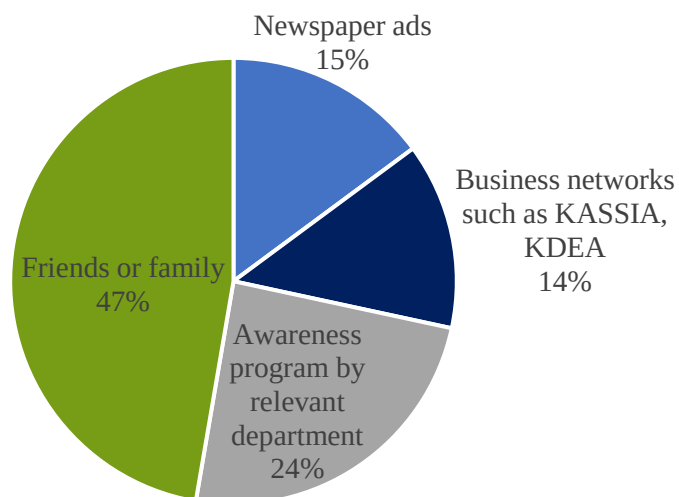


Fig 4.40: Source of information among ST beneficiaries



Source: Field Data 2022-2023

Gender disaggregated: Among gender groups, the largest source of information for women is government department at 34% followed by friends at 32%. Whereas for men, friends and family are the largest source of information at 43%, followed by government department at 33%. This indicates that men have stronger social capital and networks than women that may provide information.

Fig 4.41: Source of information for female beneficiaries

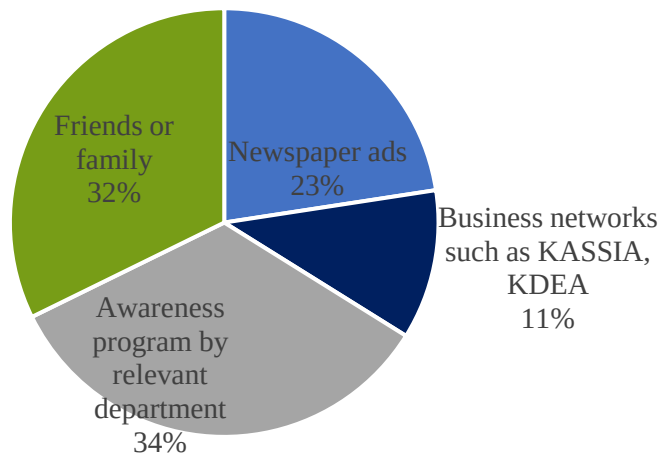
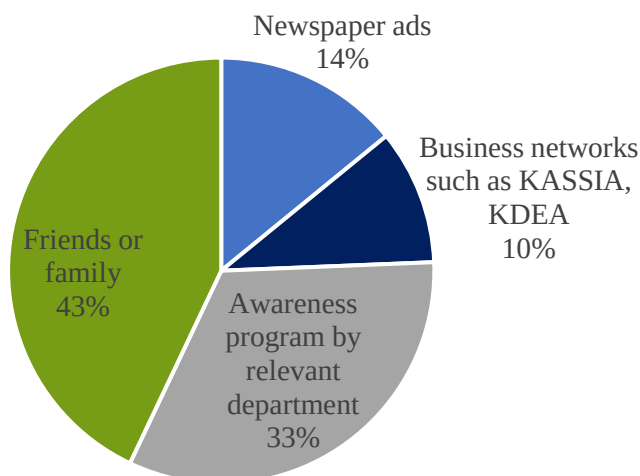


Fig 4.42: Source of information among male beneficiaries



Source: Field Data 2022-2023

Application process: This section analyses the application process of the scheme. Out of the 218, only five percent, that is ten beneficiaries stated that they did not get selected the year that they applied for the scheme and had to wait or reapply. Out of the ten beneficiaries, six beneficiaries were from Hassan. The selection process in Hassan was delayed due to the litigation in Hassan growth centre industrial area of KIADB. The four other beneficiaries were from Dharwad, Mandya, Shivammogga and Tumkur.

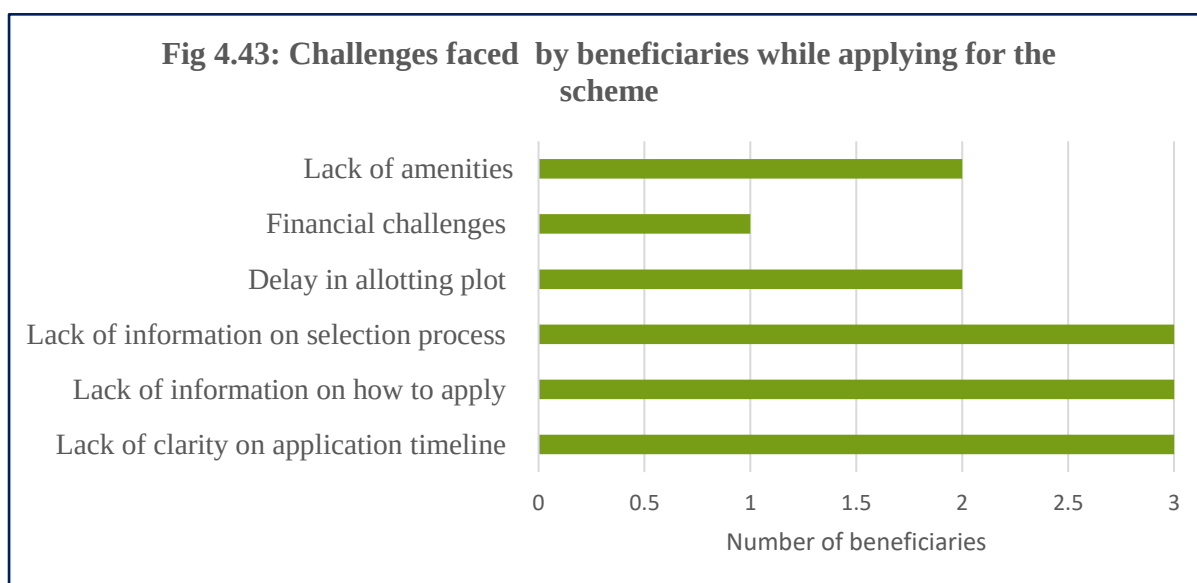
Further, out of these ten beneficiaries whose applications were not selected the same year, eight belonged to KIADB and two belonged to KSSIDC. The KSSIDC's beneficiaries are from Mandya and Tumkur. Since the selected sample had only beneficiaries of the scheme and not rejected applicants, the insights from this section are biased and has only views of beneficiaries and not all eligible applicants. Hence, there may be a greater number of beneficiaries who were not selected the year that they applied.

Allotment: In 91% cases, the allotment of industrial plots/sheds had occurred the same year that their application was selected. Only in 9% cases, that is in case of 24 beneficiaries, allotment was delayed. Out of these 24 cases, 20 (14%) delays were reported among KIADB's beneficiaries and 4 (5%) were reported among KSSIDC's beneficiaries.

Among the beneficiaries that were not allotted, one beneficiary's allotment has been cancelled. The district with the greatest number of delays is Bengaluru rural with five cases and Bengaluru urban with three.

In 12 cases, the delay was 1 year, in 5 cases the delay was 2 years and in 2 cases the delay was 3 years.

Challenges during application: Only 14 beneficiaries, that is 6% said that they faced challenges during application process. Out of this 12 are beneficiaries of KIADB and 2 beneficiaries of KSSIDC. That is 8% of beneficiaries of KIADB and 3% of beneficiaries of KSSIDC stated to have faced challenges during application process. The details of challenges faced by beneficiaries is indicated in the graph.



Source: Field Data, 2022-2023

Support during application process: Eighty two percent, that is 178 beneficiaries, stated to have received support during application and eighteen percent, that is 40 beneficiaries, stated to not have received any support from KIADB and KSSIDC during the application process. However, none of them shared about any scenario wherein KIADB/KSSIDC officials denied sharing relevant information. The same pattern was found while analysing KIADB and KSSIDC's disaggregated data. 82% of KIADB and 80% of KSSIDC's beneficiaries claimed to have received support from KIADB and KSSIDC respectively.

Fig 4.44: Support provided by KIADB/KSSIDC during application process

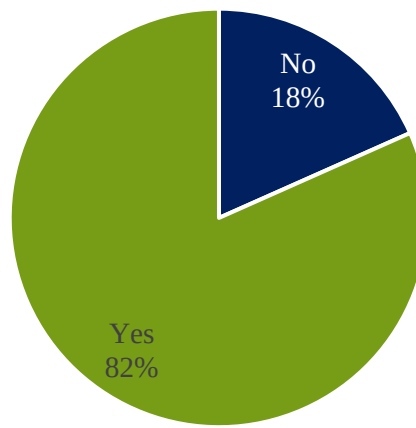


Fig: 4.45: Support received by KIADB's beneficiaries during application process

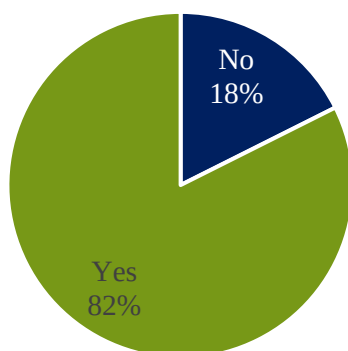
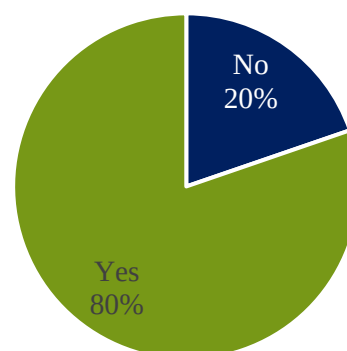


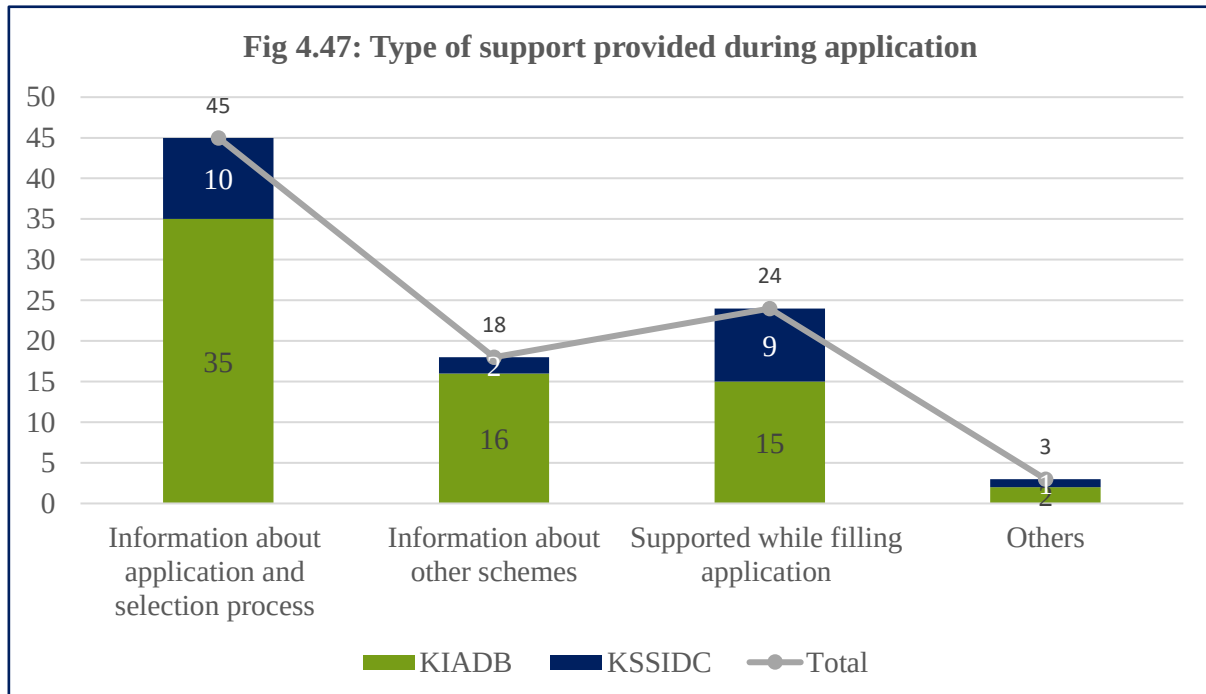
Fig 4.46: Support received by KSSIDC's beneficiaries during application process



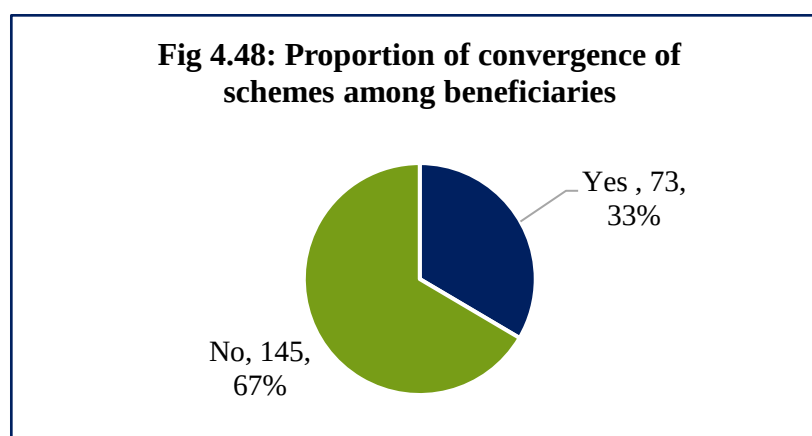
Source: Field Data, 2022-2023

The below graph indicates the type of support provided by KIADB and KSSIDC during the application process. The most common support provided by KIADB and KSSIDC is informing applicants about the application and selection process followed by supporting the applicants while filling the application

form. KIADB and KSSIDC officials have also provided information about other relevant schemes such as loans from KSFC, collateral security from Social Welfare Department etc to the potential beneficiaries. The other support includes - KSSIDC's officials had shared information about SCSP/TSP subsidy and KIADB's officials had suggested plots based on business plan.



Scheme convergence: Here convergence refers to convergence of schemes that are relevant to establishing industries and MSME units. Several schemes are available for SC/ST beneficiaries to establish their businesses. These schemes are offered by Small Scale Industries, Handloom & Textiles, Social Welfare Department, Karnataka State Financial Corporation, and other related departments/corporations of both State and Central Government.



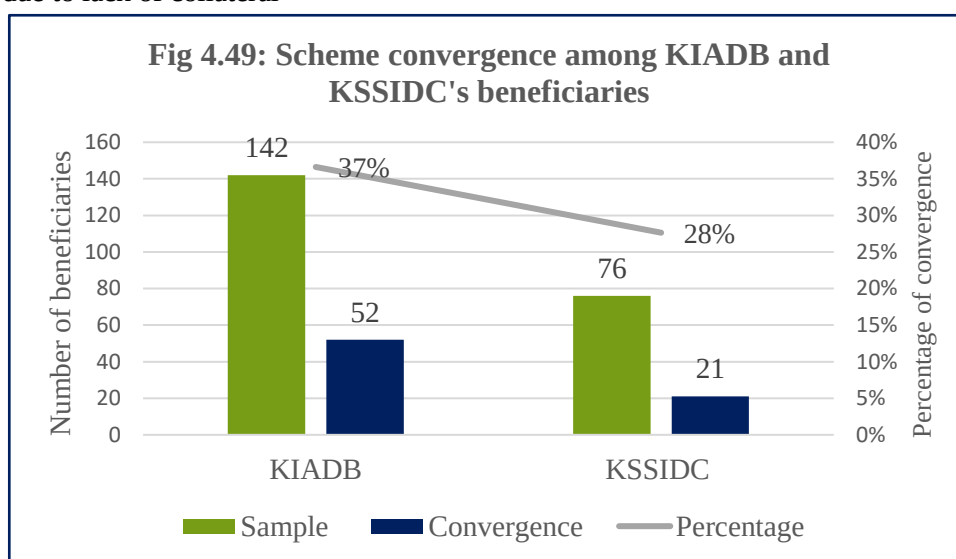
Source: Field Data, 2022-2023

Thirty three percent, that is 73 beneficiaries claimed to have received benefits from other schemes. Here, all beneficiaries had not applied for convergence schemes such as loan from KSFC, interest

subsidy from SWD etc. 37% of KIADB's beneficiaries that is 52, and 28% of KSSIDC's beneficiaries that is 21 have received benefits from other schemes. The increase in proportion of KIADB's beneficiaries may be because of need of additional funds for construction.

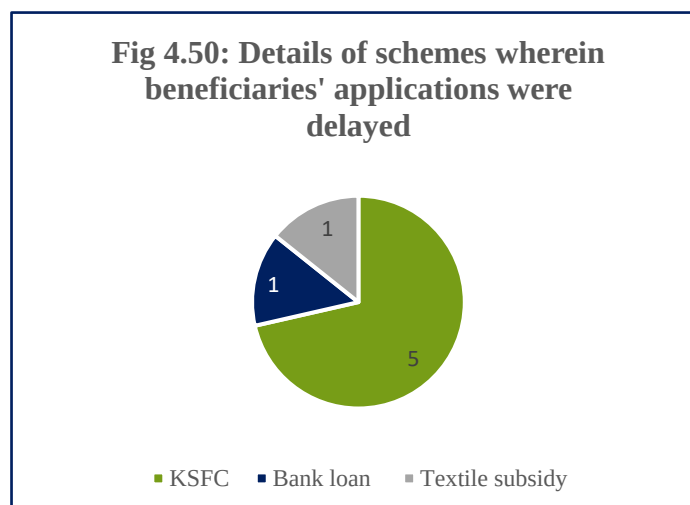
Twelve other beneficiaries had applied and had not availed or are waiting to receive other benefits. The details are as below.

- Applied and delay: Seven beneficiaries that is 4 beneficiaries of KSSIDC and 3 beneficiaries of KIADB stated that they had applied for other schemes, but their delivery has been delayed
- Applied: Four beneficiaries of KIADB have applied for other schemes
- Rejected: One beneficiary stated that KSFC loan was rejected and had no other source of loan due to lack of collateral



Source: Field Data 2022-2023

Below are the details of beneficiaries who stated that they applied and are experiencing delay in delivery of schemes.



Source: Field Data, 2022-2023

Extent of Scheme Convergence

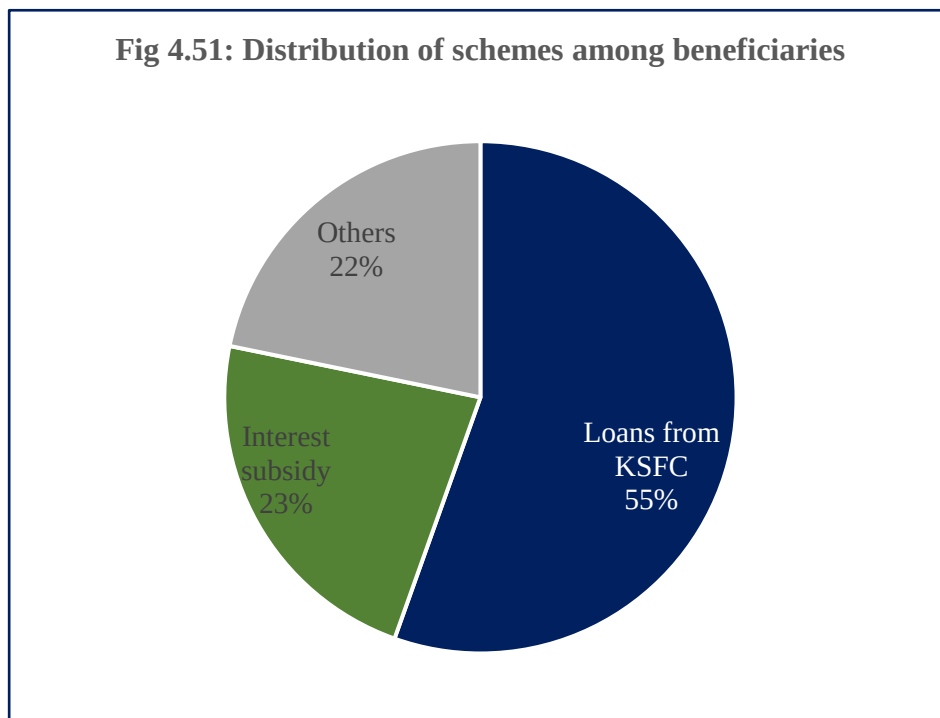
Seventy-three beneficiaries have received a total of 97 benefits as indicated in the table. This implies that some of the beneficiaries have received benefits from multiple schemes. Around 58 beneficiaries stated that each of them had received one additional scheme. The most converged schemes are loans from KSFC at 56 and interest subsidy at 23.

Tab 4.10: Extent of scheme convergence among beneficiaries

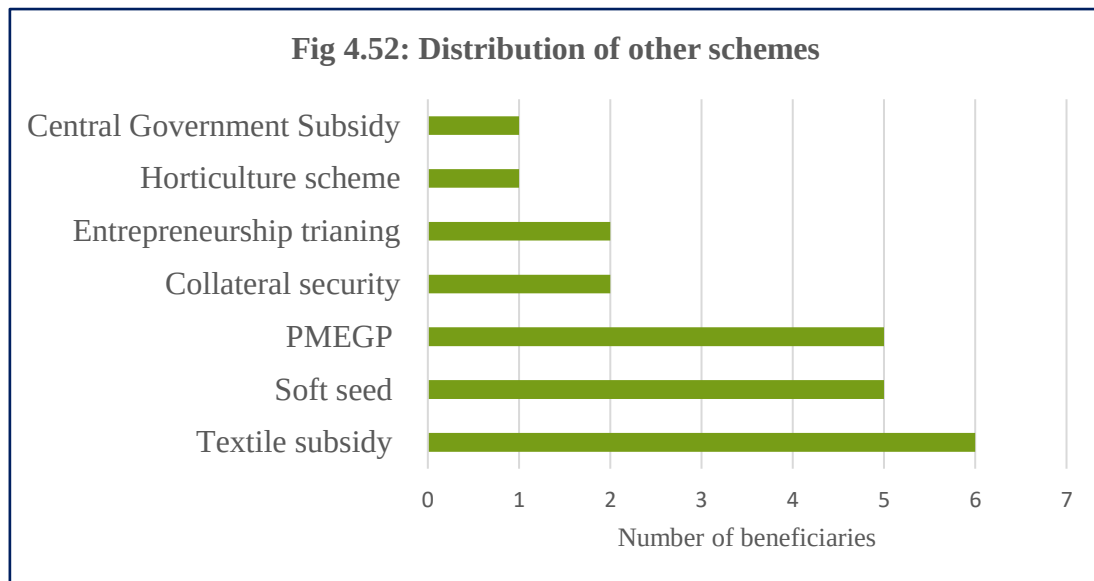
No. of converged schemes (In addition to subsidy for industrial plots/sheds)	No. of beneficiaries
One scheme	58
Two schemes	9
Three schemes	4
Four schemes	1
Five schemes	1
Total	73

Source: Field Data 2022-2023

The distribution of schemes is indicated in the graph.



Source: Field Data 2022-2023



Source: Field Data 2022-2023

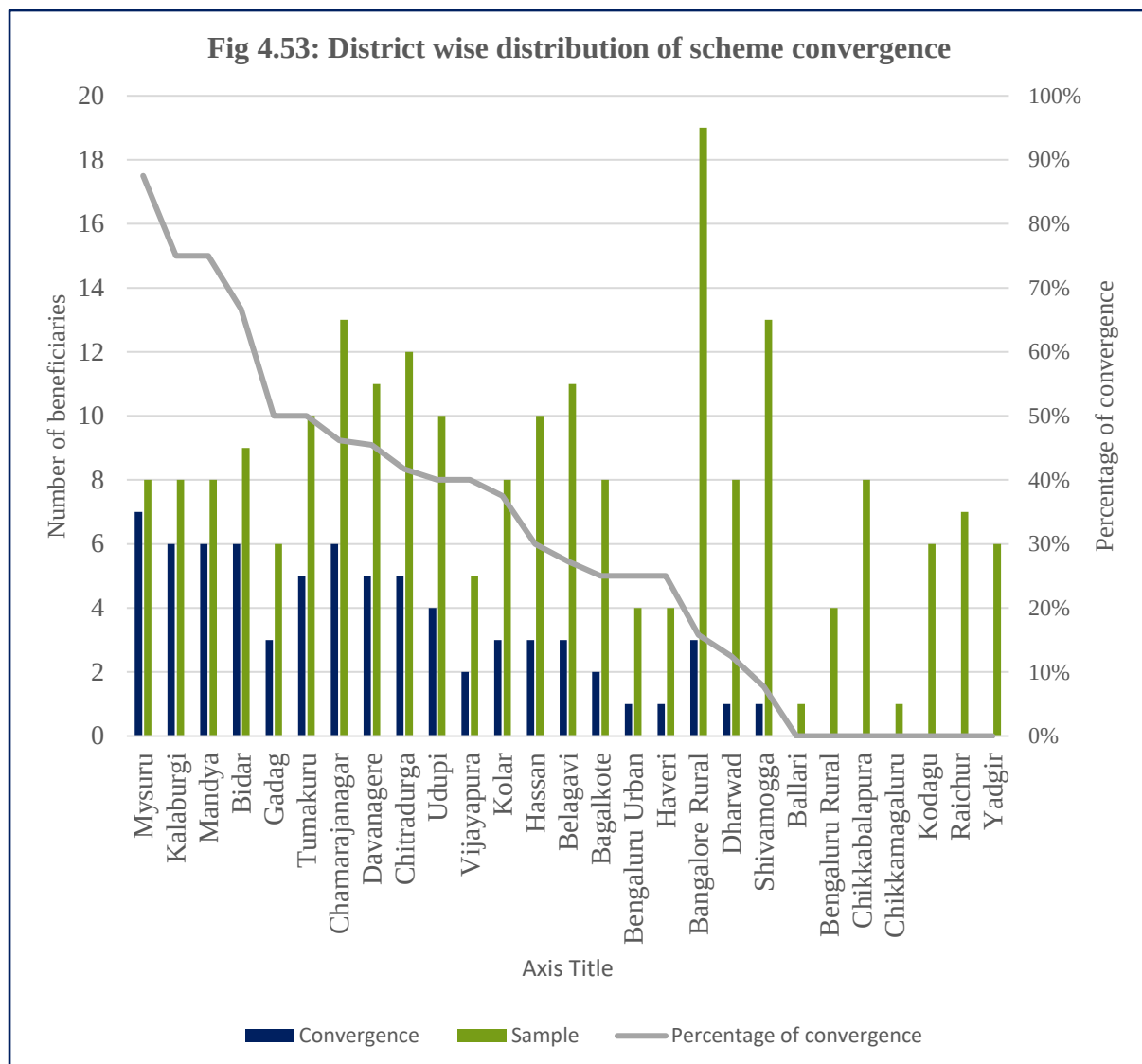
Distribution of scheme convergence across districts

The districts with high extent of convergence of schemes are Mysuru, Kalaburgi, Mandya, Bidar and Gadag. The reasons for high convergence in these districts could be that most of the plots/sheds were distributed before the year 2020. Along with this, the beneficiaries shared that they received guidance from officials while applying to other schemes. This helped them access other schemes such as loans from KSFC, collateral security etc. In addition, KSFC official in Mysore had supported beneficiaries to avail loans from KSFC. The beneficiaries of Kalaburgi as well shared about support received from KSFC officials.

Below are other instances wherein district officials had supported beneficiaries to avail loans.

- In Mandya, the officials guided the beneficiaries who could not avail loan from KSFC to get Prime Minister's Employment Guarantee (PMEGP) loan.
- In Davanagere, four beneficiaries had received soft seed loan and shared that DIC supported the process of applying for soft seed loan.

On the other end, in Belagavi, the scheme convergence was low even though businesses have been established. Beneficiaries of Belagavi shared about lack of support from KSFC.



Source: Field Data 2022-2023

Scheme convergence – Loans

The total loan amount disbursed through various schemes for 73 beneficiaries is Rs 33.4 crores and the average loan amount disbursed is Rs. 64 lakhs. The loan related schemes are – loans from KSFC, soft seed loan and loans under PMEGP.

KSFC loan:

Out of 56 beneficiaries that had received loans from KSFC, only 42 beneficiaries disclosed loan amount. The range of loan amount varied from Rs 45 lakh to Rs 3 crore. The total loan amount is Rs 31.66 crores and average loan amount is Rs. 75 lakhs. Further, among these beneficiaries, 30 are SC and 12 are ST and only 9 are women. Among women, the distribution is 5 SC women and 4 ST women.

- **Soft seed loan:**

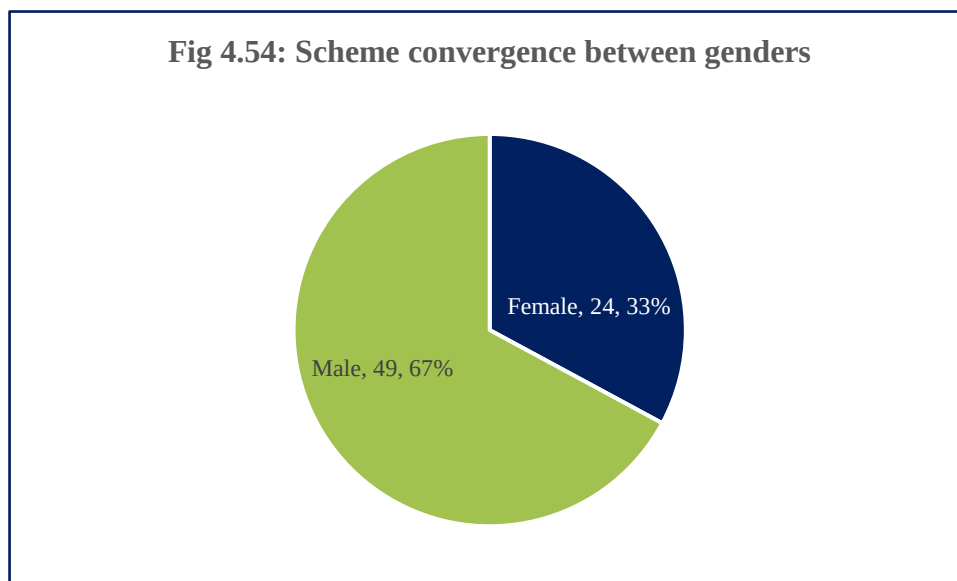
Only 4 beneficiaries stated that they received soft seed loan. The average loan amount under soft seed loan was Rs. 11.36 lakh. The loan amount ranged from Rs. 4.5 to Rs. 27 lakhs. The total loan amount disbursed was Rs. 45.45 lakh

- **PMEGP**

Only 6 beneficiaries have stated to have received loans under PMEGP. The average loan amount under this scheme is Rs 22 lakhs and the total loan amount was Rs. 1.28 crore. The loan amount ranged from Rs. 19 lakhs to Rs. 25 lakhs.

Scheme convergence – gender disaggregated:

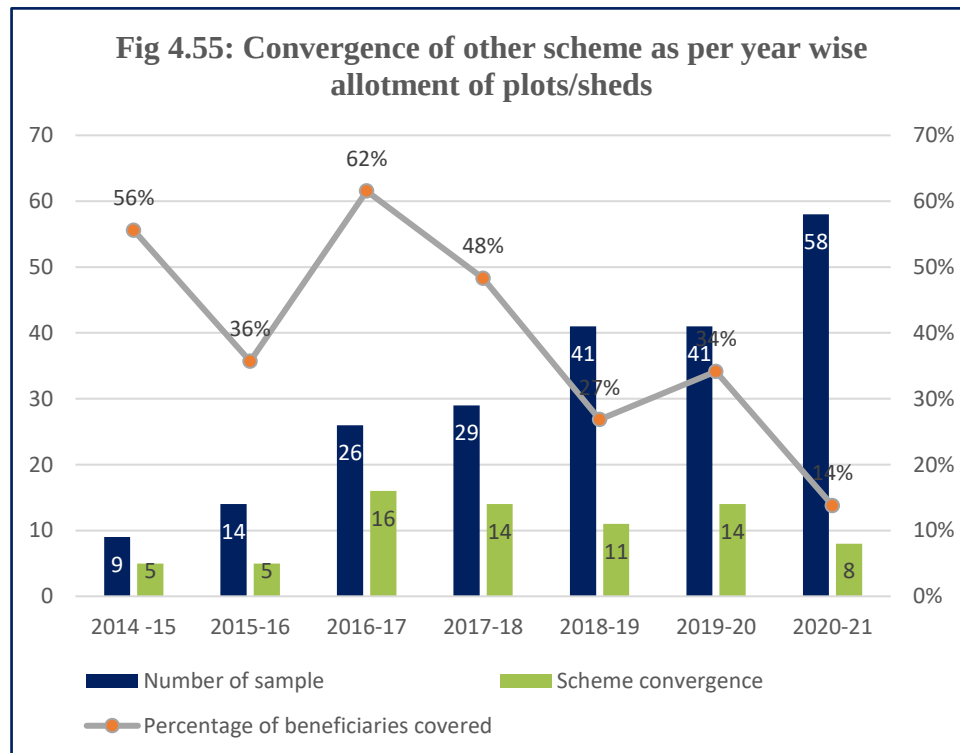
This section analyses the convergence of schemes through the gender lens. The analysis showed that 39% of women and 31% of men have received benefits from other schemes in addition to receiving subsidy on industrial plots/sheds. This may be a positive scenario with respect to quantitative data. However, exploratory conversations shed light on instances wherein women entrepreneurs had faced gender discrimination in government offices. These anecdotal data is indicative and needs further research.



Source: Field Data 2022-2023

Scheme convergence across years:

The extent of scheme convergence varies across years. The highest extent of scheme convergence is observed among beneficiaries of 2016-2017 at 62% and the least proportion is found among beneficiaries of 2020-2021 at 14%. The average proportion of beneficiaries across years is 42%.



Source: Field Data 2022-2023

Issues raised by beneficiaries about other schemes:

1. Power subsidy:

Beneficiaries shared that they are not receiving power subsidy and the increase in power bill has reduced their profit margins. Further, this had discouraged other beneficiaries from setting up their units.

2. Issue of moratorium of Soft Seed loan:

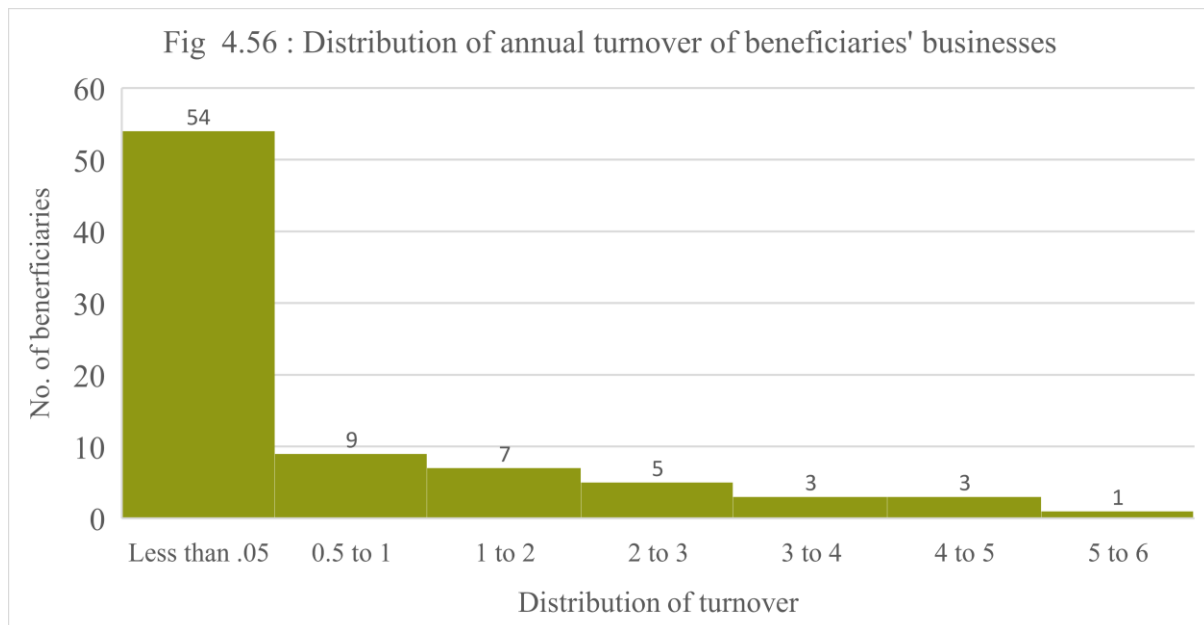
There is moratorium of 1 year for soft seed loan from DIC. However, the beneficiaries stated that the policy is not put to practice.

3. KSFC issues:

Many beneficiaries shared that they are unable to avail loans from KSFC. Further, the beneficiaries do not have clarity from KSFC on time required to process the loan. This has made it difficult for beneficiaries to avail loans.

Impact:

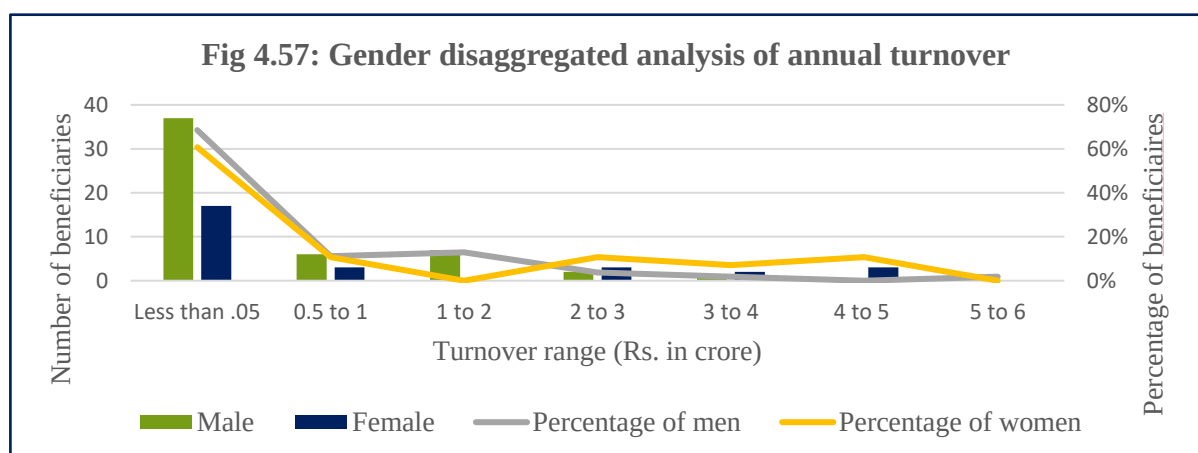
Out of the 82 operational businesses, the total annual turnover is Rs. 62.87 and the average annual turnover is Rs 0.76 crores. Here only businesses that disclosed their turnover are included. The turnover of beneficiaries ranges from Rs 2 lakhs to Rs 6 crores.



Source: Field Data 2022-2023

Women owned businesses have higher turnover than male owned businesses. Of the 28 operational businesses that women own, the total turnover is Rs. 30.6 crore and the average turnover is Rs. 1.09 crore. The range of turnover of women owned businesses is Rs. 2 lakhs to Rs. 4.5 crore.

Of the 54 operational businesses, owned by men, the total turnover is Rs. 32.24 crore and the average turnover is Rs. 60 lakh and ranges from Rs. 3 lakhs to Rs. 6 crores

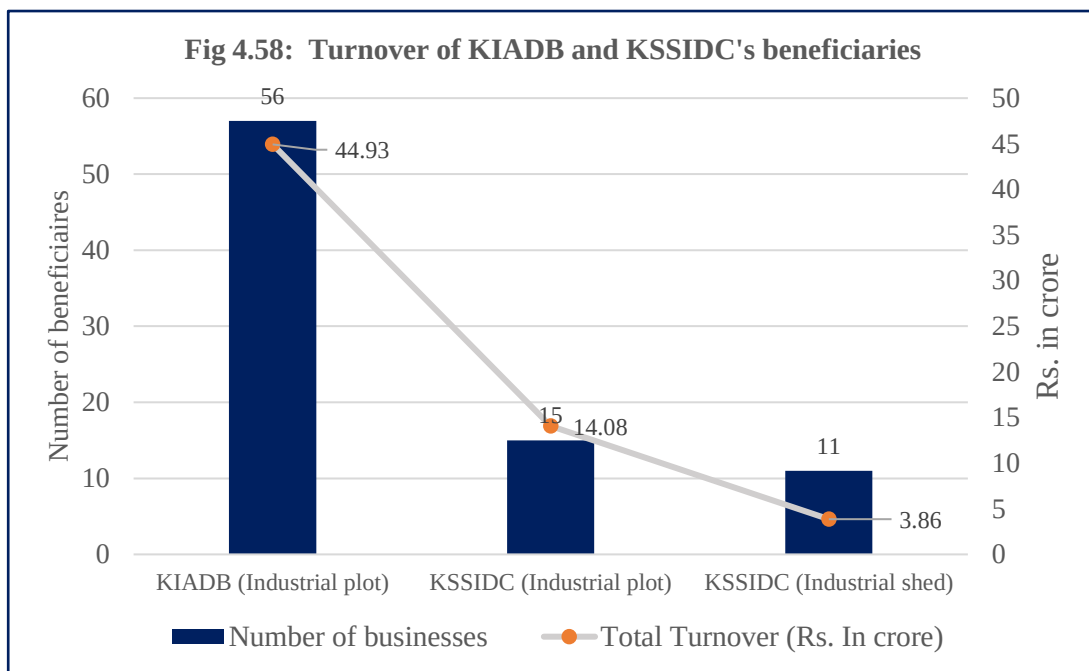


Source: Field Data 2022-2023

Corporations:

Below is the impact distribution of KIADB and KSSIDC?

- KIADB: Out of the 56 operational businesses of KIADB, the total turnover is Rs. 44.93 crores. The average turnover is Rs. 80.23 lakhs
- KSSIDC (Industrial plots): Of the 15 operational businesses, turnover is Rs. 14.08 crores. The average turnover is Rs. 94 lakhs
- KSSIDC (Industrial sheds): Of the 11 operational businesses, total turnover is Rs. 3.86 crores. The average turnover is Rs. 35 lakhs



Source: Field Data 2022-2023

Table 4.11: Maximum turnover of beneficiaries of KIADB and KSSIDC

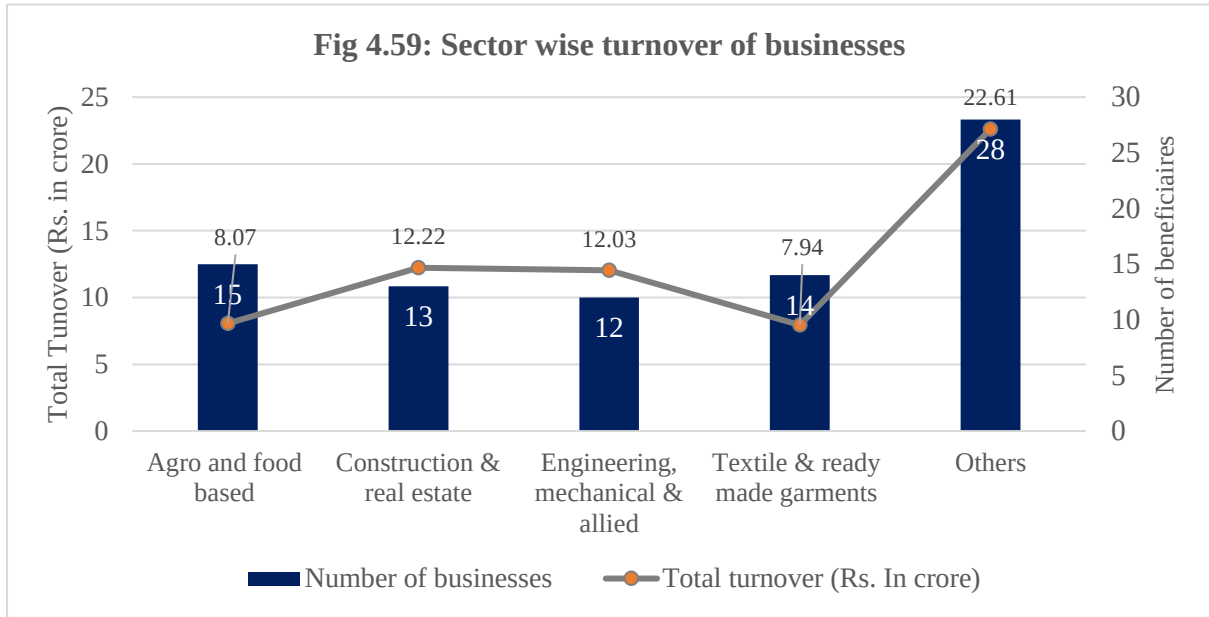
(Rs. in crore)

Category	Maximum Turnover
KIADB (Industrial plot)	6
KSSIDC (Industrial plot)	3
KSSIDC (Industrial shed)	2

Source: Field Data 2022-2023

Impact – sector wise:

The sector with highest average turnover is engineering, mechanical & allied sector with Rs. 1 crore followed by construction and real estate at Rs. 94 lakhs. Agro sector & textile sectors have relatively lower annual turnover at R. 54 lakhs and Rs. 57 lakhs respectively. Among others, the sectors with higher average turnover are Chemicals & chemical based, Electricals & Electronics and Paper & paper products at Rs. 1.77 crores, Rs. 1.44 crores and Rs. 1.23 crores respectively



Source: Field Data 2022-2023

Tab 4.12: Business turnover details of major sectors

(Rs. in crore)

Sector	No. of businesses	Total turnover	Average turnover	Minimum turnover	Maximum turnover
Agro and food based	15	8.07	0.54	0.05	3
Construction & real estate	13	12.22	0.94	0.05	4.5
Engineering, mechanical & allied	12	12.03	1.00	0.03	6
Textile & readymade garments	14	7.94	0.57	0.02	3
Others	28	22.61	0.84	0.05	4.5

Source: Field Data 2022-2023

Table 4.13: Business turnover of other sectors

(Rs. in crore)

Others	No. of businesses	Total turnover	Average
Chemicals & chemical based	4	7.06	1.77
Electricals & Electronics	4	5.75	1.44
Paper & paper products	4	4.9	1.23
Hospitality	1	1	1.00
Leather products	1	0.7	0.70
Plastic	4	1.5	0.38
Electrical products	1	0.25	0.25
Miscellaneous	4	0.73	0.18
Wood based	4	0.6	0.15
Service	1	0.12	0.12

Source: Field Data 2022-2023

District wise impact:

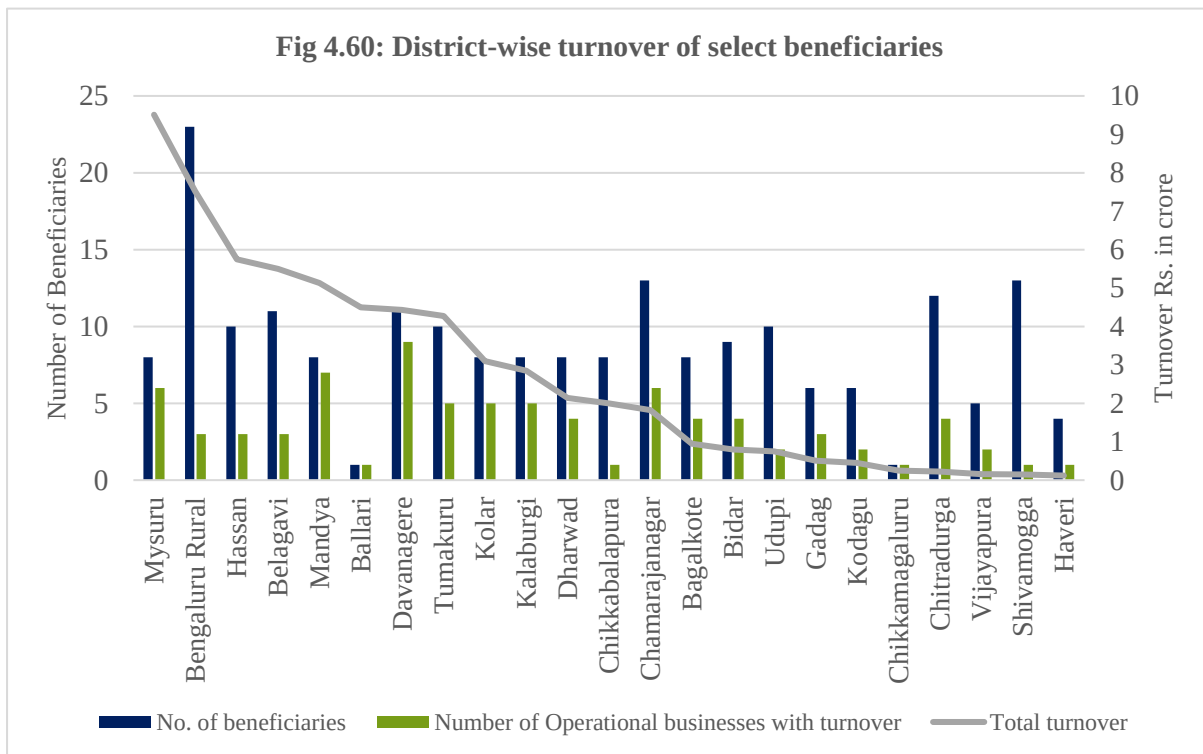
Among the selected beneficiaries, Bengaluru urban, Raichur, and Yadgir did not have any operational business units. Out of other districts with operational businesses - Bengaluru Rural has the highest average turnover at Rs. 2.5 crore, followed by Chikkabalapura with Rs. 2 crore and Hassan with Rs. 1.92 crore. The districts with highest total turnover for the sample selected are Mysuru, Bengaluru Rural, Hassan, Belagavi and Mandya as indicated in the table.

Tab 4.14: District-wise details of business turnover

(Rs. in crore)

District	No. of beneficiaries	Number of Operational businesses	Total turnover	Average turnover	Max turnover	Min Turnover
Bagalkote	8	4	0.95	0.24	0.5	0.1
Ballari	1	1	4.5	4.50	4.5	4.5
Belagavi	11	3	5.5	1.83	3	1
Bengaluru Rural	23	3	7.51	2.50	6	0.05
Bidar	9	4	0.8	0.20	0.3	0.1

Chamarajanagar	13	6	1.82	0.30	0.8	0.12
Chikkabalapura	8	1	2	2.00	2	2
Chikkamagaluru	1	1	0.25	0.25	0.25	0.25
Chitradurga	12	4	0.22	0.06	0.1	0.02
Davanagere	11	9	4.43	0.49	3	0.03
Dharwad	8	4	2.14	0.54	0.8	0.24
Gadag	6	3	0.51	0.17	0.3	0.06
Hassan	10	3	5.75	1.92	4.5	0.25
Haveri	4	1	0.12	0.12	0.12	0.12
Kalaburgi	8	5	2.85	0.57	2	0.1
Kodagu	6	2	0.45	0.23	0.25	0.2
Kolar	8	5	3.1	0.62	1	0.2
Mandya	8	7	5.13	0.73	2	0.05
Mysuru	8	6	9.51	1.59	4.5	0.06
Shivamogga	13	1	0.15	0.15	0.15	0.15
Tumakuru	10	5	4.27	0.85	3.3	0.1
Udupi	10	2	0.75	0.38	0.5	0.25
Vijayapura	5	2	0.16	0.08	0.1	0.06



This shows Bengaluru Rural as the district with high potential to have more number of businesses with high turnover and thus may need additional financial assistance and supporting schemes.

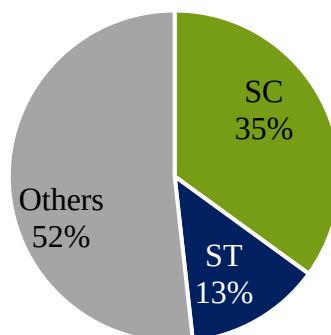
Employment generation:

A total of 1420 jobs have been generated from 91 business units. Out of these 91 business units, 87 are operational and 4 are under construction. Among the hired employees, 497, that is 35% are SC and 188, that is 13% are ST. The average number of jobs created is 16 per unit. The average number of SC jobs created per business unit is 6 and average number of ST jobs created per business unit is 2.

Tab 4.15: Details of employment created by select beneficiaries.

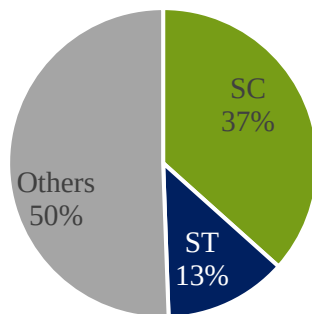
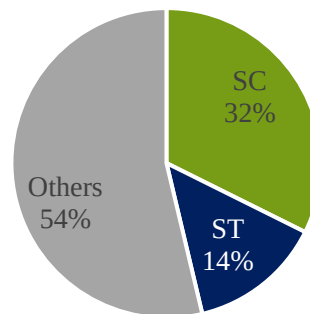
No. of employees	No. of SC Employees	No. of ST employees	Percentage of SC employees	Percentage of ST employees
1420	497	188	35%	13%
Source: Field Data 2022-202				

Fig 4.61: Proportion of employment created across social categories

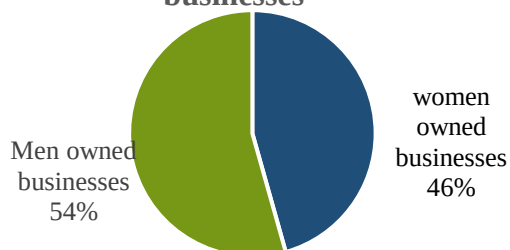
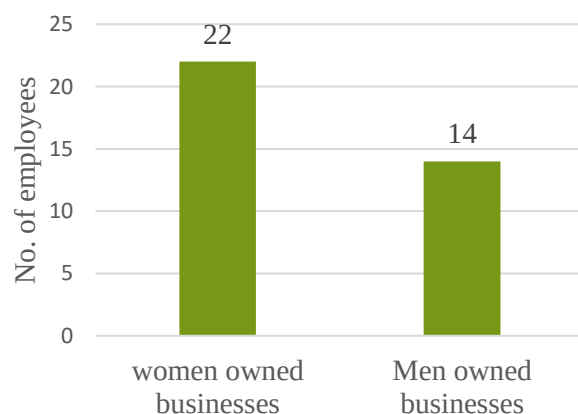


Source: Field Data, 2022-2023

The analysis indicated difference in proportion of SC/ST employees between the SC owned and ST owned business. Among SC run businesses, SC constitute 37% of employees whereas ST constitute 13%. Among ST run businesses, SC constitute 32% of employees and ST constitute 14%. This indicates that SC run businesses create more employment for SC and similar pattern is found among ST run businesses.

Fig 4.62: Proportion of employment created by SC owned businesses**Fig 4.63: Proportion of employment created by ST owned businesses**

Employment creation – gender disaggregated data: Among 30 women owned businesses that have hired employees, 648 jobs are created whereas among 57 businesses owned by men, 772 jobs are created. On average, women have created 22 jobs and men have created 14 jobs. The reason is women are running a greater number of garments, which generate higher employment on average compared to other types of businesses

Fig 4.64: Employment created by men owned and women owned businesses**Fig 4.65: Average employment created by men and women owned businesses**

Source: Field Data 2022-2023

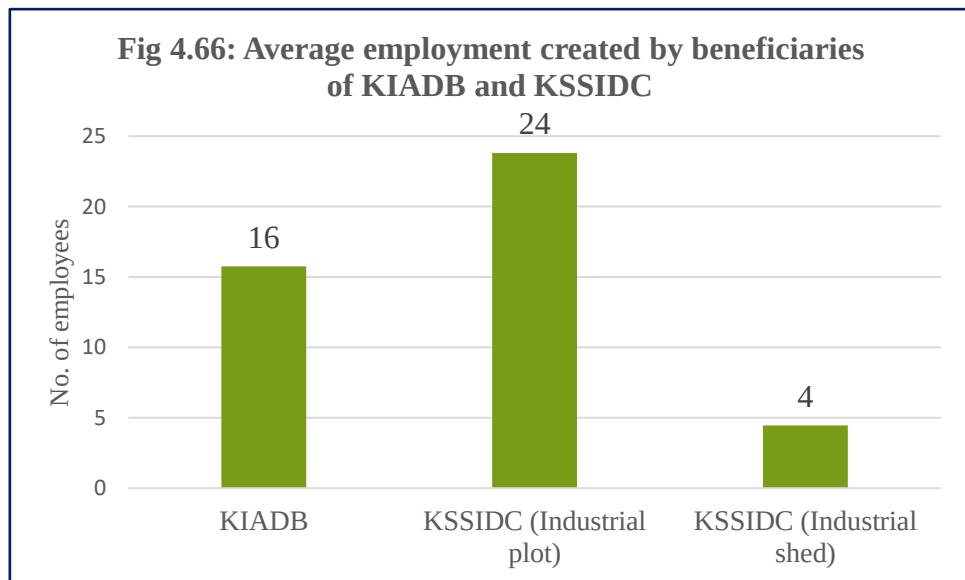
Corporations

- **KIADB:**
 - 945 jobs have been created from 60 businesses, creating an average of 16 jobs/business.
- **KSSIDC (industrial plots):**
 - 476 jobs have been created of the 20 businesses, creating on average 24 jobs.
- **KSSIDC (Industrial sheds):**
 - 49 jobs have been created from 11 businesses, creating on average 4 jobs.

Tab 4.16: Employment created by beneficiaries of KIADB and KSSIDC

Corporation	ST employees	SC employees	Employees	No. of Businesses	Average employment created
KIADB	136	357	945	60	16
KSSIDC (Industrial plot)	75	189	476	20	24
KSSIDC (Industrial shed)	7	18	49	11	4
Total	218	564	1470	91	16

Source: Field Data, 2022-2023



Field data, 2022-2023

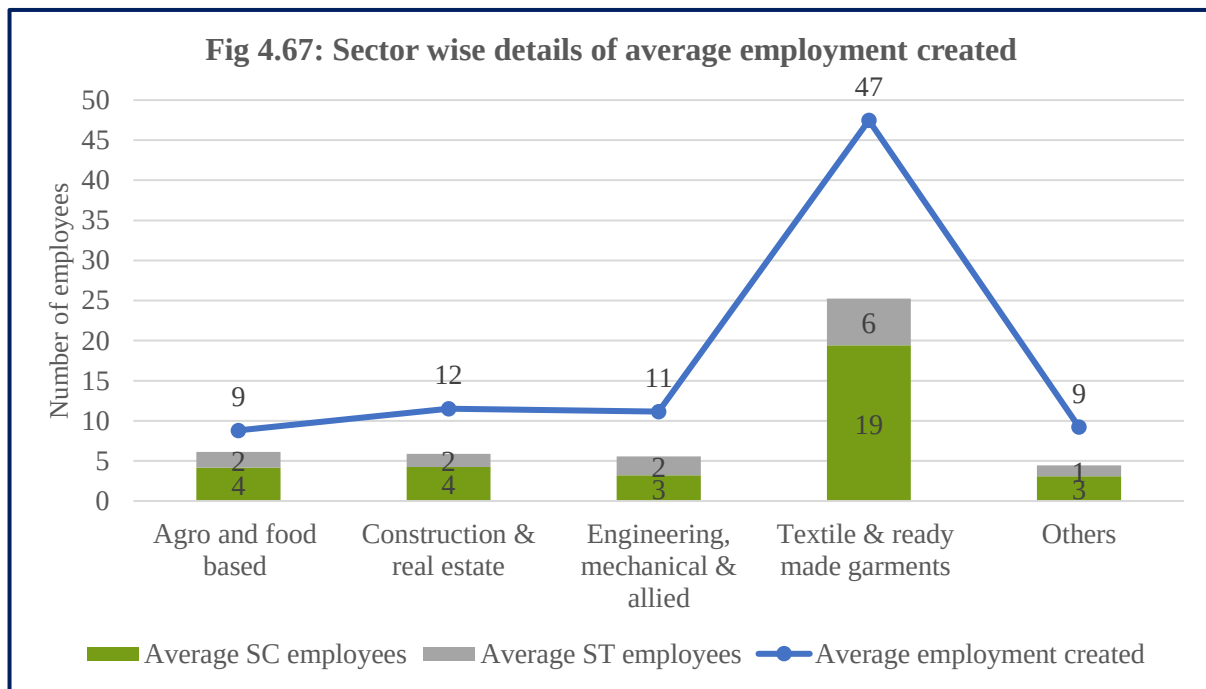
Sector

The sector that creates highest employment are textiles at an average of 47 jobs, followed by construction at 11 jobs, engineering at 11 jobs and agro at 9 jobs.

Tab 4.17: Sector-wise details of employment created by beneficiaries.

Sector	Number of businesses	Total no. of employees			Average no. of employees		
		Total	SC	ST	Overall	SC	ST
Agro and food based	16	141	67	31	9	4	2
Construction & real estate	16	184	68	26	12	4	2
Engineering, mechanical & allied	14	156	45	33	11	3	2
Textile & readymade garments	15	712	291	88	47	19	6
Others	30	277	93	40	9	3	1

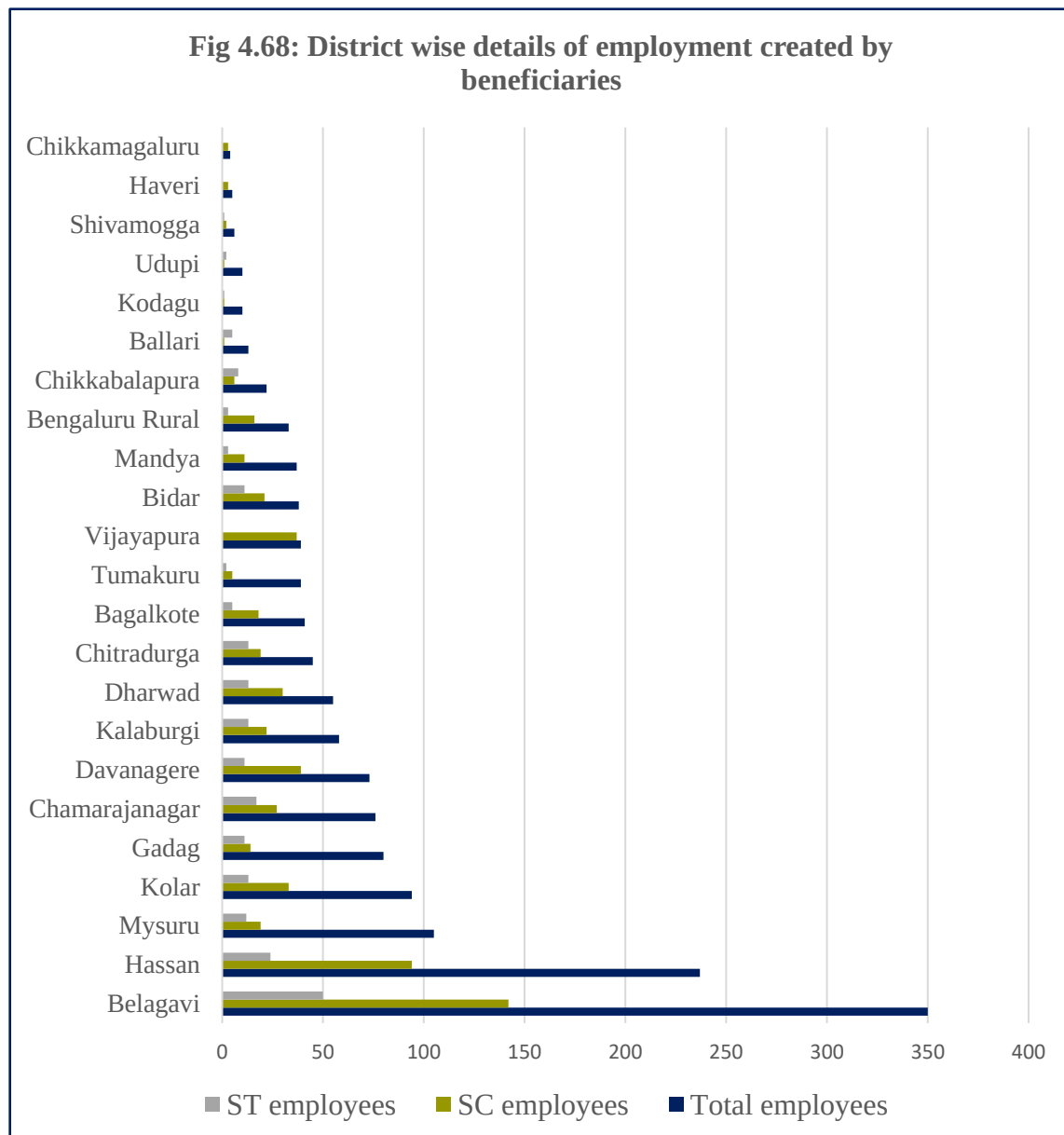
Source: Field Data, 2022-2023



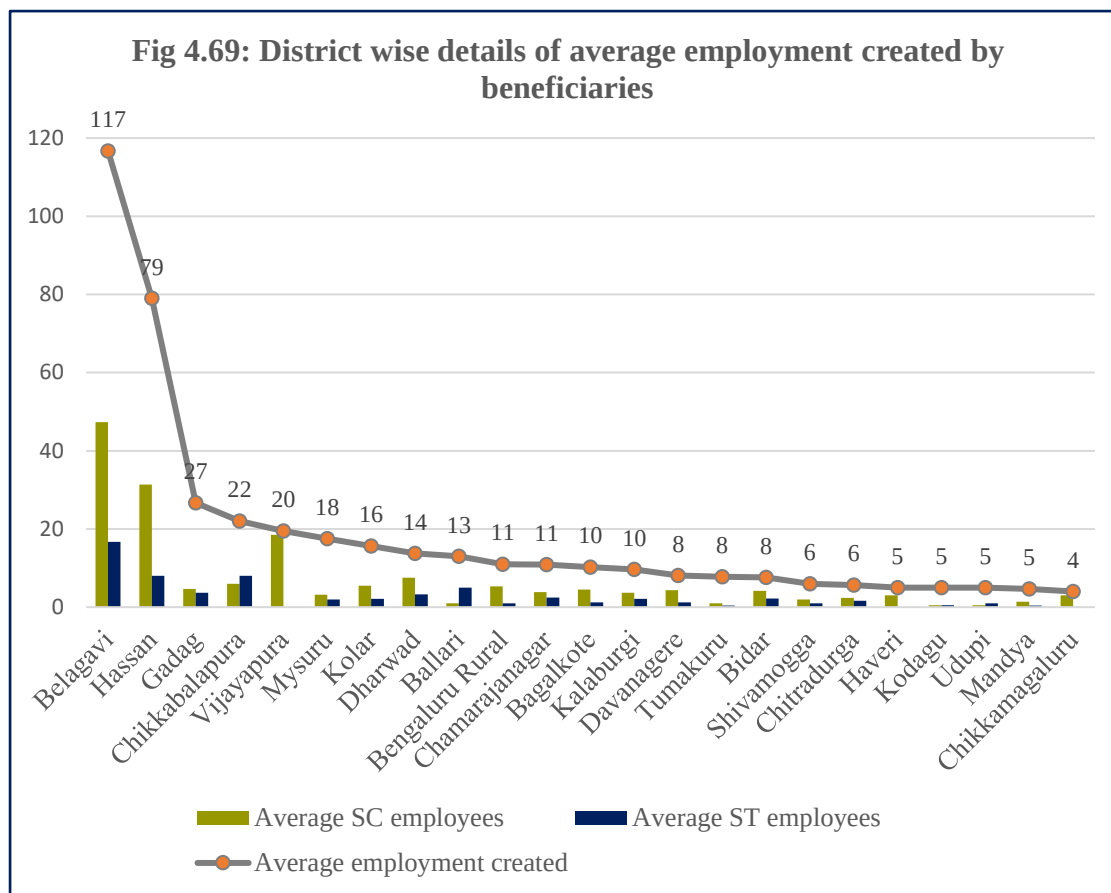
District wise employment creation:

Among the selected sample, Bangalore urban, Raichur and Yadgir did not have any operational business and hence have not created employment among the selected sample. Further, the selected beneficiaries with operational businesses in Chikkamagaluru, Haveri, Vijayapura, Mandya and Tumakuru stated that they did not have any ST employees.

Average employment created is higher in districts which have garment units. The below graphs gives details of average employment created in each district



Source: Field Data 2022-2023



Based on the insights from the field research, quantitative analysis and feedback from beneficiaries, officials of KIADB and KSSIDC, the next section has recommendations to improve the efficacy and efficiency in delivery of the scheme.

Recommendations

1. **Online portal for data base management of beneficiaries:** The research indicated discrepancies in beneficiaries' data that the research team received from state office and district offices of KIADB and KSSIDC. Further, the beneficiary list also had names of beneficiaries whose industrial shed was cancelled, indicating that there the KIADB/KSSIDC is not taking measures to update the beneficiary list. In addition, the nature of the scheme is such that the relationship between KIADB/KSSIDC and its beneficiaries is long term (at least 5 years) from application to allotment and handing over of lease cum sale deed. Hence, a simple online portal to track these different phases of scheme delivery may help obtain real time list of beneficiaries along with status of their business.
2. **Information, Education and Communication:** Along with current practices followed by KIADB/KSSIDC to promote the scheme, common events by Department of Commerce and Industries, Small Scale Industries, KSFC and SWD may help build awareness about all the schemes available for SC/ST entrepreneurs. This may encourage a greater number of SC/ST youth and women to take up entrepreneurship.
3. Department of Commerce and Industries/Small Scale Industries may establish a helpline/online clinic to support beneficiaries with information about various schemes.
4. **Priority districts:** KIADB and KSSIDC have to organise mobile clinics/events in districts with high number of beneficiaries - Bengaluru Rural, Chikkaballapura, Dharwad, Kalburgi, Mysore, Shivamogga and Tumkur – to help them establish their businesses.
 - a. Type 1 – Large number of beneficiaries and no operational businesses: Among these districts, Chikkaballapura had 131 beneficiaries and Shivamogga has 240 beneficiaries but do not have any operational businesses.
 - b. Type -2 Districts with high number of beneficiaries and few operational businesses: - Dharwad, Kalburgi, Mysore, Tumkur – needs to be monitored to ensure that 100% of beneficiaries establish the business.
 - c. Type 3 – few beneficiaries and less operational businesses: Haveri, Yadgiri and Raichur have low number of beneficiaries and few operational businesses. The district staff may organise district level meetings to understand the challenges and guide the beneficiaries.
 - d. Type 4- districts with litigation: Out of the 57 industrial areas visited across 28 districts, the beneficiaries were unable to use the industrial plots in Kittur – Belagavi, Hassan Growth Centre (KIADB) and Koppala (KSSIDC). KIADB/KSSIDC must take measures in these districts to address the issue.

- e. Special attention: Bengaluru rural needs exclusive attention as the businesses with high potential that would create white collar jobs are in these industrial areas. These businesses need higher capital investment and support.
5. Grievance redressal: The beneficiaries do not have access to grievance redressal mechanism at KIADB/KSSIDC and often make multiple visits to the Bengaluru Head Office to address their issues. Lack of effective grievance redressal mechanism increases transaction cost for both beneficiaries and the service provider. Thus, KIADB/KSSIDC needs to set up standard process to address grievance at district and state level in time bound transparent manner.
6. KIADB/KSSIDC should take measures to improve the basic amenities in the industrial areas.

Beneficiary Feedback

Below are some of the feedback shared by beneficiaries:

Positive feedback shared by beneficiaries:

- “I am grateful to SWD and SCSP/TSP schemes. (After availing benefits from the scheme) I have employed 60 people and I am proud of the work we are doing” – Beneficiary of KIADB from Gadag
- “I have successfully setup the highest production capacity plant in Bidar region and we have chosen the best of ingredient to prepare a health product, that is a traditional health mix, roasted, it ground and also packed in hygienically. We believe in making 100% natural and chemicals free products. We are manufacturing cereals, millets and spices”. – Beneficiary of KIADB from Bidar
- “Our product is part of Geographical Identification tag and also selected under ODOP (One District One Product). We are receiving support from various government schemes. Because of support received from Government, we are able to preserve the Persian art form. We are keen on starting a training centre to promote the art form” – Beneficiary of KIADB, Mysore
- “We are receiving support both from KIADB and KSFC to start our enterprise” – Beneficiary of KIADB Women's park, Mysore
- “We are running a successful garments and I have cleared loan of upto Rs. 5 crore with help of other benefits that I have received from the Government Schemes. I have over 200 employees and want to create employment for 400 more people. I need support to scale the business and need help to access larger loans” – Beneficiary of KIADB from Hassan
- “Very good help from government of Karnataka SCSP scheme helping SC youths to a greater extent but SC people should utilise it properly” – Beneficiary of KSSIDC from Chamarajanagar

Negative feedback shared by beneficiaries:

- “I am a first generation woman entrepreneurs. I reached out to KSFC to get loans to start business in the industrial plots. But the officer at KSFC humiliated and rejected the application”
Beneficiary of KIADB from Mandya
- “We have paid our share for and waiting to take position for over 6 months. No one in our industrial area has started the work yet” – Beneficiary of KSSIDC from Gadag
- “We are unable to get any loans or other loan related schemes from the Government. Bencause of this we aren’t able to start our business” – Beneficiary of KIADB from Davanagere, SC
- “Our power/energy bill is high. We have not received power subsidy. This has made it difficult to run the business. Hence, many who have received plots have not started the business”
Beneficiary of Textile park of KSSIDC in Belgaum
- “We are waiting for subsidy from Textile Department. We do not have collateral and are unable to get the loan.” - Beneficiary of Textile park of KSSIDC in Belgaum

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Annexures

Questionnaire for evaluation**Information for participants****Thank you for considering participating in this study.**

This study is being conducted to gather information on how the SCSP/TSP scheme is being implemented under the Small-Scale Industries department for the benefit of SC/ST entrepreneurs.

The information shared by you will help identify gaps in the policy and make the necessary changes required to improve the scheme.

Data privacy:

The records from this study will be kept as confidential as possible. Your data will be anonymised and not be used in any reports without your consent. Your participation and answers will not impact your selection for any schemes that you may apply to in future.

If you are a beneficiary who availed of subsidy on industrial plots. Please fill out the below questionnaire.

Section 1: Basic details			
1.	Full Name		
2.	Gender	Male	Female Other
3.	Date of birth		
4.	Residential address		
5.	Mobile number		
6.	Educational Qualification		
7.	Are you a first-generation business owner? (That is the owner of a registered company)	Yes No	
Section 2: Business details (This is for the business you applied/received industrial plot subsidy)			
1.	Name of the business		
2.	Address		
3.	Website (If applicable)		
4.	Details of the current proprietor/partners <i>Include name and gender</i>		
5.	Products or services offered by your business		
6.	Business established year		
7.	Market served: <i>Which market do you serve?</i>	- Regional (Customers are from the same district) - State - National - International (Export products and services)	
Section 3: Applying and availing of the scheme			
1.	How did you learn about the scheme?	- Friends or family - Business networks such as KASSIA, KDEA	

		- Awareness program conducted by the Government / relevant department - Newspaper ads - Other (Mention if others)
2.	When did you first apply to the scheme?	- 2014 -2015 - 2015-2016 - 2016-2017 - 2017-2018 - 2018-2019 - 2019-2020 - 2020-2021
3.	Did your application get selected the first time?	- Yes - No
4.	If not, did you reapply? (Answer if applicable)	- Yes - No
5.	Reason for not reapplying (Answer if applicable)	
6.	Which year did your application get selected?	- 2014 -2015 - 2015-2016 - 2016-2017 - 2017-2018 - 2018-2019 - 2019-2020 - 2020-2021 - Not selected
7.	Which year did the industrial plot get allotted?	- 2014 -2015 - 2015-2016 - 2016-2017 - 2017-2018 - 2018-2019 - 2019-2020 - 2020-2021 - Not yet allotted
8.	Did you face any challenges while availing of the scheme?	Yes No
9.	If yes, select the relevant challenge	- Lack of information on how to apply - Lack of clarity on the application timeline - Lack of information on the selection process/ No transparency - Delay in delivery of plot after selection - Dissatisfied with allotted plot - Others (Mention)
10.	Did the department provide you mentoring or any other support during the application process?	Yes No
11.	If yes, what support did the department provide?	
Section 4: Scheme convergence		
1.	Have you received benefits from any other scheme for your business?	Yes No

2.	If yes, select the schemes.	- Loan from KSFC - Entrepreneurship training - Interest subsidy from KSFC - Soft seed loan from Industries Department - Collateral security from government for KSFC loan - Interest subsidy for Bank loan from Social welfare department - Subsidy for textile units - Any other (Mention if other)
3.	Please share details about the other benefits you received (Loan amount, loan subsidy etc)	
Section 4: Business impact		
1.	Are you currently associated with the above-mentioned business? That is, do you own and run the business?	Yes No
2.	Turnover of the business (Please enter only for years that the business is operational)	- 2017-2018 - 2018-2019 - 2019-2020 - 2020-2021 - 2021-2022
3.	Number of employees hired by the business (Please enter only for years that the business is operational)	- 2017-2018 - 2018-2019 - 2019-2020 - 2020-2021 - 2021-2022
4.	Currently, is the allotted industrial plot used for the same business it received a subsidy for?	Yes No
If no, fill in the below two questions		
5a.	Which year did you stop using the industrial plot for the allotted business	2017-2018 2018-2019 2019-2020 2020-2021 2021-2022
5b.	How is it used now?	Vacant Rented/Leased for another purpose Sold Other (please specify)
5C.	Reason for change in use of industrial plot	Business loss/failure Personal reasons Others (Mention the reason) _____
	Any other relevant information you would like to share	

Interview protocol

In-depth exploratory interview

Note: Ad-hoc questions will be included during the interview based on the response.

1. Please tell about yourself (Prompts – please tell your name, age, where are you from, education, family)
2. Entrepreneurial journey
 - a. How did your entrepreneurial journey start?
 - b. Is anyone else from your family in business?
 - c. Did you get any formal training to start the business? (Did you attend any entrepreneurship development programme by government department, if yes, when, how was the training, did it help)
 - d. What are the challenges you faced while starting out?
 - e. Are you part of any entrepreneurship networks? (If yes, share about them? How helpful have these network been in your career)
3. About the business
 - a. Tell about your business, line of work, markets you serve? When was this established?
 - b. Do you have any business partners? If yes, share about them
4. Availing subsidy on industrial plot scheme (if land is allotted)
 - a. How did you learn about the scheme?
 - b. Did you have a project plan before learning about the scheme? Or did the scheme encourage you to prepare a project plan?
 - c. How did you go about preparing project plan? Who helped you? How did you get approval for the project plan? Any challenges?
 - d. When did you apply? How was the experience?
 - e. Did you face any challenges while applying? (Did you get any support? If yes, who supported you? Any support from the department? How can department make the process of applying easier?)
 - f. How long did you have to wait to know about status of application?
 - g. Were you happy with allotted land? Can you share about the timeline from allotment to building plan approvals to construction to starting production?

(If land is not allotted)

- h. Did you look for alternate plots to start your business?
 - i. Were you able to set up the business?
5. Grievance redressal
 - a. Did you have any grievances with allotted land or any other issue?
 - b. If yes, how did you resolve it?
 - c. Who did you report it to? How was the grievance resolved?
6. Convergence of schemes
 - a. Did you get any other scheme, such as loan from KSFC for this business?
 - b. How did you get to learn about the other schemes?
7. Other support
 - a. Have you received support from private entities? (If yes, share about the support received?)
 - b. What other support would have helped made the process of establishing business easier? (Prompts – legal support, marketing support etc)

8. Industrial plot usage
 - a. What are you using the industrial plot for now?
 - b. If change in usage, when did the change occur and why?
9. Business Impact
 - a. How is your business doing now? What has been the growth rate? Number of employees hired.
 - b. Do you have plans to expand the business? If yes, please do elaborate.
 - c. How did COVID impact your work?